



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/11

Paper 1 Multiple Choice

May/June 2020

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Do **not** write on any bar codes.
- You may use a calculator.

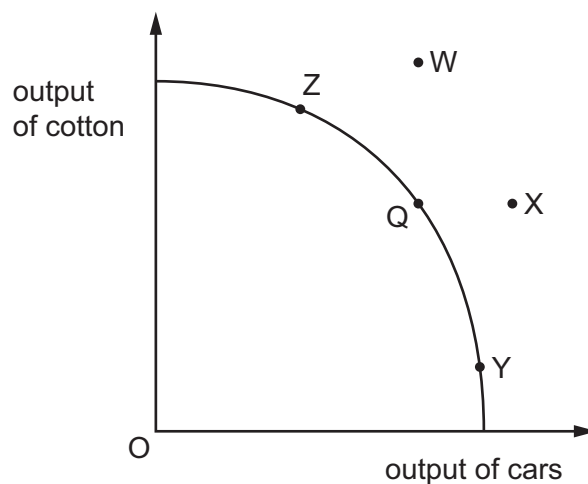
INFORMATION

- The total mark for this paper is 30.
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- Any rough working should be done on this question paper.

This document has **12** pages. Blank pages are indicated.



- 1 What is an example of the purchase of a consumer good?
- A A farm owner buys a television.
 - B A farm owner buys additional land.
 - C A farm owner buys fertiliser for their crops.
 - D A farm owner buys some farming equipment.
- 2 What is the function of the factors of production in an economy?
- A to make goods and services to fulfil wants and needs
 - B to provide an even distribution of income
 - C to provide tax income for the government
 - D to reduce the existence of external costs
- 3 The diagram shows a production possibility curve (PPC) for an economy that can produce cotton and cars. The economy is at point Q.

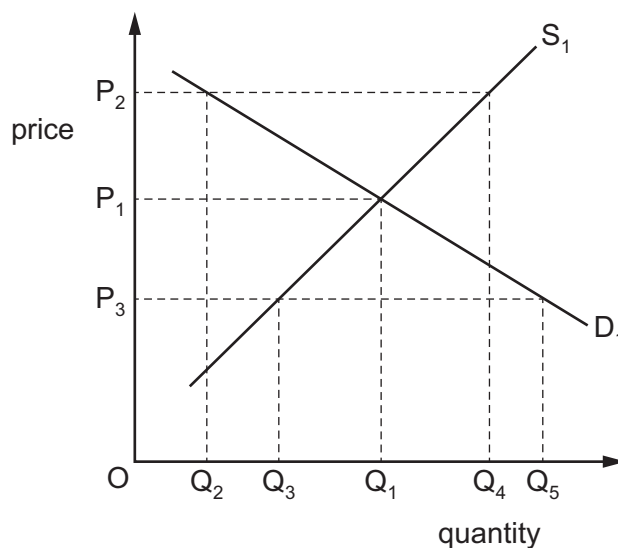


There is improved technology that can only be used in the production of cars.

How would this be represented on this diagram?

- A by a movement from Q to W
- B by a movement from Q to X
- C by a movement from Q to Y
- D by a movement from Q to Z

- 4 Which topic is included in microeconomics?
- A economic growth
 - B elasticity of demand
 - C inflation
 - D the balance of payments
- 5 What aspect of demerit goods means they are overproduced?
- A clear product information
 - B high external costs
 - C high product taxes
 - D low customer demand
- 6 The diagram shows market demand and supply curves.



To what extent is the market in disequilibrium at price P_3 ?

- A $OQ_1 - OQ_2$ B $OQ_1 - OQ_3$ C $OQ_2 - OQ_4$ D $OQ_3 - OQ_5$
- 7 Lithium is an essential metal for the production of electric cars. Following a 10% increase in the price of lithium, supplies increase by 15%. This led to a 5% increase in the price of electric cars.
- What is the price elasticity of supply (PES) for lithium?
- A 0.33 B 0.66 C 1.50 D 2.0

- 8 The wage of labour in a firm increases.

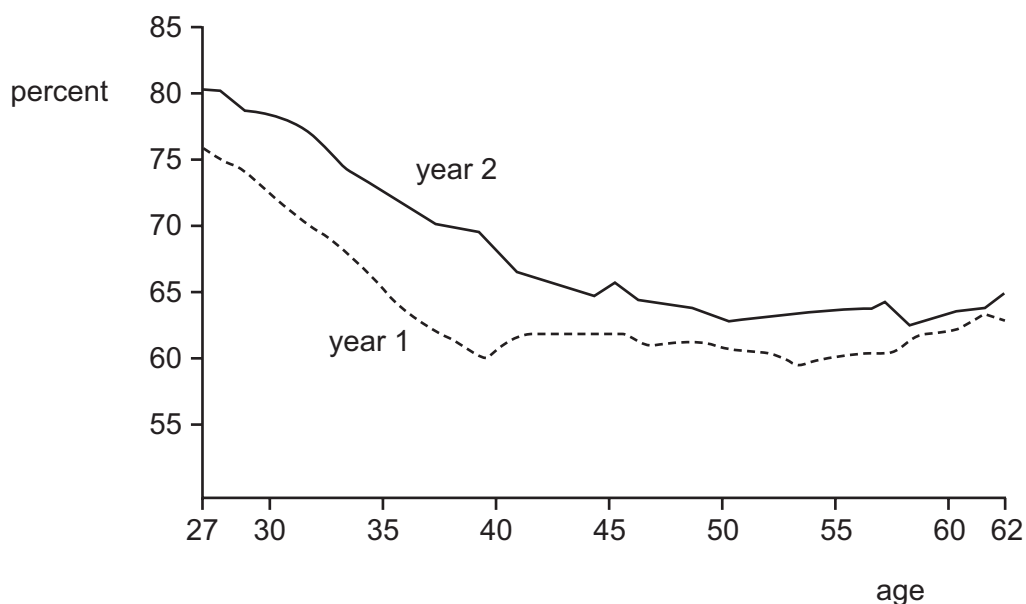
What is the **most** likely effect on the production process?

- A Capital replaces labour immediately.
- B Capital replaces labour in the long run.
- C Labour replaces capital immediately.
- D Labour replaces capital in the long run.

- 9 Which combination of influences would increase the level of borrowing by a household?

	influence 1	influence 2
A	becoming pensioners	higher rate of inflation
B	greater wealth	lower consumer confidence
C	higher consumer confidence	lower rate of interest
D	higher rate of interest	greater availability of credit

- 10 The graph shows women's wages as a percentage of men's wages in year 1 and year 2.



Which statement is shown by the graph to be true?

- A Younger women earn more than older women.
- B Women's wages remain about the same between the ages of 40–50.
- C In year 2, all women were earning more than men.
- D In year 2, women were earning a higher percentage of men's wages than in year 1.

11 People's income decreases.

How is the proportion spent on food and leisure likely to change?

	food	leisure
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

12 The table shows total fixed and total variable costs at different levels of output for a firm.

At which level of output is average total cost lowest?

	output (tonnes)	total fixed cost (\$)	total variable cost (\$)
A	100	1200	1200
B	200	1200	2000
C	300	1200	2700
D	400	1200	3600

13 The following information refers to a firm producing shoes.

At which level of output does the firm maximise profits?

	total output of pairs of shoes	total cost (\$)	total revenue (\$)
A	100	1000	1300
B	200	1800	2200
C	300	2700	3000
D	400	3200	3400

- 14 What is **most** likely to lead to an improvement in labour productivity in an industry?
- A an increase in capital investment
 - B an increase in income tax rates
 - C an increase in the demand for the industry's product
 - D an increase in the number of firms in the industry
- 15 How is a government **most** likely to prevent the growth of monopolies?
- A by encouraging mergers in the private sector
 - B by establishing nationalised industries
 - C by promoting the benefits of economies of scale
 - D by reducing barriers to entry into an industry
- 16 What is **not** included in public expenditure?
- A capital spending by firms
 - B interest payments on government borrowing
 - C investment in defence by the central government
 - D subsidies to bus companies from local government
- 17 When is the budget described as balanced?
- A when direct taxes and indirect taxes are equal
 - B when exports and imports are equal
 - C when government spending and government revenue are equal
 - D when the demand for money and the supply of money are equal
- 18 The government wishes to increase economic growth in its economy.
What would **not** be likely to achieve this aim?
- A The central bank encourages bank lending.
 - B The central bank lowers interest rates.
 - C The government increases sales tax (VAT).
 - D The government subsidises new industries.

- 19 The government redistributes income more evenly.

What is **most** likely to increase?

- A the incentive to work
- B the level of savings
- C the need for welfare payments
- D the rate of inflation

- 20 The table shows selected indicators for the labour market of an economy in 2014 and 2018.

	2014 (millions)	2018 (millions)
total labour force	30	30
employed workers	25	28
long-term unemployed	1	2
employment in manufacturing	4	2
employment in services	13	16

According to the table, what is the **most** likely type of unemployment in 2018?

- A cyclical
 - B frictional
 - C seasonal
 - D structural
- 21 What may directly cause economic growth?
- A higher imports
 - B higher levels of resources
 - C higher taxation
 - D higher unemployment
- 22 What would **not** be required in the construction of an index of consumer prices?
- A the selection of a base year
 - B the selection of a representative range of items
 - C the calculation of average wage levels
 - D the weighting of each item in the index

23 The table gives information about three economic indicators in four countries.

	rate of inflation %	rate of interest %	rate of unemployment %
country W	1.4	3.4	10.2
country X	3.7	8.7	12.3
country Y	3.6	7.3	14.2
country Z	2.1	6.0	7.7

What may be concluded from this information?

- A** Countries with higher inflation have higher interest rates.
 - B** Countries with higher interest rates have lower unemployment.
 - C** The country with the lowest inflation had the highest unemployment.
 - D** The country with the lowest unemployment had the lowest inflation.
- 24** What distinguishes a more developed country from a less developed country?
- A** Inflation rates are higher in the more developed country.
 - B** Interest rates are higher in the more developed country.
 - C** Natural resources are higher in the more developed country.
 - D** Real incomes are higher in the more developed country.
- 25** An additional 700 000 UK children and pensioners fell into relative poverty between 2013 and 2017.

What might be the reason for this?

- A** Direct taxes had increased, and indirect taxes had fallen.
- B** Real gross domestic product was rising faster than the population.
- C** The death rate was exceeding the birth rate.
- D** The real value of government welfare benefits had fallen.

- 26** Which changes usually result when a country develops and is able to provide free healthcare and good living conditions?

	birth rate	death rate	labour productivity
A	falls	falls	rises
B	falls	rises	falls
C	rises	falls	falls
D	rises	rises	rises

- 27** What is a quota in international trade?

- A** a government grant to encourage production
- B** an administrative and technical barrier
- C** a limit on the quantity of imports
- D** a tax on imports

- 28** Many low-income countries rely on exports of raw materials such as coffee or iron ore to earn them foreign currency.

What is a disadvantage of this?

- A** Countries have a constant demand for raw materials.
- B** International trade only benefits the importing countries.
- C** It is necessary for low-income countries to belong to a free trade area.
- D** Raw materials have fluctuating prices.

- 29** What is included as part of the current account of the balance of payments?

- A** all government income and expenditure
- B** money withdrawn from a bank account
- C** investments in other countries by manufacturers
- D** trade in goods and services

- 30** The table shows components of Japan's current account balance in trillion Yen (¥) for 2011 and 2012.

year	balance of goods ¥ trillion	balance of services ¥ trillion	balance of primary income ¥ trillion	balance of secondary income ¥ trillion
2011	−1.61	−1.76	14.04	−1.11
2012	−5.23	−2.33	13.55	−1.02

Which balance improved between 2011 and 2012?

- A** balance of goods
- B** balance of services
- C** balance of primary income
- D** balance of secondary income

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0987/11

Paper 1 Multiple Choice 11

May/June 2020

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1	A	1
2	A	1
3	B	1
4	B	1
5	B	1
6	D	1
7	C	1
8	B	1
9	C	1
10	D	1
11	C	1
12	D	1
13	B	1
14	A	1
15	D	1
16	A	1
17	C	1
18	C	1
19	D	1
20	D	1
21	B	1
22	C	1
23	A	1
24	D	1
25	D	1
26	A	1
27	C	1
28	D	1

Question	Answer	Marks
29	D	1
30	D	1



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

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May/June 2020

45 minutes

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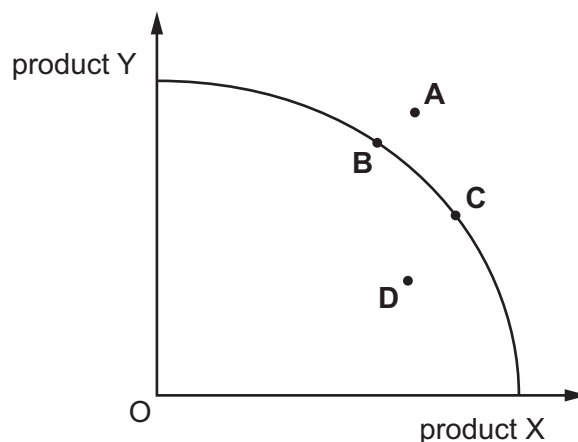
- 1 In 2016, 20 billion barrels of oil and 1.6 billion barrels of natural gas were discovered in Texas, US.

Which factor of production has increased in the US due to this discovery?

- A capital
- B enterprise
- C labour
- D land

- 2 The diagram shows a production possibility curve (PPC).

Which of these points shows the largest possible output of product Y currently achievable?



- 3 A student decides to take up a two year apprenticeship for which she will earn \$10 000 per year. After that she expects to earn \$25 000 per year. She could take an unskilled job which pays \$16 000 per year instead of the apprenticeship.

What is the opportunity cost in the two years of completing the apprenticeship?

- A \$10 000 B \$12 000 C \$25 000 D \$32 000

- 4 Microeconomics analyses choices in various situations.

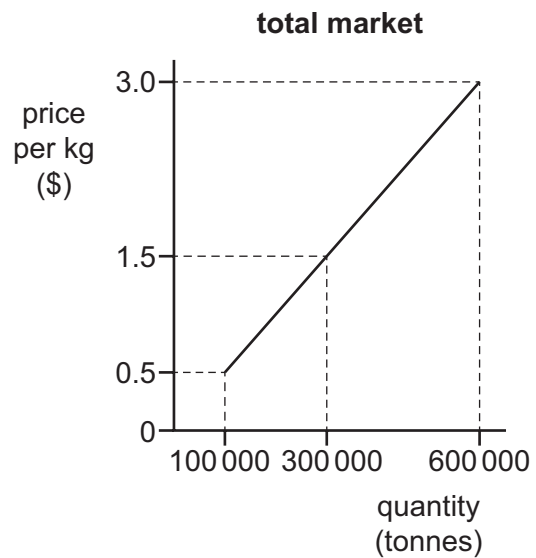
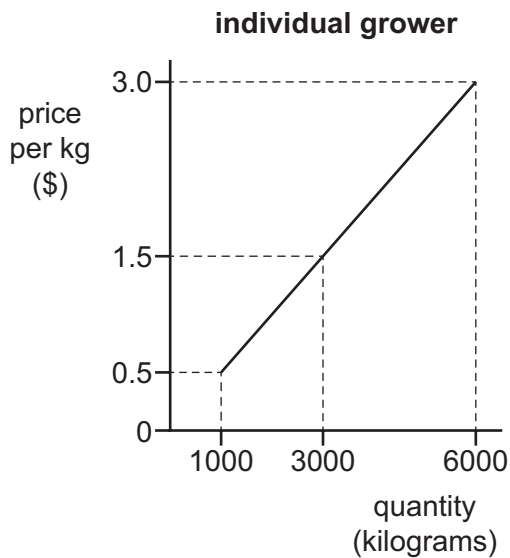
Which area of economic study does it **not** include?

- A costs and revenues of a firm
- B individual consumer behaviour
- C policies for economic growth
- D wages for different occupations

5 What is a cause of market failure?

- A many firms
- B monopoly
- C profit maximisation
- D specialisation

6 The diagrams show the supply curve for an individual grower of tomatoes and for the total market supply of tomatoes.



What explains the similarity of the two curves?

- A As costs rise growers need to get a higher price to increase output.
- B At the lower prices each grower supplies more tomatoes.
- C The profitability per unit is the same for all growers irrespective of output.
- D Supply is not always influenced by price.

7 The price of bread rose by 5% and the quantity demanded fell by 4%.

What was the price elasticity of demand for bread?

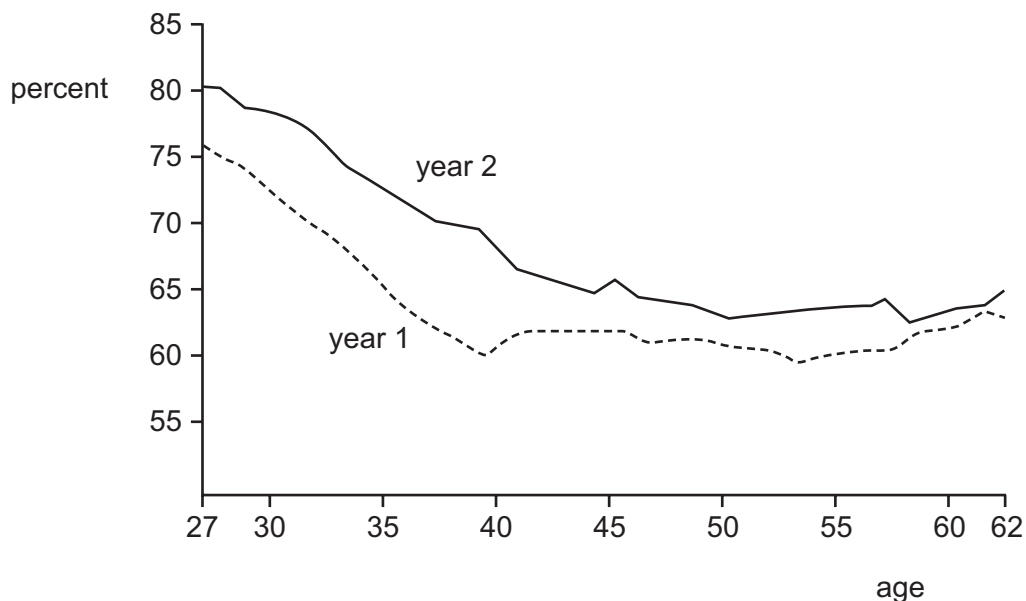
- A -0.4
- B -0.8
- C -1.25
- D -2.0

- 8 Saudi Arabia specialises in oil extraction and refining. This is a capital-intensive industry with highly skilled labour.

What might be a disadvantage of this specialisation?

- A Oil companies have increased training costs as each worker needs many different skills.
 - B Oil companies may find it difficult to achieve economies of scale.
 - C Resource allocation is not efficient because a narrow range of goods is being produced.
 - D Workers may face a restricted range of job opportunities.
- 9 What would **most** likely cause a person to increase their savings?
- A a decision to plan for retirement
 - B a fall in income
 - C a fall in interest rates
 - D a reduction in tax-free saving schemes

- 10 The graph shows women's wages as a percentage of men's wages in year 1 and year 2.



Which statement is shown by the graph to be true?

- A Younger women earn more than older women.
- B Women's wages remain about the same between the ages of 40–50.
- C In year 2, all women were earning more than men.
- D In year 2, women were earning a higher percentage of men's wages than in year 1.

11 People's income decreases.

How is the proportion spent on food and leisure likely to change?

	food	leisure
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

12 The table shows total fixed and total variable costs at different levels of output for a firm.

output	total fixed cost \$	total variable cost \$
100	1000	1000
200	1000	1500
300	1000	2000
400	1000	2500

What happens as output rises?

- A** Average fixed cost falls.
- B** Average fixed cost rises.
- C** Average variable cost remains constant.
- D** Average variable cost rises.

13 The following information refers to a firm producing shoes.

At which level of output does the firm maximise profits?

	total output of pairs of shoes	total cost (\$)	total revenue (\$)
A	100	1000	1300
B	200	1800	2200
C	300	2700	3000
D	400	3200	3400

- 14** Which statement proves there has been an increase in productivity for a factory making tractors?
- A** 10% more workers results in a 10% increase in tractors produced each week.
 - B** Output per worker increases from 3 tractors to 4 tractors per month.
 - C** Production increases as more workers are hired.
 - D** Starting a night shift leads to an increase in production of 10 tractors a day.
- 15** When do economies of scale take place?
- A** in the short run
 - B** if variable factors become fixed
 - C** when all factors of production are fixed
 - D** when all factors of production are variable
- 16** What is **not** included in public expenditure?
- A** capital spending by firms
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 - C** investment in defence by the central government
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 - B** when exports and imports are equal
 - C** when government spending and government revenue are equal
 - D** when the demand for money and the supply of money are equal
- 18** A government increased revenue by increasing taxes on firms.
- Which tax did it increase?
- A** inheritance tax
 - B** profits tax
 - C** sales tax
 - D** value added tax

19 Why are governments responsible for the defence of the country?

- A It is impossible to charge a price for defence.
- B It prevents individual citizens having access to weapons.
- C Only governments can manufacture weapons.
- D Providing defence is very expensive.

20 Information about job vacancies on a government website has led to a decrease in short-term unemployment.

What is the term for this type of unemployment?

- A cyclical unemployment
- B frictional unemployment
- C structural unemployment
- D technological unemployment

21 The table shows figures for the real GDP of a country.

quarter 1 (\$bn)	quarter 2 (\$bn)	quarter 3 (\$bn)	quarter 4 (\$bn)
100	101	99	98

A quarter is three months.

During which quarters was the country experiencing a recession?

- A quarters 1 and 2
- B quarters 2 and 3
- C quarters 3 and 4
- D the entire period

22 What would **not** be required in the construction of an index of consumer prices?

- A the selection of a base year
- B the selection of a representative range of items
- C the calculation of average wage levels
- D the weighting of each item in the index

23 The table gives information about three economic indicators in four countries.

	rate of inflation %	rate of interest %	rate of unemployment %
country W	1.4	3.4	10.2
country X	3.7	8.7	12.3
country Y	3.6	7.3	14.2
country Z	2.1	6.0	7.7

What may be concluded from this information?

- A Countries with higher inflation have higher interest rates.
- B Countries with higher interest rates have lower unemployment.
- C The country with the lowest inflation had the highest unemployment.
- D The country with the lowest unemployment had the lowest inflation.

24 Due to war, some people are living in absolute poverty.

What is the main indicator of absolute poverty for these people?

- A dependence on aid for medical treatment
- B lack of transport to escape abroad
- C living in tents in temporary camps
- D receiving insufficient food for basic nutrition

25 Which country would be classified as the **most** developed based on the data in the table?

country	gross domestic product per year (\$m)	population (millions)
A	600	3
B	700	2
C	12 000	40
D	15 000	100

- 26** Which changes usually result when a country develops and is able to provide free healthcare and good living conditions?

	birth rate	death rate	labour productivity
A	falls	falls	rises
B	falls	rises	falls
C	rises	falls	falls
D	rises	rises	rises

- 27** Which protectionist measure would be most suitable for a government to use to support the growth in exports of an industry?

- A** embargo
- B** quota
- C** subsidy
- D** tariff

- 28** There has been an appreciation of the value of a country's currency against other currencies.

What effects will this have on prices of imports of raw materials and prices of exports of manufactured goods?

	prices of imports of raw materials	prices of exports of manufactured goods
A	cheaper	cheaper
B	cheaper	more expensive
C	more expensive	cheaper
D	more expensive	more expensive

- 29** What is a disadvantage of increased specialisation by a country?

- A** It becomes more reliant on imports to meet all its needs.
- B** It reduces the potential for international trade.
- C** It results in access to a greater variety of goods for consumers.
- D** It results in lower costs for home produced goods.

- 30** The table shows components of Japan's current account balance in trillion Yen (¥) for 2011 and 2012.

year	balance of goods ¥ trillion	balance of services ¥ trillion	balance of primary income ¥ trillion	balance of secondary income ¥ trillion
2011	−1.61	−1.76	14.04	−1.11
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7	B	1
8	D	1
9	A	1
10	D	1
11	C	1
12	A	1
13	B	1
14	B	1
15	D	1
16	A	1
17	C	1
18	B	1
19	A	1
20	B	1
21	C	1
22	C	1
23	A	1
24	D	1
25	B	1
26	A	1
27	C	1
28	B	1

Question	Answer	Marks
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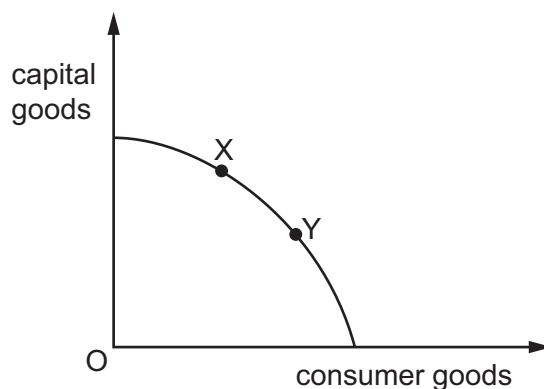
1 What causes economic agents to make choices?

- A limited needs and wants
- B the existence of finite resources
- C the existence of free goods
- D the market mechanism

2 Which combination of a factor of production and its factor income is **not** correct?

	factor of production	factor income
A	capital	interest
B	enterprise	profit
C	labour	dividends
D	land	rent

3 The diagram shows a production possibility curve (PPC) for a country. The country moved from position X to position Y on the PPC.



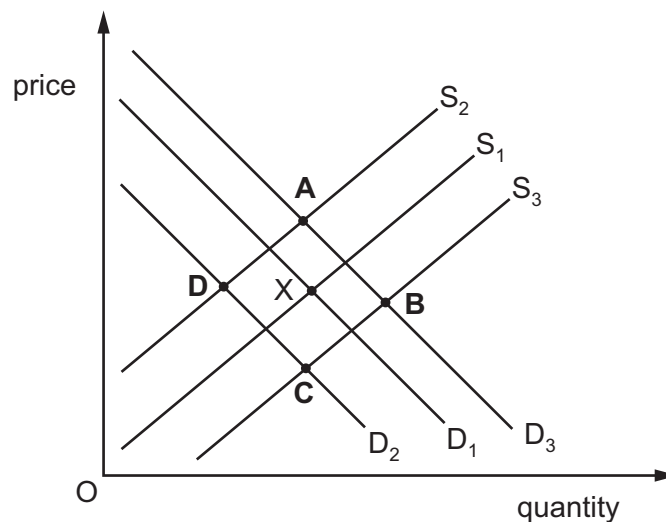
What is the **most** likely reason for this change?

- A Firms have decided to increase investment in technology.
- B New economic resources have been discovered in the country.
- C The government has brought about an increase in living standards.
- D The government has encouraged long-term economic growth.

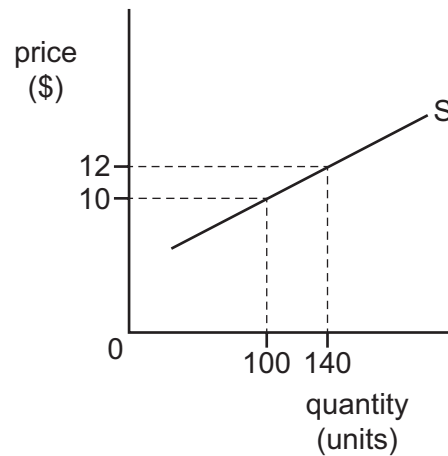
- 4 What is an example of a macroeconomic aim?
- A to create and maintain full employment
 - B to improve efficiency in the manufacturing sector of the economy
 - C to provide consumers with greater information when buying goods and services
 - D to encourage greater occupational mobility of labour
- 5 Why might a market economy fail to achieve the best use of scarce resources?
- A Consumers may lack information about which good to buy.
 - B Demerit goods are underconsumed.
 - C Public goods are overconsumed.
 - D Most resources are owned by the government.

- 6 The diagram shows the global market for copper with an equilibrium point of X.

Which point represents the new equilibrium after the copper producers' costs increase and there is rapid global economic growth?



- 7 The diagram shows the supply curve for a good.



What is the price elasticity of supply when the price rises from \$10 to \$12?

- A** 0.5 **B** 0.75 **C** 1.4 **D** 2.0
- 8 Which task is **not** a function of a trade union?
- A** agreeing the minimum number to be employed on a particular job
- B** deciding on the level of a national minimum wage
- C** negotiating working hours and conditions of work
- D** providing legal advice on unfair dismissal
- 9 What does **not** have an effect on wages in a free market economy?
- A** danger levels in the workplace
- B** government regulations
- C** the number of people willing and able to work
- D** the years of training required

- 10 The table shows how household spending changes with income.

income (\$ per month)	spending (\$ per month)
3000	3150
3300	3375
3600	3500
3900	3825
4200	4050
4500	4275

What is the lowest level of income at which savings are positive?

- A** \$3000 **B** \$3600 **C** \$3900 **D** \$4200
- 11 What can a central bank increase in order to reduce consumer borrowing?
- A** commercial bank deposits
B government spending
C the exchange rate
D the rate of interest
- 12 The table shows the output and total costs of a small firm.

output (units)	total costs (\$)
0	50 000
1 000	100 000
5 000	400 000
10 000	600 000

What is the average fixed cost of producing 10 000 units?

- A** \$5 **B** \$6 **C** \$55 **D** \$60

- 13 A firm has fixed costs of \$1000. The table shows the variable cost at different levels of output.

output (units)	1	2	3	4
variable cost (\$)	100	190	270	350

If the goods are sold for \$500 each, how much profit will be made from the sale of 4 units?

- A \$650 B \$1000 C \$1650 D \$2000
- 14 Firm X supplies bricks and decides to merge with firm Y that also supplies bricks.
- Which form of merger has taken place?
- A backward vertical
B conglomerate
C forward vertical
D horizontal
- 15 Who owns a public sector organisation?
- A individuals
B shareholders
C specialist managers
D the government
- 16 What are two aims that a government normally pursues when managing the performance of the whole economy?
- A to encourage an increase in production and to prevent high inflation
B to ensure no one is unemployed and to reduce exports
C to give everyone equal incomes and to increase government revenue
D to protect the environment and to reduce interest rates
- 17 What is **most** likely to be the responsibility of a central government?
- A the provision of immigration officials at an airport
B the provision of security cameras in a shopping centre
C the provision of security staff at a bank
D the provision of ticket inspectors on a train

- 18 The table shows the tax that an individual would pay at different levels of disposable income.

disposable income (\$)	10 000	20 000	30 000	40 000
tax (\$)	0	2000	4000	6000

Which type of tax is shown in the table?

- A corporation tax
 - B indirect tax
 - C progressive tax
 - D regressive tax
- 19 The government wants to reduce the consumption of cigarettes.

Which policy would be **most** likely to do this?

- A increasing a subsidy on cigarettes
 - B increasing income tax
 - C increasing interest rates
 - D increasing the indirect tax on cigarettes
- 20 Which group should **not** be included in the measurement of unemployment?
- A redundant unskilled workers seeking alternative work
 - B seasonal agricultural workers in out-of-season periods
 - C students over 18 years continuing with full-time education
 - D those who have left school and cannot get a job

- 21 The table shows the rates of unemployment and real GDP growth for an economy in 2014 and 2018.

	2014	2018
rate of unemployment (%)	3	10
rate of real GDP growth (%)	4	-2

Which combination of policy measures would be **most** effective in returning the economy to the 2014 level of economic activity?

- A a decrease in direct taxes and an increase in the rate of interest
 - B a decrease in government expenditure and an increase in the rate of interest
 - C an increase in direct taxes and a decrease in the rate of interest
 - D an increase in government expenditure and a decrease in the rate of interest
- 22 An economy is experiencing rising prices.
- Which government policy will help reduce consumer expenditure?
- A introducing compulsory saving for income earners
 - B investing more in building infrastructure
 - C issuing more banknotes and coins
 - D reducing indirect taxes
- 23 Some goods take a greater percentage of a typical household's total spending than others.
- How is this accounted for in the construction of a consumer prices index?
- A by deducting the goods
 - B by giving a weight to the goods
 - C by taking an average of price fluctuations during a year
 - D by using the price elasticity of demand for the goods

- 24 In countries with absolute poverty, low incomes can start a process that keeps incomes low.

What are the stages of this process?

- A low incomes → low consumption → low prices → low output → low incomes
 - B low incomes → low government spending → high taxation → low employment → low incomes
 - C low incomes → low investment → high profits → low dividends → low incomes
 - D low incomes → low saving → low investment → low productivity → low incomes
- 25 Which factor in the world's low-income countries limits their economic development?
- A balance of payments surpluses
 - B high saving ratios
 - C large inflows of foreign investment
 - D rapid population growth
- 26 The table shows the percentage employment in the primary, secondary and service sectors in four countries.

Which country is likely to be the **most** developed?

country	percentage employment		
	primary sector	secondary sector	service sector
A	10	35	55
B	20	60	20
C	35	35	30
D	40	40	20

- 27 What causes the birth rate to fall in a country?

- A Fewer women work.
- B Infant mortality rates rise.
- C Medical supplies and healthcare improve.
- D The optimum population increases.

- 28** A country wishes to increase a current account surplus on the balance of payments.

Which action would it take?

- A** abolish an import quota
- B** increase import tariffs
- C** remove export subsidies
- D** tax export producers

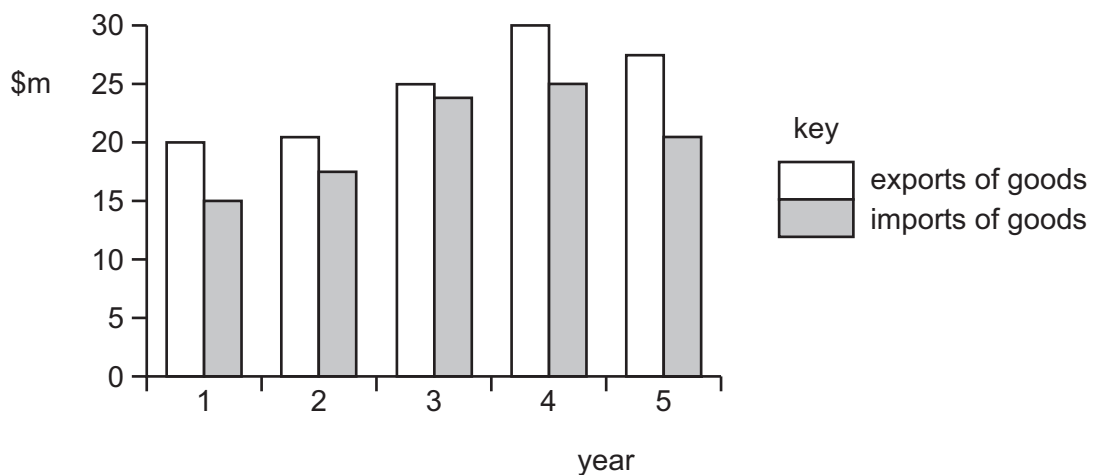
- 29** The table shows a country's exports and imports.

	\$m
exports of goods	200
imports of goods	190
exports of services	35
imports of services	38

What was the country's balance of trade in goods and services?

- A** a deficit of \$7 million
- B** a deficit of \$13 million
- C** a surplus of \$7 million
- D** a surplus of \$13 million

- 30** The diagram shows the value of a country's exports and imports of goods over five years.



Between which two years did the country have an increase in the value of imports and an improvement in its balance of trade in goods?

- A** 1 and 2
- B** 2 and 3
- C** 3 and 4
- D** 4 and 5

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Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice 12

October/November 2020

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the October/November 2020 series for most Cambridge IGCSE™, Cambridge International A and AS Level and Cambridge Pre-U components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	B	1
2	C	1
3	C	1
4	A	1
5	A	1
6	A	1
7	D	1
8	B	1
9	B	1
10	B	1
11	D	1
12	A	1
13	A	1
14	D	1
15	D	1
16	A	1
17	A	1
18	C	1
19	D	1
20	C	1
21	D	1
22	A	1
23	B	1
24	D	1
25	D	1
26	A	1
27	C	1
28	B	1

Question	Answer	Marks
29	C	1
30	C	1



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/11

Paper 1 Multiple Choice

May/June 2021

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
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- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

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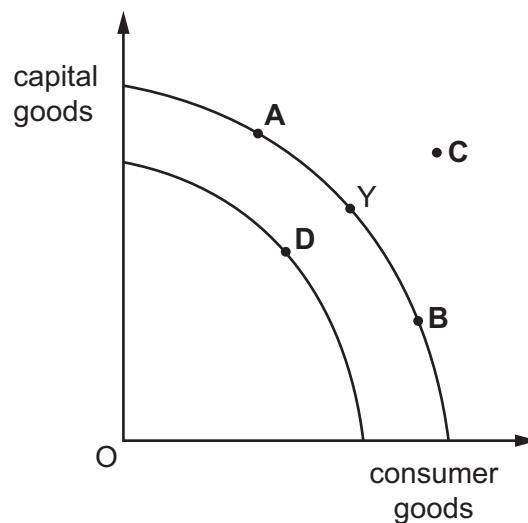


- 1 Which statement about the factors of production is correct?
- A Capital is a financial resource and includes savings in banks.
 - B Enterprise is limited in supply and includes office workers.
 - C Labour is a human resource and includes pensioners and children.
 - D Land is a natural resource and includes trees and fish.
- 2 A builder spends one hour travelling to and from work. He works 40 hours per week for \$200. He is given a choice to work 50 hours a week for an extra \$75.

What would be the opportunity cost to the builder of working the extra hours?

- A the ability to increase his purchasing power
 - B the additional time travelling to and from work
 - C the increased hourly earnings of \$7.50
 - D the ten hours of leisure time
- 3 A country's infrastructure was damaged by a natural disaster. Before the disaster, the country was producing at point Y on the production possibility curve (PPC).

Which point represents the country's production immediately after the disaster?



- 4 What is included in microeconomics?
- A the calculation of national income and expenditure
 - B the effects of a change in exchange rates on the trade balance of an economy
 - C the effects of an increase in the price of a good or service
 - D the factors leading to demand-pull inflation

- 5 What is an economist's definition of a market?
- A** a collection of informal retail outlets run by small firms
- B** a place where traders gather regularly for short periods
- C** a system that enables individuals and firms to buy and sell goods
- D** the existence of consumer demand for a good
- 6 What is an example of an external benefit from an individual cycling, rather than driving, to work?
- A** higher cost of building cycle lanes
- B** improved physical fitness to the individual from cycling
- C** lower cost of cycling compared with driving to work
- D** reduced congestion for other road users
- 7 A tailor has four customers for her range of suits. The table shows the yearly demand for the suits she makes.

demand for suits				
suit price (\$)	customer R	customer S	customer T	customer U
800	4	1	2	2
900	4	0	1	2
1000	3	0	1	1
1100	2	0	0	1

Which price should be charged to maximise the tailor's yearly revenue?

- A** \$800 **B** \$900 **C** \$1000 **D** \$1100
- 8 In response to an increase in price from \$5 per kilo to \$6 per kilo, a farmer increased supply from 400 kilos to 500 kilos per week.
- What is the price elasticity of supply?
- A** 0.8 **B** 0.9 **C** 1.2 **D** 1.25

- 9 It is expected that consumers will use less paper money.

What is the **most** likely reason for this?

- A Inflation reduces the value of paper money.
- B More ways of making payments will be available.
- C Other forms of money are more durable.
- D Paper money will have less intrinsic value.

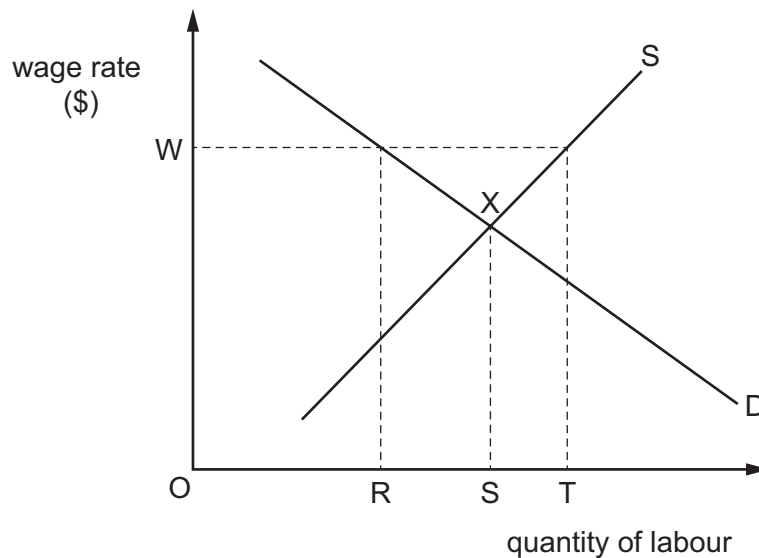
- 10 In low-income countries, fewer girls than boys become skilled design engineers.

What might explain this situation?

- A Girls are only interested in low-wage jobs.
- B Girls do not favour heavy manual work.
- C Girls have fewer opportunities to complete higher education.
- D It costs more for girls to be trained as design engineers.

- 11 The diagram shows the demand for and supply of labour in an industry. The original equilibrium is X.

A trade union then negotiates a wage rate of W.



What identifies the change in employment?

- A OR
- B OT
- C RS
- D RT

- 12** A company mining cobalt, invests in machinery to replace some workers. Eventually diseconomies of scale occur.

What could cause this situation?

- A** As more cobalt is mined average costs increase.
 - B** Fewer workers are needed to produce the required output.
 - C** Output per hour increases as more machinery is used.
 - D** Overhead costs are spread as output increases.
- 13** Why are many hairdressers able to operate as small businesses?
- A** high level of competition
 - B** high scope for economies of scale
 - C** long period of training required
 - D** low start-up and running costs
- 14** Dimitry owns a firm that produces and sells bottles of lemonade. He only sells one size of bottle.
- How would Dimitry calculate the total revenue of the firm?
- A** multiply the quantity sold by the cost per bottle
 - B** multiply the quantity sold by the price per bottle
 - C** multiply the quantity sold by the profit per bottle
 - D** multiply the quantity sold by the tax per bottle

- 15** Which market is likely to be the most competitive?

	barriers to entry	number of sellers
A	high	few
B	high	many
C	low	few
D	low	many

- 16** An economy has a high rate of inflation. In response to this, its government increases income tax.

What is the **most** likely reason for this increase?

- A** to discourage the consumption of harmful goods
- B** to raise money for government spending
- C** to redistribute income
- D** to reduce total demand

- 17** Interest rates are sometimes raised to control inflation.

Why might this policy be effective?

- A** Consumers may save more.
- B** Government spending may increase.
- C** Investment may be encouraged.
- D** The exchange rate may fall.

- 18** A government's revenue grew 8% to \$3.25 trillion. Its expenditure was reduced to \$3.69 trillion.

What can be concluded from this?

	state of budget	government policy aim
A	deficit	increase deficit
B	deficit	reduce deficit
C	surplus	increase surplus
D	surplus	reduce surplus

- 19** A country's inflation rate, measured by the Consumer Prices Index (CPI), was 3% in year 1. Three years later it was 0.8%.

What can be concluded from this information?

- A** Prices are falling.
- B** The rate of price increases is falling.
- C** The real rate of interest is negative.
- D** There is increased purchasing power for those on fixed incomes.

20 What will deflation **most** likely lead to?

- A a fall in the real value of debts
- B an increase in the exchange rate
- C an increase in the rate of interest
- D an increase in the real purchasing power of money

21 Economic growth can be defined as

- A a reduction in a country's rate of inflation.
- B an increase in a country's exports.
- C an increase in a country's population.
- D an increase in a country's productive capacity.

22 The table compares the distribution of employment in selected industries in two years.

industry	employment in millions	
	year 1	year 2
agriculture	4	3
mining	2	2
manufacturing	6	6
retailing	4	4
transport	4	5
total	20	20

How did the distribution of employment change between year 1 and year 2?

	primary sector	secondary sector
A	fell	rose
B	fell	unchanged
C	rose	fell
D	rose	unchanged

23 In a year, two changes occurred in a company.

Company directors' salaries increased by 15%.

Office workers' wages increased by 5%.

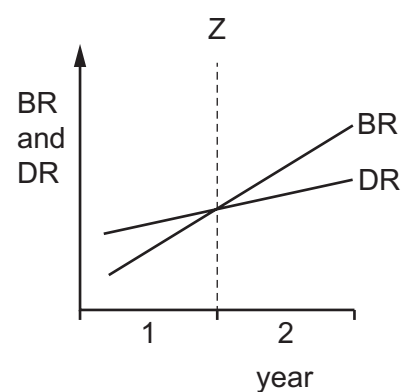
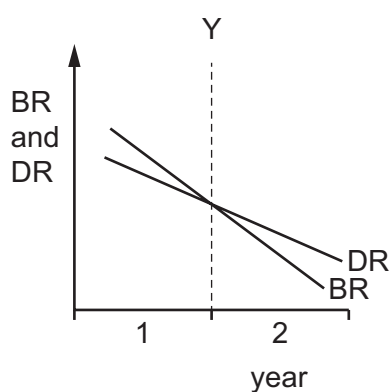
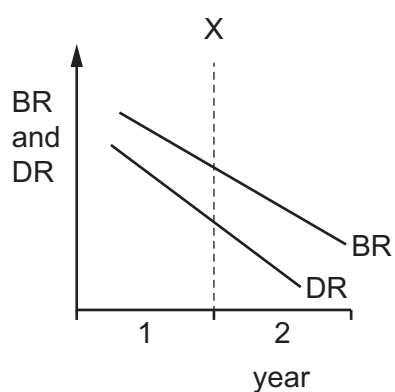
The rate of inflation was 3.4%.

What happened to real income?

	company directors' real income	office workers' real income
A	fell	fell
B	fell	rose
C	rose	fell
D	rose	rose

24 The diagrams show birth rate (BR) and death rate (DR) in three countries, X, Y and Z, in two years, 1 and 2.

There was no migration.



Where was there a rise in population in year 1 and a fall in population in year 2?

- A** X and Z **B** X only **C** Y and Z **D** Y only

- 25** The richest 60% of the population of a high-income economy received an increase in income. The income of the rest of the population did not change.

What happened to absolute and relative poverty?

	absolute poverty	relative poverty
A	increased	increased
B	increased	remained constant
C	remained constant	increased
D	remained constant	remained constant

- 26** Gross Domestic Product (GDP) is a better measure of comparative living standards when it is adjusted for the effects of

- A** exports and inflation.
- B** imports and exports.
- C** population change and exports.
- D** population change and inflation.

- 27** What is a disadvantage of increasing international specialisation?

- A** Consumers pay higher prices for goods and services reducing their welfare.
- B** Domestic firms may be uncompetitive leading to structural unemployment.
- C** Domestic firms may experience rising costs as they pay more for imports.
- D** Resources may be used less efficiently as domestic firms face less competition.

- 28** Which method of protection always reduces the supply of an imported good to zero?

- A** embargo
- B** quota
- C** subsidy
- D** tariff

- 29** A US car dealer agrees an import price of US\$25 000 for a Japanese car at the current rate of exchange.

The US dollar then strengthens by 10% against the Japanese yen.

What will be the new import price paid for the Japanese car?

- A** US\$20 000 **B** US\$22 500 **C** US\$25 000 **D** US\$27 500

30 A country has a deficit on its current account of its balance of payments.

What could increase the size of its deficit?

- A** increased exports of its services
- B** increased international competitiveness of its goods
- C** increased numbers of visitors from abroad
- D** increased spending on its military bases abroad

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Cambridge IGCSE™ (9–1)

ECONOMICS

0987/11

Paper 1 Multiple Choice

May/June 2021

MARK SCHEME

Maximum Mark: 30

Published

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This document consists of **3** printed pages.

Question	Answer	Marks
1	D	1
2	D	1
3	D	1
4	C	1
5	C	1
6	D	1
7	A	1
8	D	1
9	B	1
10	C	1
11	C	1
12	A	1
13	D	1
14	B	1
15	D	1
16	D	1
17	A	1
18	B	1
19	B	1
20	D	1
21	D	1
22	B	1
23	D	1
24	D	1
25	C	1
26	D	1
27	B	1
28	A	1

Question	Answer	Marks
29	B	1
30	D	1



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice

May/June 2021

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
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- 1 What is an advantage of competitive markets?
- A Competition causes inequalities of wealth.
 - B Competition encourages the efficient use of resources.
 - C The economic problem of scarcity is eliminated.
 - D The right quantity of merit goods is guaranteed.
- 2 A multinational company (MNC) wishes to invest in a low-income country to expand its palm oil production.
- What is **most** likely to make this investment possible?
- A high cost of clearing forests to increase land for plantations
 - B increased demand for palm oil
 - C shortages of labour in the rural economy
 - D the removal of subsidies for palm oil production
- 3 A farmer sells land used for crops to a firm that will use the land for wind turbines to produce electric power.
- What is the opportunity cost of this decision by the farmer?
- A the cost of installing wind turbines
 - B the loss of revenue from crops that grow on the land
 - C the profit made from selling the land
 - D the reduced cost of producing renewable energy
- 4 What is **not** included in microeconomics?
- A economies of scale
 - B forms of competition
 - C individual demand
 - D the inflation rate

5 What determines a consumer's demand for a product?

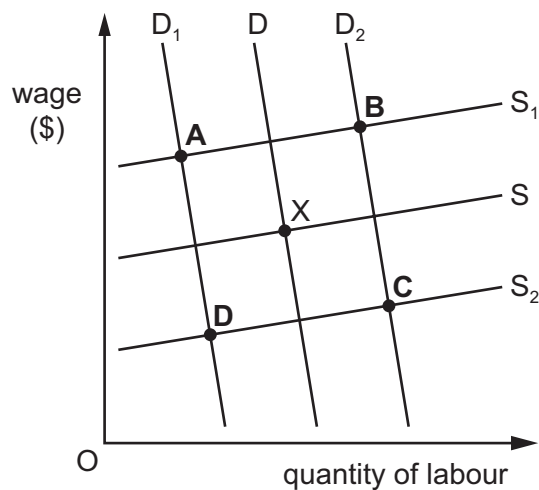
	the consumer's income	the consumer's willingness to buy the product	the price of the product
A	✓	✓	✓
B	✓	✓	x
C	x	✓	✓
D	✓	x	✓

6 Which problem will be reduced by a government subsidy to a firm?

- A** absence of a public good
- B** abuse of monopoly power
- C** overconsumption of a demerit good
- D** underconsumption of a merit good

7 The diagram shows the market for information technology (IT) graduates. The original equilibrium was X. Later, more IT students graduated from university and greater use of artificial intelligence (AI) increased the demand for IT staff.

What is the new equilibrium?



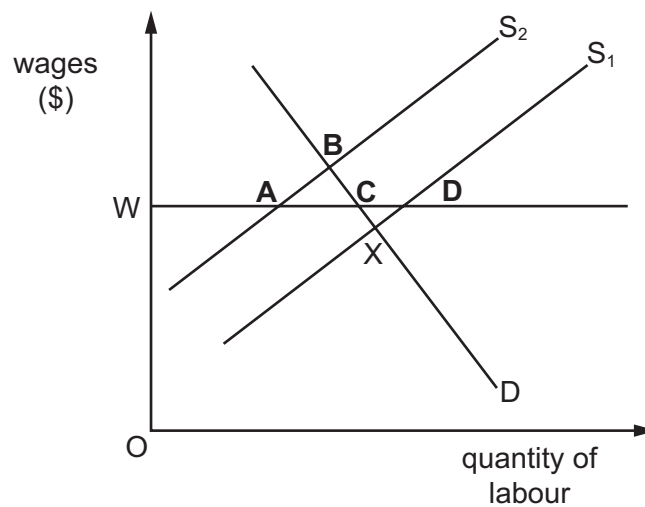
8 In response to an increase in price from \$5 per kilo to \$6 per kilo, a farmer increased supply from 400 kilos to 500 kilos per week.

What is the price elasticity of supply?

- A** 0.8
- B** 0.9
- C** 1.2
- D** 1.25

- 9 What might cause consumers in a high-income economy to both save more and spend more?
- A an increase in the rate of interest
 - B an increase in wealth
 - C expectation that prices will fall in the future
 - D inflation rising at a faster rate than wages
- 10 What would be a disadvantage of specialisation for a worker?
- A a low price of the product that they make
 - B boredom due to repetition of the same task
 - C higher quality of the good
 - D the opportunity to undertake training
- 11 The diagram shows a market for labour. X is the original equilibrium. A trade union negotiates a minimum wage at W, and the government restricts the supply of immigrant labour.

What is the new equilibrium?



- 12 Which cost of production falls continuously as output increases?
- A average fixed cost
 - B average total cost
 - C average variable cost
 - D total variable cost

- 13 A Swedish furniture maker bought a Romanian firm that owned 83 000 hectares of trees.
Which type of merger is this **most** likely to be?
- A diversification
 - B horizontal
 - C vertical backward
 - D vertical forward
- 14 What is calculated when price is multiplied by the quantity demanded of a product?
- A average revenue
 - B profit
 - C total cost
 - D total revenue
- 15 A private sector firm is the only supplier of rail services between two cities.
What will stop the firm charging very high ticket prices?
- A barriers to entry into rail services
 - B competition from public road transport
 - C government policy encouraging monopoly power
 - D high costs of maintaining rail tracks
- 16 What is a fiscal policy measure?
- A direct tax
 - B exchange rates
 - C interest rates
 - D regulation
- 17 A government uses expansionary monetary policy.
What does the government decrease?
- A bank lending
 - B interest rates
 - C the budget deficit
 - D the money supply

- 18** A country is experiencing unemployment. It has a progressive income tax policy and benefits for the poor. The government aims to increase employment and reduce income inequality.

Which fiscal policy measures are **most** likely to achieve these aims?

	income tax	benefits for the poor
A	decrease the highest tax rate	decrease
B	increase the highest tax rate	decrease
C	decrease the lowest tax rate	increase
D	increase the lowest tax rate	increase

- 19** The table shows changes in the Consumer Prices Index (CPI) from the base year, 1, and for the next three years.

year	1	2	3	4
CPI	100	101.1	101.8	102.1

Which statement is correct?

- A** Consumer prices were highest in year 3.
 - B** The rate of inflation was 2.1% in year 4.
 - C** The rate of inflation was highest in year 2.
 - D** The rate of inflation was lowest in year 1.
- 20** What is likely to happen when a country is experiencing deflation?
- A** Consumers delay spending.
 - B** Governments raise interest rates.
 - C** The level of imports increases.
 - D** The real value of money falls.
- 21** Economic growth can be defined as
- A** a reduction in a country's rate of inflation.
 - B** an increase in a country's exports.
 - C** an increase in a country's population.
 - D** an increase in a country's productive capacity.

22 The table compares the distribution of employment in selected industries in two years.

industry	employment in millions	
	year 1	year 2
agriculture	4	3
mining	2	2
manufacturing	6	6
retailing	4	4
transport	4	5
total	20	20

How did the distribution of employment change between year 1 and year 2?

	primary sector	secondary sector
A	fell	rose
B	fell	unchanged
C	rose	fell
D	rose	unchanged

23 In a year, two changes occurred in a company.

Company directors' salaries increased by 15%.

Office workers' wages increased by 5%.

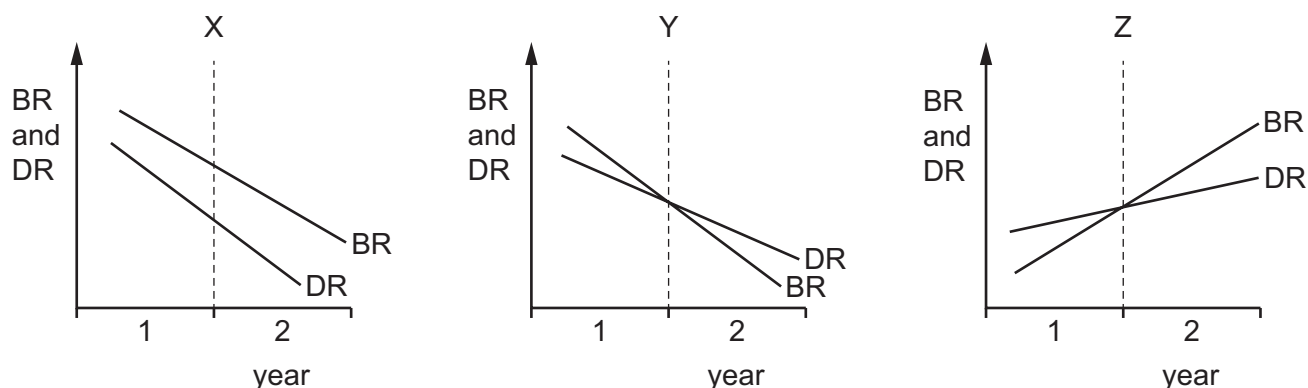
The rate of inflation was 3.4%.

What happened to real income?

	company directors' real income	office workers' real income
A	fell	fell
B	fell	rose
C	rose	fell
D	rose	rose

- 24** The diagrams show birth rate (BR) and death rate (DR) in three countries, X, Y and Z, in two years, 1 and 2.

There was no migration.



Where was there a rise in population in year 1 and a fall in population in year 2?

- A** X and Z **B** X only **C** Y and Z **D** Y only
- 25** The richest 60% of the population of a high-income economy received an increase in income. The income of the rest of the population did not change.

What happened to absolute and relative poverty?

	absolute poverty	relative poverty
A	increased	increased
B	increased	remained constant
C	remained constant	increased
D	remained constant	remained constant

- 26** Gross Domestic Product (GDP) is a better measure of comparative living standards when it is adjusted for the effects of
- A** exports and inflation.
B imports and exports.
C population change and exports.
D population change and inflation.

27 What is the **most** likely benefit for a low-income economy if it removes tariffs on imported goods and services?

- A** more choice for domestic consumers
- B** more employment in declining industries
- C** more exports by domestic firms
- D** more tax revenue from imports

28 Economies have become increasingly linked through globalisation.

What would discourage this?

- A** creation of a single world market
- B** direct foreign investment by multinational companies
- C** expansion of trade in financial services
- D** protectionist policies by trading groups

29 What may result from a balance of payments trade surplus?

- A** The exchange rate appreciates and causes export prices to fall.
- B** The exchange rate appreciates and causes export prices to rise.
- C** The exchange rate depreciates and causes export prices to fall.
- D** The exchange rate depreciates and causes export prices to rise.

30 A country has a deficit on its current account of its balance of payments.

What could increase the size of its deficit?

- A** increased exports of its services
- B** increased international competitiveness of its goods
- C** increased numbers of visitors from abroad
- D** increased spending on its military bases abroad

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Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice

May/June 2021

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the May/June 2021 series for most Cambridge IGCSE™, Cambridge International A and AS Level components and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	B	1
2	B	1
3	B	1
4	D	1
5	A	1
6	D	1
7	C	1
8	D	1
9	B	1
10	B	1
11	B	1
12	A	1
13	C	1
14	D	1
15	B	1
16	A	1
17	B	1
18	C	1
19	C	1
20	A	1
21	D	1
22	B	1
23	D	1
24	D	1
25	C	1
26	D	1
27	A	1
28	D	1

Question	Answer	Marks
29	B	1
30	D	1



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice

October/November 2021

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



- 1 To help reduce the price of oil, new supplies are needed. However, objectors oppose exploration of new sites because of the environmental damage it may cause.

Why is this statement an example of the basic economic problem?

- A Oil is a limited resource.
 - B Oil is expensive.
 - C The exploration involves demand and supply.
 - D There are external costs involved in production.
- 2 What is an opportunity cost for a consumer spending money on a holiday?
- A the potential interest earned if the holiday money had been saved
 - B the price paid for an air ticket to the holiday destination
 - C the rubbish created during the holiday which affects the local community
 - D the satisfaction that the consumer gains from the holiday
- 3 Helium is a gas that is limited in supply because it takes thousands of years to form. The US government holds 35% of the world's supply of helium and has been selling its stocks. Helium is essential in medical scanners. It is also used for party balloons, which is a wasteful alternative use of a valuable good.

Which two concepts apply to this statement?

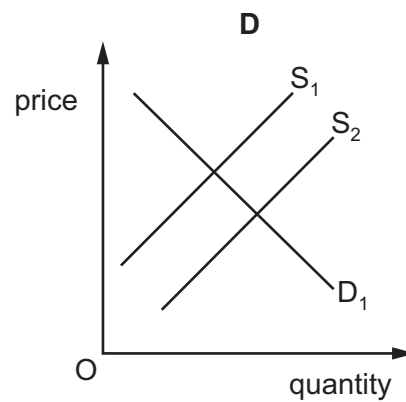
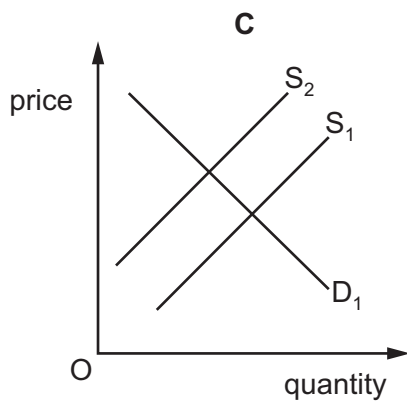
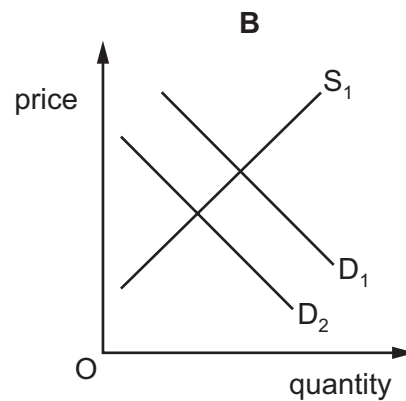
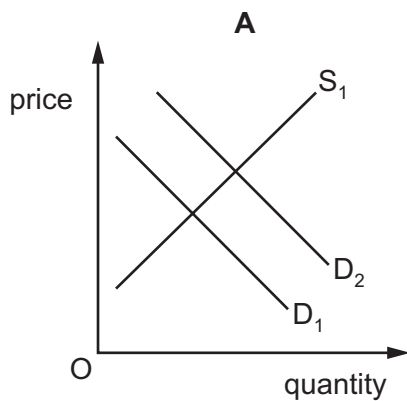
- A demand and supply, government subsidy
 - B excess demand, resource allocation
 - C opportunity cost, private monopoly
 - D public sector, factors of production
- 4 Which combination of characteristics describes a public good?
- A excludable and non-rival in consumption
 - B excludable and rival in consumption
 - C non-excludable and non-rival in consumption
 - D non-excludable and rival in consumption
- 5 What is an advantage of a market economy?
- A Equilibrium market price clears the market.
 - B Producers and consumers have the same aims.
 - C The government has no need to intervene in markets.
 - D The lowest price possible is always charged.

6 What is a macroeconomic aim of a government?

- A balance of payments stability
- B deflation
- C income inequality
- D unemployment

7 An economy relies on potash to make fertiliser. A new deposit of potash is discovered.

Which diagram shows this change in the market for potash?



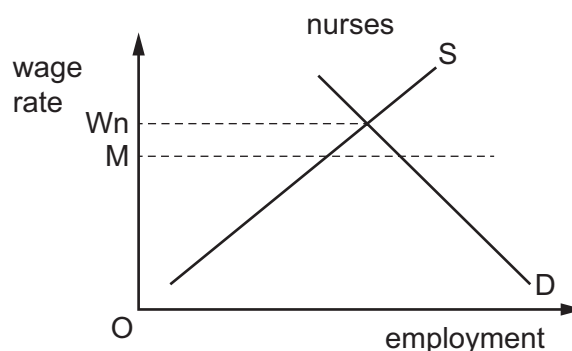
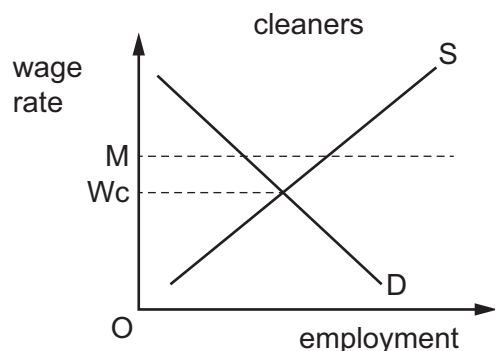
- 8 The table shows the quantity demanded at different prices.

price \$	quantity demanded
6	3
5	4
4	5
3	7
2	9

For which fall in price is the demand price-inelastic?

- A from \$6 to \$5
 - B from \$5 to \$4
 - C from \$4 to \$3
 - D from \$3 to \$2
- 9 Which government policy will increase productivity?
- A decreasing the number of training programmes
 - B encouraging labour-intensive production
 - C promoting good industrial relations
 - D reducing private sector investment

10 The diagrams show the wage rates of cleaners (OW_c) and nurses (OW_n).



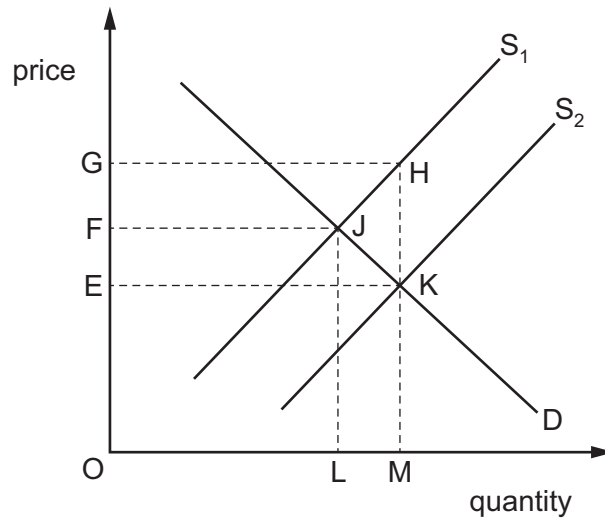
What is the result if a national minimum wage of OM is introduced?

	wage rate of cleaners	wage rate of nurses
A	fall	rise
B	no change	fall
C	rise	fall
D	rise	no change

11 Which result of increased specialisation in a firm is an advantage for the firm, but a disadvantage for some of the workers in the firm?

- A** greater mechanisation
- B** higher labour productivity
- C** higher skill levels
- D** longer training times

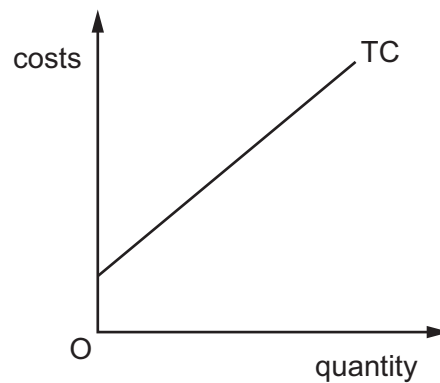
12 The diagram shows the imposition of a subsidy on a product supplied by a firm.



Which area represents the total revenue of the firm including the subsidy?

- A** EGHK **B** OEKM **C** OFJL **D** OGHM

13 The diagram shows the total cost curve for a firm.



What can be concluded about the firm?

- A** It has no fixed costs.
B It has no variable costs.
C Its average fixed cost increases.
D Its average variable cost is constant.

- 14** The table shows the average total cost of a firm over a range of output.

output (units)	average total cost (\$)
1	10
2	8
3	6
4	5
5	7
6	9

What happens after 4 units are produced?

- A** The firm experiences management problems.
- B** The firm gains the benefits of merging with another firm.
- C** The firm pays lower interest rates to banks.
- D** The firm receives significant discounts from bulk buying.

- 15** Two car manufacturers agree to merge.

Which outcome would be a disadvantage for customers?

- A** increased capital for research and development
- B** lower average costs through economies of scale
- C** reduced range of vehicles produced
- D** use of a wider range of marketing information

- 16** An economy recorded a second month of deflation.

What does this mean?

- A** It was facing a recession.
- B** Price levels were falling.
- C** Total demand was rising.
- D** Unemployment was falling.

17 What is a cause of demand-pull inflation?

- A a surplus of skilled labour
- B higher government expenditure
- C higher tax rates
- D lower net exports

18 What is the consequence of economic growth for individuals and for the economy?

	individuals	the economy
A	increase in absolute poverty	increase in inflation
B	increase in average incomes	increase in government tax revenue
C	increase in the variety of goods and services	reduction in exports
D	increase in unemployment	reduction in the standard of living

19 The table shows a government's receipts from taxation.

	\$m
air passenger duty	10
tax on firms' profits	100
import duty	75
income tax	200
inheritance tax	50
sales tax (VAT)	300

What is the total amount of revenue raised by indirect taxes?

- A \$300 m B \$350 m C \$385 m D \$435 m

20 Which supply-side policy measure would help to match the skills of workers to job vacancies?

- A encouraging the modernisation of factories
- B offering retraining to unemployed workers
- C reducing taxes to provide incentives to work
- D replacing government enterprises with private enterprises

21 How is the rate of inflation measured?

- A by calculating the change in the price of goods and services from one year to the next
- B by calculating the real value of all output of goods and services in an economy
- C by calculating the total number of people willing and able to work but cannot find work
- D by calculating the total value of exports minus the total value of imports

Due to an issue with Question 22, the question has been removed from the question paper.

23 Which combination of policy measures is **most** likely to increase the level of employment?

- A decrease general taxation and decrease the rate of interest
- B decrease general taxation and increase the rate of interest
- C increase general taxation and decrease the rate of interest
- D increase general taxation and increase the rate of interest

24 Poverty in households may be defined in relative terms.

What indicates relative poverty?

- A falling below society's expected standard of living
- B income level required to meet basic needs
- C lack of access to clean water
- D living on less than \$2 a day

25 What is the effect on an economy of net emigration of people aged 20–40?

- A a more mobile labour force
- B an ageing population
- C higher government tax revenue
- D rising house prices

26 The table shows statistics for four countries, **A–D**.

Which country has the lowest standard of living?

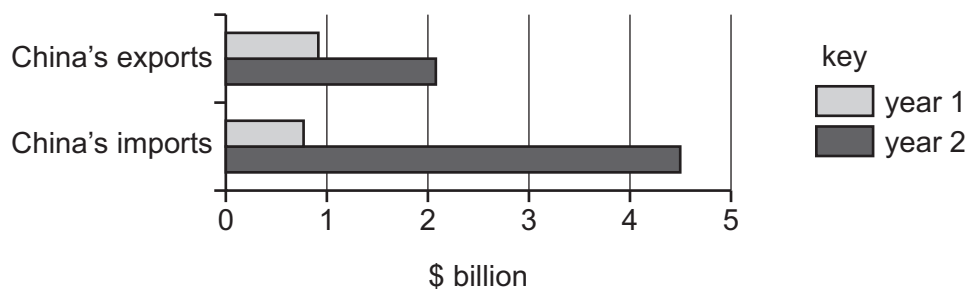
	average annual growth rate of population (%)	population density (per square kilometre)	life expectancy (years)	real GDP per head (\$)
A	1.9	19	46	190
B	2.7	2	58	1700
C	3.7	45	59	210
D	4.2	89	44	190

27 A country specialises in the production of steel, toys and textiles.

What is a disadvantage of specialisation for the country's workers?

- A** They cannot afford to buy products from other countries.
- B** They could become structurally unemployed if global demand changes.
- C** They have to learn a variety of skills.
- D** They have too much choice which wastes their time.

28 The diagram shows China's trade with Brazil for two years.



What happened to China's trade balance with Brazil between year 1 and year 2?

- A** It experienced a falling surplus.
- B** It experienced a rising deficit.
- C** It moved from deficit to surplus.
- D** It moved from surplus to deficit.

29 The US imposed tariffs on cars and motorcycles from Germany.

What is the effect of these tariffs?

- A** decrease in inflation in the US
- B** decrease in trade between the US and Germany
- C** increase in profits of car and motorcycle producers from Germany
- D** increase in standards of living in the US and in Germany

30 What is an immediate effect for a country of a fall in its foreign exchange rate?

- A** a fall in the money supply
- B** an increase in purchasing power
- C** cheaper imports
- D** more competitive exports

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Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice 12

October/November 2021

MARK SCHEME

Maximum Mark: 30

Published

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Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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This document consists of **3** printed pages.

Question	Answer	Marks
1	A	1
2	A	1
3	D	1
4	C	1
5	A	1
6	A	1
7	D	1
8	D	1
9	C	1
10	D	1
11	A	1
12	D	1
13	D	1
14	A	1
15	C	1
16	B	1
17	B	1
18	B	1
19	C	1
20	B	1
21	A	1
22	Question Discounted	1
23	A	1
24	A	1
25	B	1
26	D	1
27	B	1
28	D	1

Question	Answer	Marks
29	B	1
30	D	1



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/11

Paper 1 Multiple Choice

May/June 2022

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

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INFORMATION

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- 1 A government uses different supply-side policy measures to improve economic performance.

Which policy measure would **not** satisfy one of the government's macroeconomic aims?

- A changing the tax system which leads to more tax evasion
- B encouraging foreign investment which improves the balance of payments
- C privatising state industries which increases economic growth
- D retraining redundant workers which lowers unemployment

- 2 What could cause an increase in demand for a factor of production?

- A decrease in the efficiency of the factor of production
- B decrease in the price of an alternative factor of production
- C increase in the demand for the good or service produced
- D increase in the price of the factor of production

- 3 Which components, in addition to Gross Domestic Product (GDP) per head, are included in the Human Development Index (HDI)?

- A average earnings and inequalities of incomes
- B balance of trade and balance of payments
- C life expectancy at birth and expected years of schooling
- D size of population and age structure of population

- 4 The US government introduces tariffs on steel imported from China. This increases the price of imported Chinese steel.

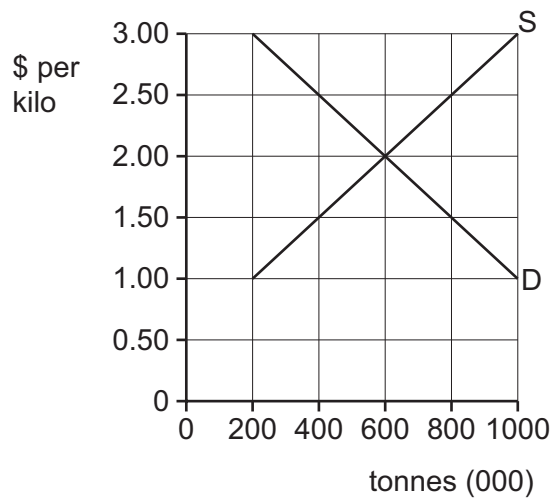
Whose income would be likely to increase as a direct result?

	Chinese steel producers	US government
A	yes	yes
B	yes	no
C	no	yes
D	no	no

- 5 A government retrain unemployed industrial workers to increase employment opportunities. The policy may have adverse effects on other government macroeconomic aims.

What illustrates this situation?

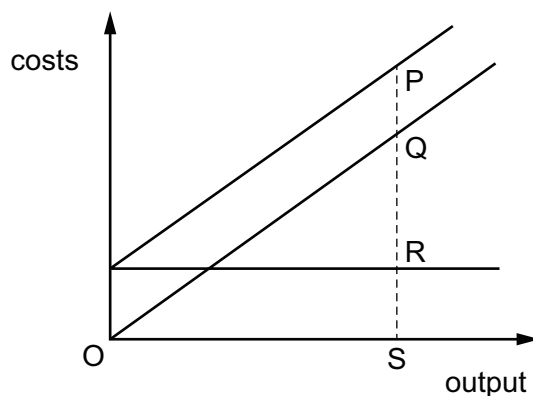
- A Better skilled workers may increase productivity and improve economic growth.
 - B Increased wage-earning capacity may lead to demand-pull inflation.
 - C More employed workers may reduce government expenditure on benefit payments.
 - D Near full employment may result in a more stable balance of payments.
- 6 The diagram shows the demand and supply for apples.



To what extent is the market for apples in disequilibrium at a price of \$2.50 per kilo?

- A Demand exceeds supply by 200 000 tonnes.
- B Demand exceeds supply by 400 000 tonnes.
- C Supply exceeds demand by 200 000 tonnes.
- D Supply exceeds demand by 400 000 tonnes.

- 7 The diagram shows the fixed costs, variable costs and total costs of a firm at output S.



Which distance represents the firm's variable costs?

- A** PQ **B** PS **C** QR **D** QS
- 8 The table shows the world output of iron ore and the average yearly price for four years.

year	world output of iron ore (billion tonnes)	average yearly price (\$ per tonne)
year 1	2.86	128
year 2	2.98	135
year 3	2.22	97
year 4	2.28	95

What can be concluded about the relationship between world output of iron ore and the average yearly price over the four years?

	world output	average yearly price
A	highest	highest
B	highest	lowest
C	lowest	highest
D	lowest	lowest

- 9 A firm has a high price elasticity of supply for its product.

What does this indicate?

- A It can increase revenue by reducing the price.
- B It can quickly respond to changes in price.
- C It keeps very low volumes of product in stock.
- D It produces a good that has close substitutes.

- 10 A manufacturer of medical supplies benefits from improved road links to its main markets.

What benefit definitely occurs as a result?

- A increased average revenue
- B increased external economies of scale
- C increased internal economies of scale
- D increased market share

- 11 Which row shows an essential characteristic of competitive markets and monopoly markets?

	competitive markets	monopoly markets
A	many buyers	single seller
B	many sellers	single buyer
C	single buyer	many buyers
D	single seller	many sellers

- 12 A student has nothing to do on a Friday evening. She withdraws \$5 from the \$100 she has in a savings account and buys a present to take to a party, to which admission is free.

What does this involve?

- A an opportunity cost equal to \$95
- B an opportunity cost equal to other goods she could have bought for \$5
- C no opportunity cost, as entrance to the party is free
- D no opportunity cost, as she had no better way of using the time

- 13 The development of artificial intelligence in machines raises the productivity of capital.

What will be the effect of this?

- A The costs of production will increase.
- B The demand for capital will increase.
- C The price of capital will fall.
- D The supply of capital will decrease.

- 14 Which combination is necessary for the construction of a consumer prices index?

	a base year	price stability	weights
A	yes	yes	yes
B	yes	no	yes
C	yes	no	no
D	no	yes	yes

- 15 A government removed the quota on goods imported into the country.

What is the **most** likely result of this?

- A a decrease in demand for domestic production
- B a decrease in domestic unemployment
- C a decrease in exports
- D a decrease in the balance of trade deficit

- 16 What is an advantage of a country having a market economic system with a large private sector?

- A Firms can become unprofitable if they do not produce what consumers want.
- B Market forces often fail to ensure maximum benefits for society.
- C Some goods may not be provided at all or not in sufficient quantity.
- D There is an unequal distribution of income which can increase over time.

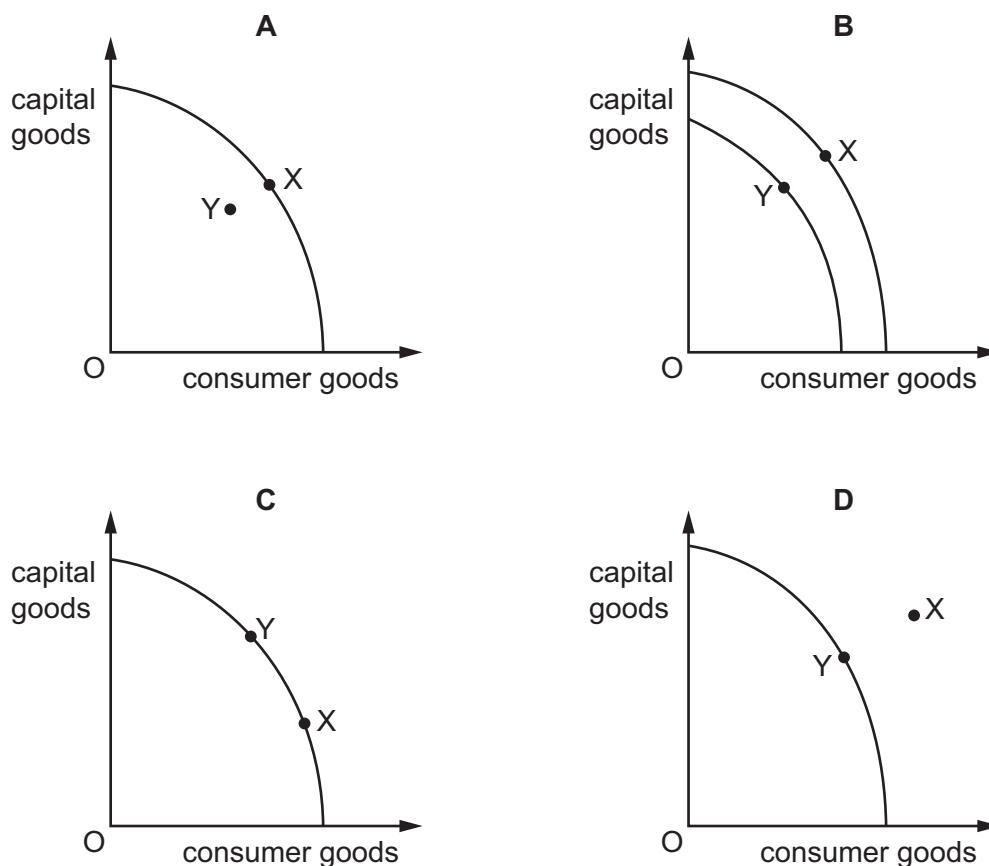
- 17 What is an example of a fiscal policy measure?

- A increasing the exchange rate
- B reducing the power of trade unions
- C reducing the rate of corporation tax
- D setting a lower interest rate

- 18 Why would an increase in the interest rate potentially lead to lower inflation?
- A Consumers will be more willing to save when interest rates are high.
 - B Consumers will be more willing to spend when interest rates are high.
 - C Producers will be more willing to borrow from banks when interest rates are high.
 - D Producers will be more willing to invest when interest rates are high.
- 19 Which government action will **not** add directly to the quantity or quality of human resources?
- A improvement in health facilities
 - B investment in education and training
 - C provision of better food and nutrition
 - D reclamation of land from the sea
- 20 What is a likely cause of economic growth?
- A decreased employment
 - B decreased investment
 - C decreased productivity
 - D decreased taxation

21 An economy experiences a recession and moves from full employment to 5% unemployment.

Which movement from X to Y on the PPC diagram shows the consequence for the economy?



22 The table shows how three people, X, Y and Z, spend their income.

	person X	person Y	person Z
food, clothing and housing	30%	25%	50%
entertainment and leisure	35%	35%	25%
luxury goods	35%	40%	25%

What is the likely order of income, from lowest income to highest income, for these three people?

- A** Y → X → Z
- B** Y → Z → X
- C** Z → X → Y
- D** Z → Y → X

23 Why would standards of living fall when there is a recession?

- A** The government would increase taxes to combat the recession.
- B** The purchasing power of households would fall.
- C** The value of the domestic currency would increase.
- D** There would be a rise in the level of immigration.

24 What is the purpose of an economy's production possibility curve (PPC)?

- A** It answers the question of what to produce in an economy.
- B** It enables microeconomic decisions to be taken by firms.
- C** It measures the supply of goods and services available in an economy.
- D** It shows the productive capacity in an economy at a point in time.

25 The governments of low-income countries often allow foreign multinational companies (MNCs) to mine minerals in their country.

Which conflict between benefit and cost might this cause the low-income countries?

	benefit	cost
A	improved balance of trade	training by the MNCs
B	higher employment	loss of a finite resource
C	increased profits for the MNCs	efficient production
D	more sustainable development	economic growth

26 The table shows some economic indicators.

Which increase in the first indicator is **most** likely to lead to an increase in the second indicator?

	first indicator	second indicator
A	budget surplus	consumer saving
B	consumer spending	unemployment
C	inflation	trade surplus
D	productivity	living standards

27 What is the definition of *foreign exchange rate*?

- A the difference between emigration and immigration
- B the difference between the values of imports and exports
- C the price of one currency in terms of another
- D the price of one good in terms of another

28 Which activity is correctly linked to the organisation that provides it?

	organisation	activity
A	central bank	regulate the rate of inflation
B	central bank	set direct tax rates
C	commercial bank	manage the government's financial accounts
D	commercial bank	safeguard the country's foreign reserves

29 Which topic is **not** included in microeconomics?

- A consumer demand
- B economies of scale
- C forms of competition
- D inflation

30 What is likely to cause an immediate decrease in the size of the labour force?

- A a fall in the average size of families
- B a fall in the birth rate
- C a reduction in the age of retirement
- D an increase in net immigration

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Cambridge IGCSE™ (9–1)

ECONOMICS

0987/11

Paper 1 Multiple Choice

May/June 2022

MARK SCHEME

Maximum Mark: 30

Published

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This document consists of **3** printed pages.

Question	Answer	Marks
1	A	1
2	C	1
3	C	1
4	C	1
5	B	1
6	D	1
7	D	1
8	A	1
9	B	1
10	B	1
11	A	1
12	B	1
13	B	1
14	B	1
15	A	1
16	A	1
17	C	1
18	A	1
19	D	1
20	D	1
21	A	1
22	C	1
23	B	1
24	D	1
25	B	1
26	D	1
27	C	1
28	A	1

Question	Answer	Marks
29	D	1
30	C	1



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice

May/June 2022

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Do **not** write on any bar codes.
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INFORMATION

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This document has **12** pages. Any blank pages are indicated.



1 What is an example of a free good?

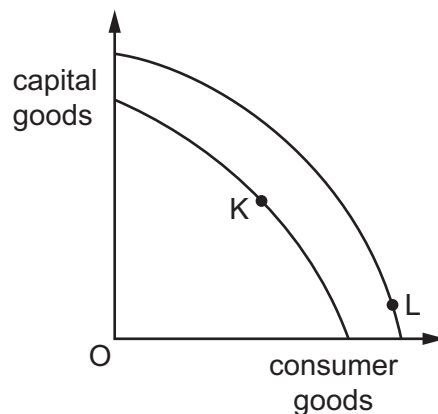
- A defence
- B education
- C health services
- D sunshine

2 A student has nothing to do on a Friday evening. She withdraws \$5 from the \$100 she has in a savings account and buys a present to take to a party, to which admission is free.

What does this involve?

- A an opportunity cost equal to \$95
- B an opportunity cost equal to other goods she could have bought for \$5
- C no opportunity cost, as entrance to the party is free
- D no opportunity cost, as she had no better way of using the time

3 The diagram shows two production possibility curves for a country.



What might cause a shift from point K to point L in the country's production?

- A a change in what consumers want to buy
- B a recession
- C more investment
- D the use of previously unemployed resources

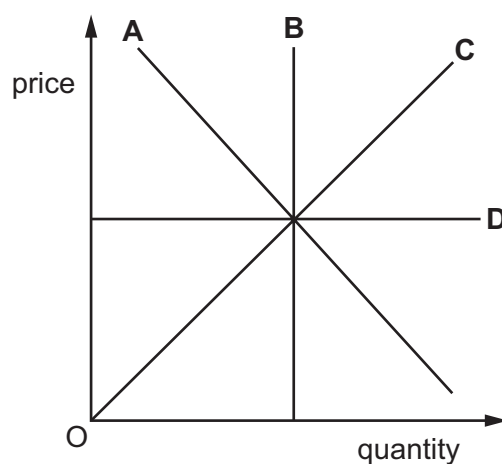
4 Which relationship would be studied by an economist specialising in macroeconomics?

- A the relationship between the inflation rate and the unemployment rate
- B the relationship between the output of a firm and its costs of production
- C the relationship between the price of a product and the quantity demanded by a consumer
- D the relationship between the wage rate of workers and demand for labour in an occupation

- 5 In recent years, a government has started to make more use of the free market system. However, they are doing it very slowly to avoid the disadvantages that a free market system might bring.

What is a possible disadvantage of the free market system?

- A decreased incentive to work
 - B decreased levels of pollution
 - C increased efficiency
 - D increased inequality of income
- 6 What will cause the demand curve for a good to shift to the right?
- A a decrease in the disposable income of consumers
 - B a decrease in the price of a complement good
 - C a decrease in the price of a substitute good
 - D a decrease in the price of the good
- 7 In the diagram, which demand curve has perfectly elastic demand?

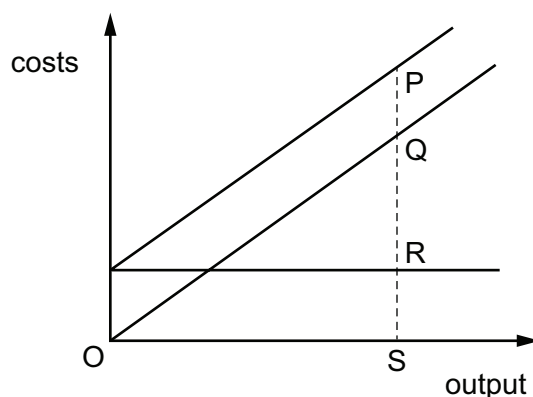


- 8 The table shows the demand and supply schedules for rice. The current price is \$2.00 per kilo.

price per kilo \$	quantity demanded (million tonnes)	quantity supplied (million tonnes)
2.50	5	30
2.00	10	25
1.50	20	20
1.00	30	15
0.50	40	10

What will happen if the price is reduced to \$1.00 per kilo?

- A** The demand schedule will shift to the left.
B The market will move from shortage to surplus.
C The market will move from surplus to shortage.
D The supply schedule will shift to the right.
- 9 The diagram shows the fixed costs, variable costs and total costs of a firm at output S.



Which distance represents the firm's variable costs?

- A** PQ **B** PS **C** QR **D** QS
- 10 What could cause profits to be high in a monopoly market?
- A** barriers to entry
B diseconomies of scale
C elastic demand for the product
D high number of substitutes for the product

11 Which firm is **most** likely to be classified as a small firm in the tertiary sector?

- A a farm
- B a hairdresser
- C a steelworks
- D a supermarket

12 Germany is considered a capital-intensive economy while Indonesia is considered a labour-intensive economy.

What does this mean about the economies of Germany and Indonesia?

- A Capital is relatively cheaper than labour in Germany while labour is relatively cheaper than capital in Indonesia.
- B Germany has many primary sector workers while Indonesia has many tertiary sector workers.
- C Indonesia has a higher growth in its population size than Germany.
- D Relatively more low-cost labour is available in Germany while capital is more efficient than labour in Indonesia.

13 A bank continues to operate loss-making branches.

Which objective is the bank trying to achieve?

- A growth
- B efficiency
- C profit maximisation
- D social welfare

14 The table shows how three people, X, Y and Z, spend their income.

	person X	person Y	person Z
food, clothing and housing	30%	25%	50%
entertainment and leisure	35%	35%	25%
luxury goods	35%	40%	25%

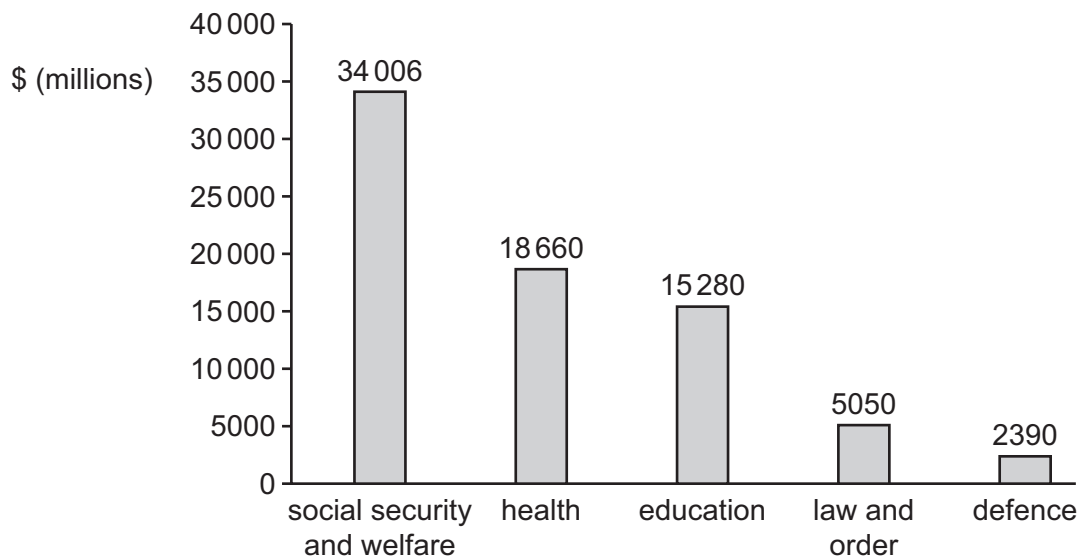
What is the likely order of income, from lowest income to highest income, for these three people?

- A $Y \rightarrow X \rightarrow Z$
- B $Y \rightarrow Z \rightarrow X$
- C $Z \rightarrow X \rightarrow Y$
- D $Z \rightarrow Y \rightarrow X$

15 Which activity is correctly linked to the organisation that provides it?

	organisation	activity
A	central bank	regulate the rate of inflation
B	central bank	set direct tax rates
C	commercial bank	manage the government's financial accounts
D	commercial bank	safeguard the country's foreign reserves

16 The chart shows a government's spending in a year.

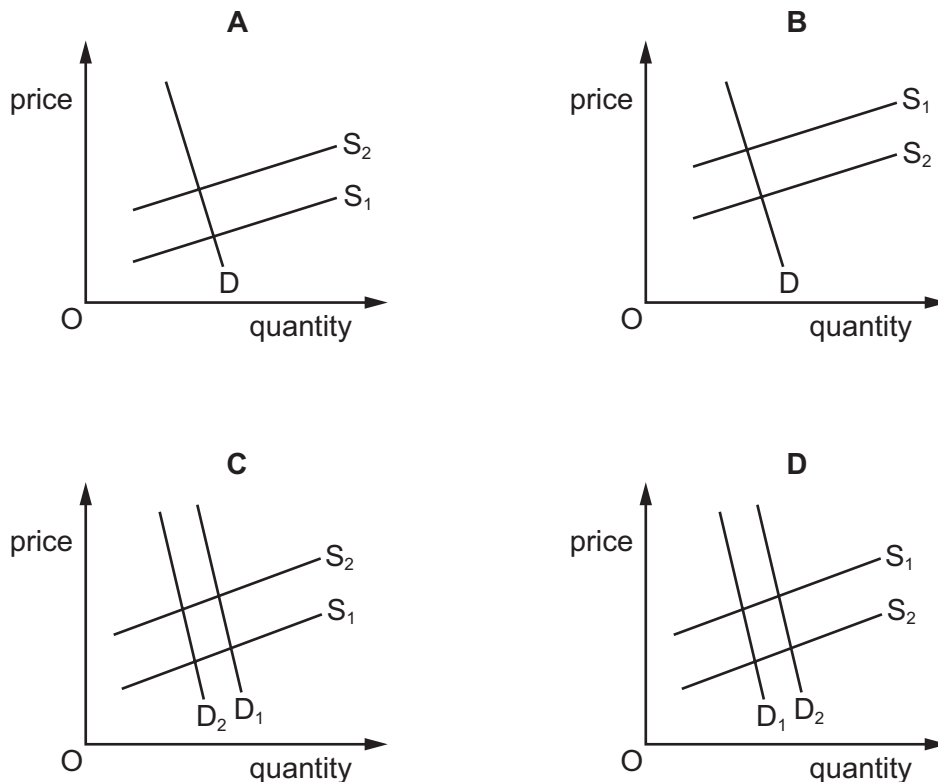


What was the total government spending on public goods?

- A** \$2390 million
- B** \$5050 million
- C** \$7440 million
- D** \$33940 million

- 17** A government levies a specific tax on the supply of cigarettes. At the same time it starts a campaign to explain the health risks of smoking cigarettes.

Which diagram illustrates the effects on the demand and supply of cigarettes?



- 18** A government wishes to pursue an expansionary monetary policy.

What should it do?

- A** discourage bank lending
 - B** give subsidies to firms
 - C** lower income tax thresholds
 - D** lower interest rates
- 19** A government introduces a series of economic measures.
- What is a supply-side policy measure?
- A** building more affordable homes to improve labour mobility
 - B** controlling consumer spending to reduce inflation
 - C** lowering interest rates to encourage purchase of expensive goods
 - D** raising pensions to help retired people pay their fuel bills

20 What is identified as economic growth?

- A a fall in labour productivity
- B an increase in the productive capacity of the economy
- C an increase in the Consumer Prices Index (CPI)
- D the economy enters a period of recession

21 The retail trade in a country has unemployed workers in one region and job vacancies in another region.

What could explain this?

- A Costs of employing workers are lower when there is unemployment.
- B It is more expensive to live in the area where the retail jobs are available.
- C Retailing demands the same skills everywhere.
- D The geographical mobility of labour has increased.

22 A country wishes to reduce the level of inflation.

Which combination of policy measures will be **most** successful?

	policy measure 1	policy measure 2
A	decrease exchange rates	increase interest rates
B	decrease interest rates	increase exchange rates
C	increase government spending	decrease interest rates
D	increase interest rates	decrease government spending

23 A government wants to reduce both its budget deficit and the amount of poverty in its country.

Which fiscal policy measure is **most** likely to achieve both of these aims?

- A decreasing the rate of progressive income tax
- B decreasing government spending on welfare benefits
- C increasing the rate of progressive income tax
- D increasing government spending on welfare benefits

24 Which components, in addition to Gross Domestic Product (GDP) per head, are included in the Human Development Index (HDI)?

- A** average earnings and inequalities of incomes
- B** balance of trade and balance of payments
- C** life expectancy at birth and expected years of schooling
- D** size of population and age structure of population

25 What is likely to cause an immediate decrease in the size of the labour force?

- A** a fall in the average size of families
- B** a fall in the birth rate
- C** a reduction in the age of retirement
- D** an increase in net immigration

26 The table shows some economic indicators.

Which increase in the first indicator is **most** likely to lead to an increase in the second indicator?

	first indicator	second indicator
A	budget surplus	consumer saving
B	consumer spending	unemployment
C	inflation	trade surplus
D	productivity	living standards

27 The price of a currency in a fixed exchange rate system is reduced.

What is this called?

- A** appreciation
- B** depreciation
- C** devaluation
- D** revaluation

- 28 A government removed the quota on goods imported into the country.

What is the **most** likely result of this?

- A a decrease in demand for domestic production
 - B a decrease in domestic unemployment
 - C a decrease in exports
 - D a decrease in the balance of trade deficit
- 29 What is **most** likely to result from a reduction in the value of a country's currency if there are no other changes in the economy?
- A A trade in goods surplus will fall.
 - B Export prices will rise.
 - C Import prices will rise.
 - D The inflation rate will fall.
- 30 The governments of low-income countries often allow foreign multinational companies (MNCs) to mine minerals in their country.

Which conflict between benefit and cost might this cause the low-income countries?

	benefit	cost
A	improved balance of trade	training by the MNCs
B	higher employment	loss of a finite resource
C	increased profits for the MNCs	efficient production
D	more sustainable development	economic growth

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Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice

May/June 2022

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12	A	1
13	D	1
14	C	1
15	A	1
16	C	1
17	C	1
18	D	1
19	A	1
20	B	1
21	B	1
22	D	1
23	C	1
24	C	1
25	C	1
26	D	1
27	C	1
28	A	1

Question	Answer	Marks
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Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice

October/November 2022

45 minutes

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- 1 The Chinese government is concerned about the level of poverty and the need for more resources in low-income regions of the country. As a result, it is increasing its expenditure in those regions and reducing it in high-income regions.

Which economic concept does this government policy illustrate?

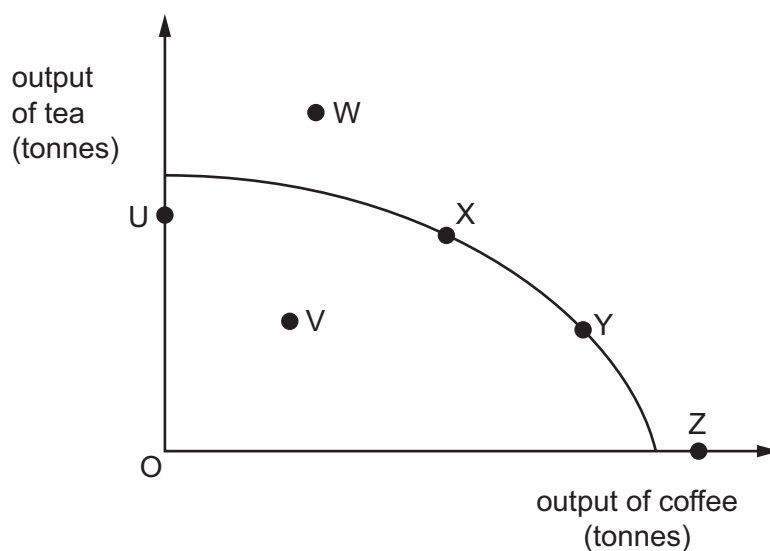
- A diseconomies of scale
- B market forces
- C opportunity cost
- D specialisation

- 2 An airline needs people and equipment. These can be divided into factors of production.

What is allocated to its correct factor of production?

	people or equipment	factor of production
A	aircraft	capital
B	airline owners	labour
C	computer network	land
D	pilots	enterprise

- 3 The diagram shows a production possibility curve (PPC) and a number of output combinations for tea and coffee.



Which combinations of tea and coffee could the economy currently produce?

- A U, V, W, X
- B U, V, X, Y
- C U, V, X, Z
- D V, X, Y, Z

4 What is a disadvantage of a market economy?

- A Consumer choice is ignored.
- B Consumers may lack information.
- C Government subsidies encourage efficiency.
- D There is no incentive to work.

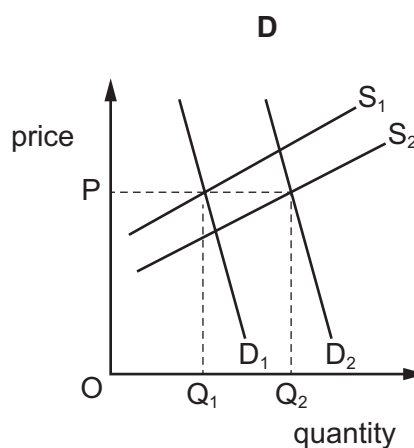
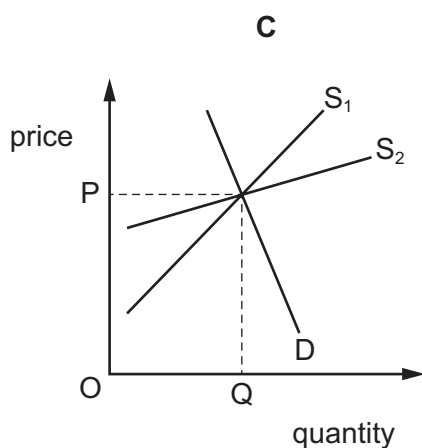
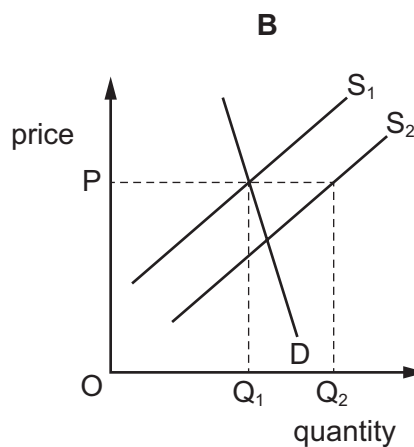
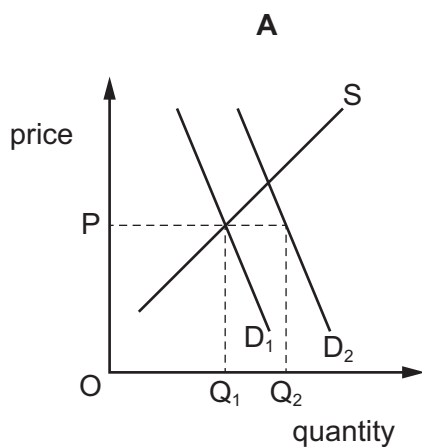
5 Workers are awarded a pay rise but do **not** increase their productivity. Workers do **not** buy the product that they produce.

How would this change be shown on a demand and supply diagram for the product?

- A The demand curve will shift to the left.
- B The demand curve will shift to the right.
- C The supply curve will shift to the left.
- D The supply curve will shift to the right.

6 The diagrams show changes in market conditions.

Which diagram shows a shortage at price P?



7 What is the definition of price elasticity of demand?

- A the responsiveness of quantity demanded of a product to a change in income of consumers
- B the responsiveness of quantity demanded of a product to a change in the price of a complementary product
- C the responsiveness of quantity demanded of a product to a change in the price of that product
- D the responsiveness of quantity demanded of a product to a change in the price of a substitute product

8 To reduce traffic congestion, a government decides to build a new road. There is a toll charge on the new road.

What is the main purpose of this government intervention?

- A to address the problem of market failure
- B to discourage people from using public transport
- C to ensure the supply of transport through the free market
- D to obtain revenue from the levy of a toll

9 Which organisations can directly fund the growth of firms?

	central banks	commercial banks	governments
A	no	yes	no
B	no	yes	yes
C	yes	no	no
D	yes	no	yes

10 Which advantage do coins have that makes them more suitable than paper banknotes to act as money?

- A They are more divisible.
- B They are more durable.
- C They are more portable.
- D They are more recognisable.

11 Which statement about different income groups is correct?

- A High-income groups do not need to borrow money.
- B High-income groups save less money than low-income groups.
- C Low-income groups find it easier to borrow than high-income groups.
- D Low-income groups save a smaller percentage of their income than high-income groups.

12 A musician has a choice of playing for an orchestra in either Germany or England.

Which combination of incomes and cost of living is **most** likely to cause her to choose the German orchestra?

	incomes and cost of living in Germany compared with those in England		
	pre-tax (gross) income	after-tax (net) income	cost of living
A	higher	higher	higher
B	higher	lower	lower
C	lower	higher	higher
D	lower	higher	lower

13 The central bank of a country decreases interest rates to help the economy out of a recession.

How is this decrease in interest rates **most** likely to affect the levels of saving in and borrowing from the country's commercial banks?

	saving	borrowing
A	decreases	decreases
B	decreases	increases
C	increases	increases
D	increases	decreases

14 Which effect of increased specialisation by firms and workers is **most** likely to cause problems for an economy?

- A better product quality
- B greater interdependence
- C higher productivity
- D improved resource allocation

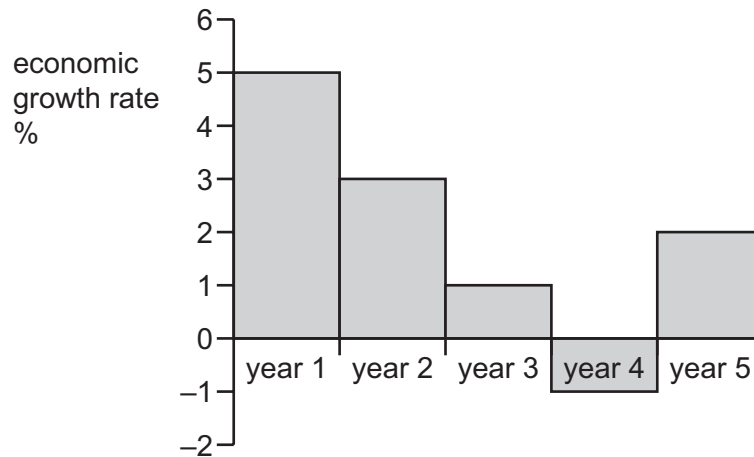
- 15 Which statement is correct when comparing small firms with large firms?
- A Small firms are more able to adapt to changes in market conditions.
 - B Small firms are more able to reduce competition through barriers to entry.
 - C Small firms benefit from lower cost per unit from economies of scale.
 - D Small firms have higher total fixed costs and lower average fixed costs.
- 16 Which pair is included in a government's budget?
- A consumption and factor income
 - B exports and imports
 - C investments and savings
 - D public expenditure and tax revenue
- 17 The table shows the rate of income tax paid at different income levels.

level of income \$	rate of income tax %
30 000	20
40 000	30
50 000	40

What describes this type of tax?

- A indirect
 - B progressive
 - C proportional
 - D regressive
- 18 A central bank reduces interest rates.
- What would **not** be a consequence of this action?
- A a benefit for borrowers receiving loans
 - B a fall in the international value of the currency
 - C a reduction in inflation
 - D an increase in GDP

- 19 The diagram shows a country's economic growth rate over a 5-year period.



What can be concluded from the diagram?

- A Output fell throughout the period.
 - B Output was at its highest in year 1.
 - C Output was at its highest in year 5.
 - D Output was at its lowest in year 4.
- 20 An individual decides to employ a professional decorator rather than buying the materials and decorating her house herself.

Why would this decision cause GDP to rise?

- A The activity would be recorded as income for the decorator.
 - B The individual would have more leisure time.
 - C The professional decorator can purchase materials at a discount.
 - D The professional decorator would work less efficiently than the individual.
- 21 What is the definition of the unemployment rate?
- A the benefits and allowances paid by the government to people without a job
 - B the number of people without a job but seeking a job as a percentage of the labour force
 - C the rate of change in the number of people who have not worked over the last year
 - D the total number of people not working when the data was calculated

22 What is **most** likely to cause inflation?

- A** a reduction in exports
- B** a reduction in government spending
- C** an increase in the rate of interest
- D** an increase in trade union power

23 The table shows changes in economic growth and inflation.

Which changes are likely to be the result of rising unemployment?

	economic growth	inflation
A	falling	falling
B	falling	rising
C	rising	falling
D	rising	rising

24 The table shows the percentage changes in earnings and consumer prices for four countries in one year.

Which country is likely to have experienced the greatest increase in real income during the year?

	country	earnings	consumer prices
A	France	+6.5	+3.5
B	Germany	+4.0	+4.0
C	Japan	+4.0	−1.0
D	UK	+6.5	−2.0

25 What is included in the Human Development Index (HDI)?

	environmental sustainability	life expectancy	years of schooling
A	no	no	yes
B	no	yes	no
C	no	yes	yes
D	yes	yes	yes

26 A fall in the level of absolute poverty can be best achieved by reducing

- A government unemployment benefits.
- B income tax.
- C the number of homeless people.
- D the rate of inflation.

27 The table shows some details from a country's balance of payments. The country has no secondary income (current transfers).

item	\$ million
exports of goods	280
imports of goods	350
exports of services	110
imports of services	60
net primary income	–40

What is the country's balance on its current account?

- A a deficit of \$60 million
- B a deficit of \$160 million
- C a surplus of \$20 million
- D a surplus of \$760 million

28 Vietnamese companies buy insurance from companies in the US.

How will this transaction be recorded in the Vietnamese balance of payments?

	section	credit / debit
A	trade in goods	credit
B	trade in services	credit
C	trade in services	debit
D	current transfers	debit

29 What is a restriction on the quantity of imports called?

- A dumping
- B quota
- C subsidy
- D tariff

- 30** Which combination of factors would attract a multinational company (MNC) producing smartphones to operate in a low-income country?
- A** high economic growth rate and supply of cheap labour
 - B** low corporation tax and competitive local market
 - C** limited supply of skilled workers and cheap land
 - D** strict employment laws and high import duties

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15	A	1
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17	B	1
18	C	1
19	C	1
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23	A	1
24	D	1
25	C	1
26	C	1
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28	C	1

Question	Answer	Marks
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Cambridge IGCSE™ (9–1)

ECONOMICS

0987/11

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May/June 2023

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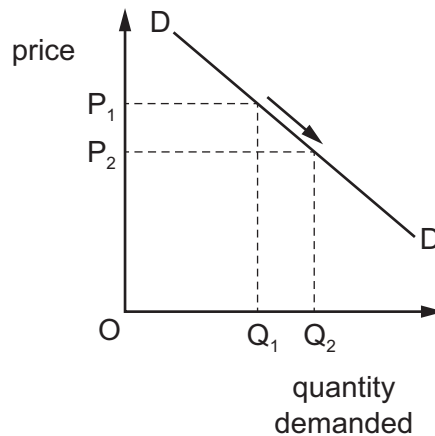
- 1 What is the cause of scarcity in an economy?
 - A high employment levels
 - B high investment levels
 - C unlimited resources
 - D unlimited wants

- 2 What does a point on a production possibility curve for an economy represent?
 - A economic growth is falling
 - B inefficient use of resources available
 - C maximum output possible with current technology
 - D total demand for goods and services

- 3 What is **most** likely to increase enterprise as a factor of production in an economy?
 - A a decrease in government spending on education
 - B a decrease in regulation on firms
 - C an increase in emigration
 - D an increase in taxation on firms

- 4 Which economic activity would be classified as macroeconomics?
 - A households spend less on holidays abroad
 - B income tax is increased by the government
 - C wages rise for construction workers
 - D world coffee price rises due to poor weather

- 5 The diagram shows the effect of a decrease in price on the demand for a product.



What does the arrow on the diagram illustrate?

- A contraction in demand
 - B decrease in demand
 - C extension in demand
 - D increase in demand
- 6 What is the correct formula to calculate price elasticity of supply?
- A the percentage change in price divided by the change in quantity supplied
 - B the percentage change in price divided by the percentage change in quantity supplied
 - C the percentage change in quantity supplied divided by the change in price
 - D the percentage change in quantity supplied divided by the percentage change in price
- 7 What is the **most** likely cause of a product having a price elasticity of demand greater than one?
- A The product has a close substitute.
 - B The product is a habit-forming good.
 - C The product is a necessity.
 - D The product requires only a small proportion of consumer income.

- 8 For some illnesses, wearing a face mask has a benefit as it could prevent people from getting infected. Not all people are willing to wear face masks.

Based on the statement above, why would there be an inefficient allocation of face masks in the free market?

- A Consumers in the free market only consider private costs and benefits.
 - B Face masks are non-rival and non-excludable.
 - C There is abuse of monopoly power by the producer of face masks.
 - D There is perfect information in the free market.
- 9 What would bring about a movement upwards along the supply curve for rice?
- A a decrease in the productivity of farmworkers
 - B a decrease in the profitability of rice production
 - C an increase in consumers' incomes
 - D an increase in farmworkers' wages
- 10 A government decides to reduce air pollution in city centres by giving financial assistance to bus companies, reducing their costs of production and prices for passengers.
- Which type of policy measure is this?
- A a maximum price
 - B a minimum price
 - C a subsidy
 - D regulation
- 11 What would be **least** likely to act as a store of value during a period of rapid inflation?
- A cash
 - B gold
 - C property
 - D shares

- 12 A country's central bank raised the rate of interest from 1% to 4% per year.

How would this change have affected the amount saved and the cost of borrowing by individuals?

	amount saved	cost of borrowing
A	decreased	decreased
B	decreased	increased
C	increased	decreased
D	increased	increased

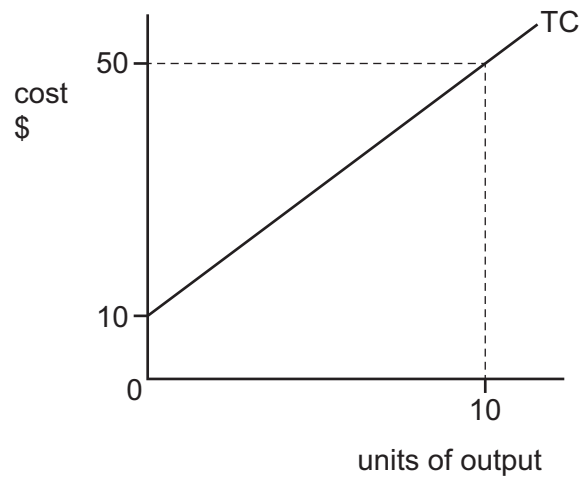
- 13 Which factor would **not** increase the bargaining strength of a trade union to raise wages?

- A** a rapidly growing economy
- B** high union membership in the industry
- C** legislation limiting strike action
- D** workers are in short supply

- 14 Which conditions are **most** likely to attract small firms to enter a market?

	the market for the product	fixed costs of entering the industry
A	local	high
B	local	low
C	national	high
D	national	low

- 15 The diagram shows a firm's total cost (TC) curve.



What is the average variable cost if the firm produces 10 units of output?

- A** \$4 **B** \$5 **C** \$40 **D** \$50
- 16 The table shows the units of factors of production that a firm needs to employ for two different levels of output.

land	labour	capital	output
5	2	4	100
10	4	8	150

What is the firm experiencing?

- A** constant returns to scale
B diseconomies of scale
C external diseconomies of scale
D external economies of scale
- 17 What is an example of a government macroeconomic aim?
- A** a minimum of 10 years of schooling
B a sales tax of 10% on consumer goods
C a target rate of 2% inflation
D increasing pay for nurses

18 Government policy measures can affect economic activity in a country.

Which pair of monetary policy measures would be likely to increase employment?

- A** depreciate foreign exchange rates and increase education spending
- B** increase money supply and reduce interest rates
- C** provide subsidies and grants and lower sales tax
- D** reduce income tax and improve infrastructure

19 What would be **most** likely to encourage saving?

- A** a rise in the exchange rate
- B** a rise in the goods and services tax rate
- C** a rise in the income tax rate
- D** a rise in the interest rate

20 The government of a country operating at full employment increases its spending on education and training.

How does this affect the likelihood of achieving low inflation in the short run and the long run?

	short run	long run
A	less likely	less likely
B	less likely	more likely
C	more likely	less likely
D	more likely	more likely

- 21 A government has introduced a tax on a necessity. Producers have passed on a large proportion of this tax to consumers in the form of higher prices.

Which row is correct?

	type of tax	price elasticity of demand
A	direct	price elastic
B	direct	price inelastic
C	indirect	price elastic
D	indirect	price inelastic

- 22 What is **most** likely to lead to an increase in structural unemployment in a country?
- A** The country is experiencing a period of negative economic growth.
 - B** The country is experiencing a period of positive economic growth.
 - C** The country is moving from producing primary sector goods to secondary sector goods.
 - D** The country is moving towards more flexible labour markets.
- 23 Which citizens are **most** likely to benefit in a period of rapid inflation?
- A** citizens who are receiving fixed state benefits
 - B** citizens who earn fixed incomes
 - C** citizens who have lent money at a fixed rate of interest
 - D** citizens who have borrowed money at a fixed rate of interest
- 24 Which statement is correct about the Human Development Index (HDI) and real GDP?
- A** HDI includes exports and imports while real GDP does not.
 - B** HDI includes life expectancy and years of schooling while real GDP does not.
 - C** HDI includes the level of output while real GDP does not.
 - D** HDI includes the level of unemployment in the population while real GDP does not.

- 25 Other things being equal, what will cause a population both to increase and to age?
- A a fall in the birth rate
 - B a fall in the death rate
 - C a rise in both the birth rate and the death rate
 - D a rise in the death rate and a fall in the birth rate
- 26 Which change would be unlikely to be found in a country as it develops?
- A an increase in average incomes and a decrease in unemployment
 - B an increase in manufacturing production and an increase in shipping services
 - C an increase in subsistence farming and a decrease in financial services
 - D an increase in tourism and an increase in the export of agricultural products
- 27 It is cheaper for developed economies to buy some cereals from developing economies than to produce them domestically.

What might reduce international trade in cereals?

- A Cereals become less popular with the population of developing economies.
 - B Developed economies place an embargo on cereal imports to prevent disease.
 - C Governments tax cereal production in developed economies.
 - D Producers of cereals in developing economies are subsidised.
- 28 A country imposes a quota on imported cars.

What is the **most** likely outcome of this action?

- A a decrease in the domestic output of cars
- B a decrease in the domestic price of cars
- C an increase in the tax revenue from car imports
- D an increase in the total revenue of domestic car producers

- 29 An Argentine product initially sells in the US for \$50 when the exchange rate between the two countries is 5 pesos to 1 dollar.

The exchange rate changes to 10 pesos to 1 dollar and the price of the product remains unchanged in Argentina.

What will be the new price of the product in the US?

- A \$5 B \$25 C \$100 D \$500

- 30 Which policy measure is **most** likely to reduce the current account deficit of the balance of payments of an economy?

- A decrease the level of subsidies to domestic producers
- B increase infrastructure spending to increase domestic productivity
- C increase interest rates
- D remove import tariffs

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Cambridge IGCSE™ (9–1)

ECONOMICS

0987/11

Paper 1 Multiple Choice

May/June 2023

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the May/June 2023 series for most Cambridge IGCSE, Cambridge International A and AS Level and Cambridge Pre-U components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	D	1
2	C	1
3	B	1
4	B	1
5	C	1
6	D	1
7	A	1
8	A	1
9	C	1
10	C	1
11	A	1
12	D	1
13	C	1
14	B	1
15	A	1
16	B	1
17	C	1
18	B	1
19	D	1
20	B	1
21	D	1
22	C	1
23	D	1
24	B	1
25	B	1
26	C	1
27	B	1
28	D	1

Question	Answer	Marks
29	B	1
30	B	1



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice

May/June 2023

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

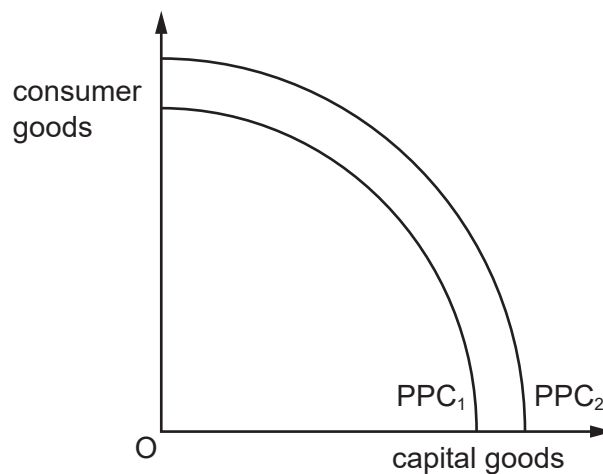
This document has **12** pages. Any blank pages are indicated.



1 What is part of the economic definition of scarcity?

- A high levels of taxation
- B low levels of investment
- C unequal distribution of income
- D unlimited consumer wants

2 A country's production possibility curve (PPC) moves from PPC_1 to PPC_2 .



What could cause this movement in the PPC?

	better education	higher investment	lower unemployment
A	false	false	true
B	false	true	false
C	true	false	true
D	true	true	false

3 A government spends \$100m on subsidising wind farm construction instead of spending it on an increase in healthcare.

Which economic concept does this spending decision illustrate?

- A external cost
- B free goods
- C market disequilibrium
- D opportunity cost

4 What is an example of a macroeconomic indicator?

- A agricultural prices
- B average earnings in the secondary sector
- C real Gross Domestic Product (real GDP)
- D total costs of German pharmaceutical firms

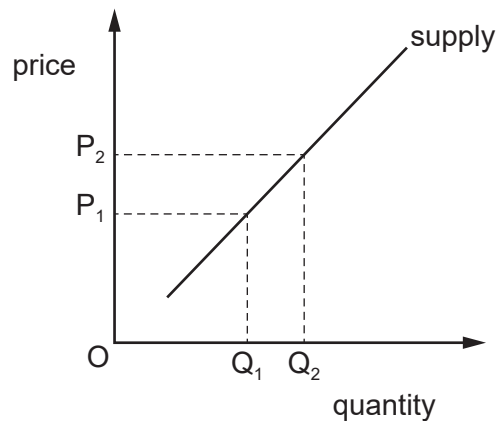
5 Good X is demanded in two areas, Y and Z. The table shows the amount of X demanded in these areas at different prices.

price of good X (US\$)	quantity demanded per month	
	area Y	area Z
5	1000	200
10	800	150
15	600	100
20	400	50
25	200	0

What can be concluded from the table?

- A Consumers in area Y are more willing and able than consumers in area Z to buy good X.
 - B Consumers in area Y are richer than consumers in area Z.
 - C Consumers in area Y want the good more than consumers in area Z.
 - D There are more consumers living in area Y than in area Z.
- 6 Which price elasticity of demand (PED) would cause an increase in total revenue if the price of the good increased?
- A perfectly elastic
 - B relatively elastic
 - C relatively inelastic
 - D unitary elastic

- 7 The diagram shows the supply curve for coffee.



The price of coffee increases from P_1 to P_2 .

How would this benefit firms in the coffee industry?

- A** A higher price gives firms the ability to increase profits.
 - B** A higher price gives firms the incentive to reduce total fixed costs.
 - C** A higher price will encourage consumers to buy more coffee increasing total revenue.
 - D** A higher price will encourage less firms to enter the market to supply coffee.
- 8 What might be an external benefit of an increase in the number of university graduates in an economy?
- A** an increase in revenue for the universities from fee-paying students
 - B** an increase in tax revenue from a more productive labour force
 - C** an increase in graduate employment as a percentage of the working population
 - D** an increase in wages for graduates
- 9 The price of a good increases.
- What could cause this?
- A** The cost of raw materials falls.
 - B** The incomes of consumers rise.
 - C** The price of a complement rises.
 - D** The price of a substitute falls.

- 10 Imposing a maximum price for a good is an example of which type of government policy?
- A fiscal
 - B monetary
 - C regulation
 - D supply-side
- 11 Savers suffer as inflation rises to 4.4%.
- Which function of money is most involved in this statement?
- A means of deferred payments
 - B medium of exchange
 - C store of value
 - D unit of account
- 12 One of the functions of money is to act as a measure of value.
- What does this mean?
- A Money allows people to borrow and lend.
 - B Money allows people to save their surplus income.
 - C Money is used to buy goods and services.
 - D Money is used to compare the worth of different goods and services.
- 13 Which trade union activity will be beneficial for firms?
- A balloting for industrial action to prevent redundancies
 - B campaigning to raise wages of trade union members
 - C instructing workers to strike over a safety dispute
 - D providing training which raises productivity of workers
- 14 What is **not** a variable cost of production?
- A cost of fuel
 - B cost of raw materials
 - C extra pay for working additional hours
 - D rent of offices

15 What is a definition of a firm's revenue?

- A money received from sales
- B sales volume
- C surplus over costs
- D tax payments

16 What could cause internal diseconomies of scale for a firm?

- A a fall in demand for the products produced by the firm
- B a merger with another firm that results in slower decision-making
- C spending more on research and development to create new products
- D the lack of skilled labour in the geographical area where the firm is based

17 A government decides to leave direct taxes unchanged but to increase indirect taxes.

What is this policy intended to achieve?

- A to increase the value of the exchange rate
- B to redistribute income from higher to lower income groups
- C to reduce a budget deficit
- D to reduce the rate of inflation

18 What is the **most** likely reason to increase government subsidies?

- A to decrease consumption of a merit good
- B to increase consumption of a merit good
- C to decrease consumption of a demerit good
- D to increase consumption of a demerit good

19 Which people are **most** likely to gain at a time of inflation?

- A companies who sell abroad
- B foreign tourists visiting the country
- C those living on their savings
- D those who are repaying borrowed money

- 20** The government of country Z announces an increase in spending on work-place training.

What is the effect of this supply-side policy likely to be?

- A** a decrease in country Z's employment rate
- B** a decrease in country Z's exchange rate
- C** an increase in country Z's economic growth rate
- D** an increase in country Z's interest rate

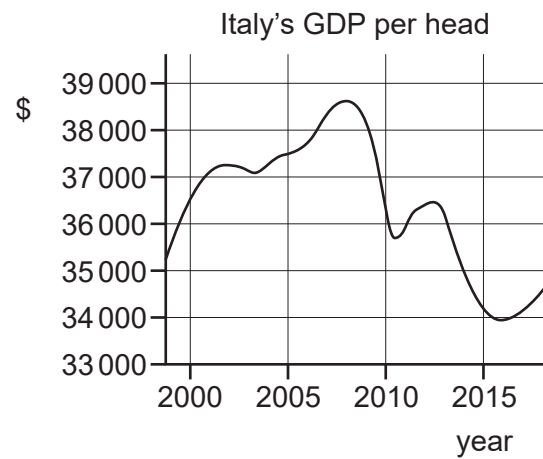
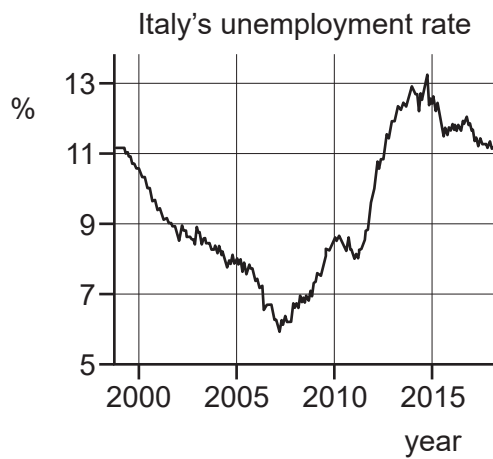
- 21** The table shows real GDP in US\$ billion for a country over a three-year period.

year	real GDP US\$ billion
1	205
2	215
3	219

What does the GDP data indicate for the country between year 1 and year 3?

- A** a reduction in the rate of inflation
 - B** an increase in the rate of economic growth
 - C** the existence of economic growth
 - D** the existence of economic growth per capita
- 22** What is a likely consequence of a falling level of unemployment?
- A** downward pressure on wage rates
 - B** increase in welfare benefit payments
 - C** rise in absolute poverty
 - D** rise in income tax revenue

23 The diagrams show Italy's unemployment rate and GDP per head.



When do Italy's unemployment rate and GDP per head rise at the same time?

- A** 2000–2001
- B** 2007–2008
- C** 2009–2010
- D** 2014–2015

24 During a recession, many people in a city become unemployed and their incomes fall. Some people can no longer pay the rent on their houses or buy the food they need.

What is the effect of the recession in the city?

	absolute poverty	relative poverty
A	increases	increases
B	increases	unchanged
C	unchanged	increases
D	unchanged	unchanged

- 25** The Peruvian government set itself the target of reducing the number of its population in poverty.

What change does **not** indicate that the Peruvian government had made progress towards this target?

- A** a rise in employment
 - B** a rise in infant mortality
 - C** a rise in life expectancy
 - D** a rise in the level of adult literacy
- 26** What is **not** a reason for the decline in manufacturing industries in developed economies in recent years?
- A** growth of newly industrialised competitor countries
 - B** invention of automated production methods
 - C** rising costs of factor inputs in the steel industry
 - D** considerable skill shortages as school-leavers prefer to work in the service sector
- 27** The table shows a country's exports and imports.

	\$m
exports of goods	200
imports of goods	190
exports of services	35
imports of services	38

What was the country's balance of trade in goods and services?

- A** a deficit of \$7 million
- B** a deficit of \$13 million
- C** a surplus of \$7 million
- D** a surplus of \$13 million

- 28 Country X exports steel to country Y at a price below its cost of production. This has led to a fall in demand for steel produced in country Y.

What is a method of trade protection that country Y could use to reduce the imports of steel from country X?

- A apply anti-dumping tariffs
 - B increase interest rates
 - C revalue the currency
 - D subsidise the export of steel
- 29 What would increase the demand for a country's currency on the foreign exchange market?
- A a decrease in its inward investment
 - B a decrease in its rate of interest
 - C an increase in its exports
 - D an increase in its imports

- 30 Country X has a persistent deficit on the current account of the balance payments.

Which policy measure is **most** likely to improve this situation?

- A lowering import quotas
- B lowering income tax
- C lowering import tariffs
- D lowering export subsidies

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Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice

May/June 2023

MARK SCHEME

Maximum Mark: 30

Published

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Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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Question	Answer	Marks
1	D	1
2	D	1
3	D	1
4	C	1
5	A	1
6	C	1
7	A	1
8	B	1
9	B	1
10	C	1
11	C	1
12	D	1
13	D	1
14	D	1
15	A	1
16	B	1
17	C	1
18	B	1
19	D	1
20	C	1
21	C	1
22	D	1
23	B	1
24	A	1
25	B	1
26	B	1
27	C	1
28	A	1

Question	Answer	Marks
29	C	1
30	A	1



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice

October/November 2023

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
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- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



1 Which statement is correct?

- A Economic goods are **not** scarce.
- B Economic goods have no opportunity cost.
- C Free goods are scarce.
- D Free goods have no opportunity cost.

2 The economy of country X is always on its production possibility curve (PPC).

When will the goods and services produced by country X become more scarce?

	PPC	population size
A	shifts left	increases
B	shifts right	unchanged
C	unchanged	decreases
D	unchanged	unchanged

3 What is capital?

- A the ability to organise the factors of production
- B the energy used in production
- C the factory used in production
- D the money invested in a firm

4 What are features of a market economy?

	private ownership of factors of production	public ownership of factors of production	government allocation of production
A	no	no	yes
B	no	yes	yes
C	yes	no	no
D	yes	yes	yes

- 5 Public transport and cars are substitute goods. The price of public transport rises.

What will happen to the demand for cars?

- A It will contract.
- B It will extend.
- C It will decrease.
- D It will increase.

- 6 The markets of four products are all in equilibrium. The table gives the value of the price elasticity of supply (PES) for each product.

The demand for each product shifts to the right by 5000 units at all prices.

Which product will have the largest price increase?

	price elasticity of supply
A	0
B	0.6
C	1.0
D	2.5

- 7 What is the value of the price elasticity of demand (PED) for a product if total revenue remains the same when the price is reduced?

- A zero
- B between 0 and 1
- C greater than 1
- D 1

- 8 The owner of a hotel in Malaysia finds that the price elasticity of demand (PED) for accommodation in the area is -1.7 .

If the hotel owner decreases the price of a room by 5%, how would the demand for a room change?

- A It would decrease by 2.9%.
- B It would decrease by 8.5%.
- C It would increase by 2.9%.
- D It would increase by 8.5%.

- 9 Good weather results in an increase in the demand for tomatoes. It also increases the supply of tomatoes.

What **must** be a result of this?

- A The price of tomatoes will fall.
- B The price of tomatoes will rise.
- C The quantity of tomatoes traded will fall.
- D The quantity of tomatoes traded will rise.

- 10 What causes a change in the price of a product in a free market economy?

- A changes in demand and supply conditions
- B changes in external costs and external benefits
- C changes in government decisions
- D changes in the quantity of public goods

- 11 The ways of making and receiving payments continue to develop. Payments can now be made using smartphones, as well as cash, debit cards and credit cards.

Which method of paying for products provides no information to sellers about their customers?

- A cash
- B debit cards
- C credit cards
- D smartphones

12 In most countries, which organisation controls the banking system?

- A central bank
- B commercial bank
- C investment bank
- D World Bank

13 What is **not** a reason for differences in the earnings of airline pilots in a particular country?

- A bargaining power of employees
- B discrimination
- C government policies
- D inflation

14 An airline takes over an online clothing company.

What is an advantage of such a move by the airline?

- A to diversify their operations
- B to generate economies of scale
- C to improve lines of communication
- D to increase market share

15 In which type of industry is a firm **most** likely to make a large profit in the short run and in the long run?

	number of firms in the industry	barriers to entry into the industry
A	many	high
B	many	low
C	one	high
D	one	low

- 16 A firm produces five units of output at an average cost of \$20 per unit. The cost of the sixth unit is \$26.

What is the average cost of six units?

- A \$4.33 B \$6 C \$8.33 D \$21

- 17 What is an example of government macroeconomic policy?

- A increasing the money supply
- B preventing price rises in the food industry
- C removing a monopoly's barriers to entry
- D setting a maximum price for wheat

- 18 Why would devaluing the international value of an economy's currency help reduce unemployment?

- A Devaluing the currency would increase the cost of production.
- B Devaluing the currency would increase the confidence of investors.
- C Devaluing the currency would increase the foreign demand for domestic products.
- D Devaluing the currency would increase the demand for imports.

- 19 What is likely to happen when the rate of interest increases?

- A consumer spending increases
- B firms buy fewer machines
- C people hold more cash
- D savers earn lower rewards

- 20 What is **not** a supply-side policy measure?

- A control of trade union power
- B higher indirect taxation
- C privatisation
- D skills training for workers

- 21 The table shows the real GDP per head for a country in 2021 and 2022.

2021	2022
\$20 000	\$21 000

What is **most** likely to have changed between 2021 and 2022?

- A Incomes were distributed more evenly.
 - B There was more activity in the informal economy.
 - C The living standards of some people improved.
 - D The rate of inflation increased.
- 22 Which change to fiscal policy is **most** likely to reduce cyclical unemployment in an economy?
- A increasing direct taxation
 - B increasing the budget deficit
 - C increasing the budget surplus
 - D increasing the money supply
- 23 What must have happened in a country when it experienced an annual rate of inflation of 100%?
- A The money supply doubled.
 - B The price level halved.
 - C The purchasing power of money halved.
 - D The real value of money doubled.
- 24 The Human Development Index (HDI) can be used to measure human development in countries.
- Which measure would **not** be part of its calculation?
- A inequality of incomes
 - B life expectancy
 - C gross national income per head
 - D years of schooling

25 What is the **most** likely consequence of an ageing population for a high-income economy?

- A There will be a fall in the dependency ratio.
- B There will be a fall in the level of immigration.
- C There will be an increase in geographic mobility.
- D There will be an increase in spending on healthcare.

26 In some developing countries a large percentage of the population is involved in subsistence farming.

What can be concluded from this?

- A Each family will be able to produce enough to live on.
- B Production is unlikely to be capital intensive.
- C Production will be efficient.
- D There will be a high level of trade.

27 A small country whose only export is oil decides to reduce substantially the rate at which it extracts its limited oil reserves.

What is the **most** likely reason for this decision?

- A to improve the balance of payments in the following year
- B to increase current government income
- C to maintain future living standards
- D to raise the level of employment in the oil industry

28 Country X believes that country Y is selling steel at prices below the average cost of production. So, country X imposes a higher tariff on steel imports from country Y.

What does country X hope to achieve by imposing this higher tariff?

- A avoid country X dumping steel in country Y
- B avoid country Y dumping steel in country X
- C reduce inflation in country X
- D reduce inflation in country Y

29 Which factor would cause a country's exchange rate to fall?

- A** Demand for imports increases.
- B** Domestic interest rates rise.
- C** Domestic savings increase.
- D** More tourists visit the country.

30 Many European firms employ workers from the Philippines. These workers send part of their income to relatives in the Philippines.

In which part of the balance of payments current account for the Philippines would these transactions be recorded?

- A** primary income
- B** secondary income
- C** trade in goods
- D** trade in services

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Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice

October/November 2023

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

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Question	Answer	Marks
1	D	1
2	A	1
3	C	1
4	C	1
5	D	1
6	A	1
7	D	1
8	D	1
9	D	1
10	A	1
11	A	1
12	A	1
13	D	1
14	A	1
15	C	1
16	D	1
17	A	1
18	C	1
19	B	1
20	B	1
21	C	1
22	B	1
23	C	1
24	A	1
25	D	1
26	B	1
27	C	1
28	B	1

Question	Answer	Marks
29	A	1
30	B	1



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/11

Paper 1 Multiple Choice

May/June 2024

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

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- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

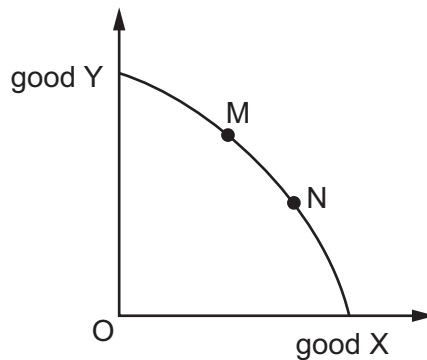
This document has **12** pages. Any blank pages are indicated.



- 1 What is a free good?
- A free samples of a new product
 - B health services provided by the state
 - C second-hand clothing
 - D sunlight
- 2 A firm is deciding whether to produce good X or good Y for the next five years. The predicted revenue for good X is \$20 000 per year and for good Y is \$18 000 per year.

What is the opportunity cost of producing good X?

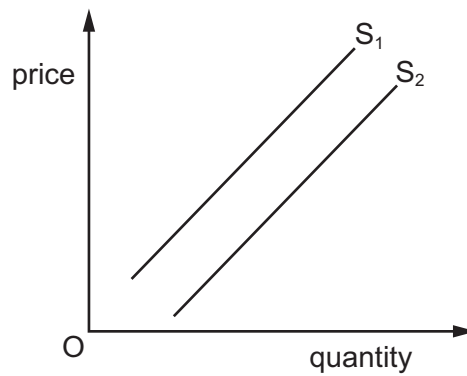
- A \$18 000
 - B \$20 000
 - C \$90 000
 - D \$100 000
- 3 The diagram shows a production possibility curve (PPC) for an economy.



What is the reason for the economy moving from point M to point N?

- A decreased unemployment in industries producing good X
 - B improvement in technology used to produce good X
 - C increased productivity of workers producing good X
 - D increased resource allocation to the production of good X
- 4 What is **not** held constant when drawing a demand curve for a good or service?
- A consumers' incomes
 - B tastes and preferences
 - C the price of substitutes
 - D the price of the good or service

- 5 The diagram shows a shift in the supply curve for New Zealand's airlines from S_1 to S_2 .



What is the most likely cause of this shift?

- A a decrease in the costs of New Zealand's airlines
 - B a decrease in the number of people wanting to fly to New Zealand
 - C an increase in the price of train and bus travel in New Zealand
 - D an increase in the tax on air travel in New Zealand
- 6 What could cause the price of tea to increase?
- A decrease in the demand for tea
 - B decrease in the price of a substitute good
 - C increase in the price of a substitute good
 - D increase in the supply of tea
- 7 A firm changes the price of its product and finds that its revenue increases.

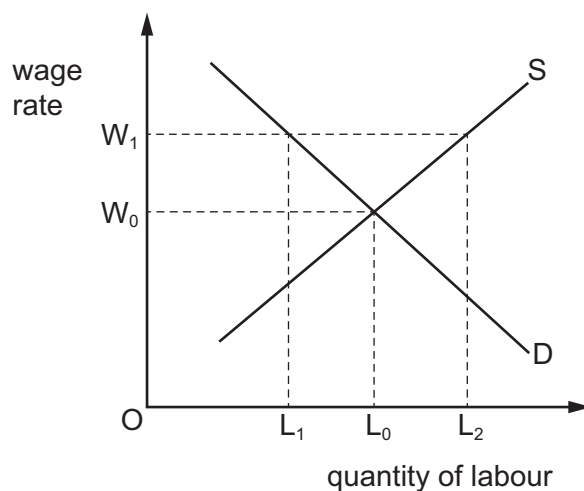
Which combination of price change and price elasticity of demand would have caused this?

	price	price elasticity of demand
A	falls	between 0 and 1
B	falls	equal to 1
C	rises	between 0 and 1
D	rises	greater than 1

- 8 What could **not** occur in a market economic system?
- A a monopolist supplying specialist goods to the market
 - B excessive pollution created by power stations
 - C governments setting minimum wages to relieve poverty
 - D private ownership of firms making defence equipment
- 9 What is a correct definition of a demerit good?
- A a good which generates external benefits
 - B a good with higher private costs than social costs
 - C a good which is more harmful to consumers than they realise
 - D a good which provides no costs to third parties
- 10 Within the same firm, one employee is paid a higher wage than another employee.
- Which reason for the difference in their wage could be considered discrimination?
- A They are of different ages.
 - B They have different levels of education.
 - C They have different levels of productivity.
 - D They have different levels of work experience.

- 11 The diagram shows the demand and supply curve of labour for a firm. The initial wage rate is given by W_0 and the equilibrium quantity of labour employed is L_0 .

A trade union that represents all of the workers negotiates a rise in wage rate to W_1 .



What is the amount of unemployment that results from this wage rise?

- A** OL_1 **B** L_0L_2 **C** L_1L_0 **D** L_1L_2
- 12 A farmer introduces machinery to help workers at harvest time. The farmer also reduces the number of workers by 50%. As a result, the total harvest increases by 25%.

What has happened?

- A** Labour productivity has decreased and production has decreased.
B Labour productivity has decreased and production has increased.
C Labour productivity has increased and production has decreased.
D Labour productivity has increased and production has increased.
- 13 A firm has fixed costs of \$20 and the following total variable costs.

output	10	20	30	40
total variable costs (\$)	40	60	80	100

What happens to average total cost over this output range?

- A** It falls continuously.
B It falls then rises.
C It rises continuously.
D It rises then falls.

- 14 The table shows the costs and output of a firm.

total cost	\$10 000
total variable cost	\$8000
quantity	10

What is the average fixed cost of the firm?

- A** \$200 **B** \$800 **C** \$1000 **D** \$2000

- 15 A clothing manufacturer expands by taking over a clothing retailer.

Which type of merger is this?

- A** backward vertical
B conglomerate
C forward vertical
D horizontal

- 16 What is likely to happen if a previously competitive market becomes a monopoly?

	barriers to entry	economies of scale	the size of the firm
A	decrease	decrease	increases
B	decrease	increase	decreases
C	increase	decrease	decreases
D	increase	increase	increases

- 17 Which macroeconomic aim, if achieved, is most likely to increase a government budget surplus?

- A** full employment
B income redistribution
C low inflation
D balance of payments stability

- 18** The table shows the income tax rate paid by workers at different levels of income in selected years for a developed economy.

income band (\$)	tax rate year 1 (%)	tax rate year 2 (%)
0 to 4999	0	0
5000 to 9999	10	0
10 000 to 19 999	20	10
20 000 to 29 999	30	30
30 000 to 49 999	40	50
50 000+	40	60

What is most likely to have been the economic objective of the government in changing the tax rates between year 1 and year 2?

- A** to reduce a current account deficit
 - B** to reduce income inequality
 - C** to reduce inflation
 - D** to reduce structural unemployment
- 19** A government attempts to raise economic growth with a policy of reduced interest rates.

Which other government objective is most likely to be helped in the short run?

- A** lower unemployment
 - B** price stability
 - C** reduced income inequality
 - D** reduced trade deficit
- 20** What is the definition of a supply-side policy?
- A** any policy designed to decrease inflation
 - B** any policy designed to decrease unemployment
 - C** any policy designed to increase imports
 - D** any policy designed to increase productivity

- 21** Subsistence farming is the practice of growing crops and raising livestock sufficient only for one's own use without any surplus for trade.

Why is it difficult for a government to measure economic growth in an economy based on subsistence farming?

- A** Farmers' families consume most of their own produce.
- B** Farmers have low rates of saving.
- C** The size of harvest is dependent on the weather.
- D** The surplus produce is sold to the government.

- 22** What is necessary for a worker to be classified as unemployed?

	the worker does not have a paid job	the worker is prepared to work	the worker will accept the current wage rate
A	yes	no	no
B	yes	no	yes
C	yes	yes	no
D	yes	yes	yes

- 23** What is most likely to increase when the rate of inflation gradually changes from 2% to 8% in one year?

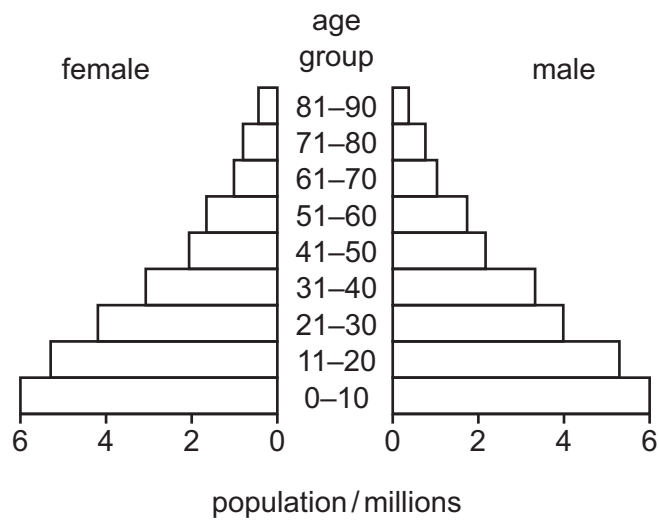
- A** the cost of updating existing price lists
- B** the level of business confidence
- C** the real income of fixed-income earners
- D** the real value of consumer debt

- 24** The introduction of a minimum hourly wage in an industry aims to reduce poverty among low-paid workers.

What is an advantage to workers of an effective national minimum wage?

- A** All workers get paid according to their level of productivity.
- B** Firms may look to increase capital equipment rather than labour.
- C** Levels of employment become more dependent on wage differences.
- D** Redistribution of a firm's income rewards labour rather than owners.

25 The chart shows the population pyramid for a country.



What is most likely to cause the population pyramid to be shaped in this way?

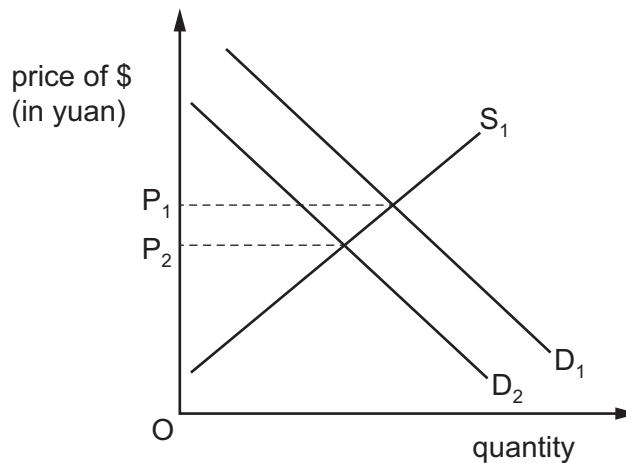
	birth rate	death rate
A	low	low
B	low	high
C	high	low
D	high	high

26 The table shows information on four countries.

Which country is likely to be the most developed?

	population (million)	Gross Domestic Product (GDP) (\$ billion)	life expectancy (years)
A	100	800	51
B	200	6000	62
C	300	600	48
D	1000	1600	63

- 27 What is an advantage to a firm of specialisation at a national level?
- A dependency on supplies from other countries
 - B greater competition from overseas firms
 - C greater depletion of the country's natural resources
 - D lower average costs due to economies of scale
- 28 What is an intended outcome of protecting infant industries from free trade?
- A to decrease the competitiveness of domestic firms
 - B to decrease the demand for exported goods
 - C to increase employment in domestic firms
 - D to increase the supply of imported goods
- 29 In the diagram, curves D_1 and S_1 relate to the demand and supply of the US dollar (\$) against the Chinese yuan.



What is most likely to cause the demand curve for US dollars to shift from D_1 to D_2 ?

- A a fall in Chinese interest rates
- B a fall in US interest rates
- C a faster growth rate in the US economy
- D a reduction in the US government budget deficit

30 Brazil had a balance of payments current account deficit of US\$23.5 billion.

Which policy is most likely to reduce the current account deficit in Brazil?

- A** depreciate Brazil's currency
- B** reduce rates of income tax in Brazil
- C** reduce subsidies to Brazil's exporting firms
- D** reduce tariffs on Brazil's imports

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Cambridge IGCSE™ (9–1)

ECONOMICS**0987/11**

Paper 1 Multiple Choice

May/June 2024

MARK SCHEME

Maximum Mark: 30

Published

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6	C	1
7	C	1
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10	A	1
11	D	1
12	D	1
13	A	1
14	A	1
15	C	1
16	D	1
17	A	1
18	B	1
19	A	1
20	D	1
21	A	1
22	D	1
23	A	1
24	D	1
25	D	1
26	B	1
27	D	1
28	C	1

Question	Answer	Marks
29	B	1
30	A	1



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice

May/June 2024

45 minutes

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1 Why will scarcity always exist?

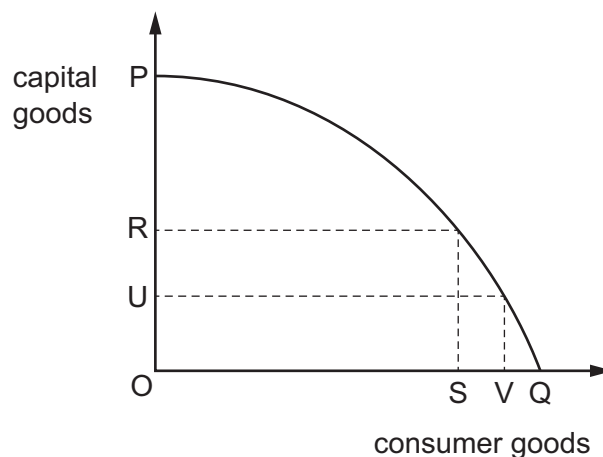
- A There are high costs of production.
- B There are low levels of education.
- C There are unlimited resources.
- D There are unlimited wants.

2 A student decides to take up a two-year apprenticeship for which she will earn \$10 000 per year. After that, she expects to earn \$25 000 per year. She could take an unskilled job which pays \$16 000 per year instead of the apprenticeship.

What is the opportunity cost in the two years of completing the apprenticeship?

- A \$10 000 B \$12 000 C \$25 000 D \$32 000

3 The diagram shows a country's production possibility curve (PPC).



Which current combination of capital and consumer goods would produce the greatest number of consumer goods in the future?

- A O and Q B P and O C R and S D U and V

4 What is **not** a macroeconomic topic?

- A the growth in Chinese Gross Domestic Product
- B the level of Consumer Prices Index inflation in the UK
- C the level of unemployment in Spain
- D the total output of the German car industry

5 What is likely to cause an extension in demand for a firm's fruit drink?

- A a period of hot weather
- B a reduction in the cost of producing the drink
- C a rival firm leaving the market
- D a successful advertising campaign by the firm

6 Supermarkets sell petrol (gas) outside their stores. They reduce the price of petrol below other suppliers to attract more customers to buy goods in the store when they buy more petrol.

If this were successful, how might it be shown on demand and supply diagrams?

	demand and supply diagram for petrol	demand and supply diagram for the store's goods
A	shift of the demand curve to the left	shift of the supply curve to the left
B	shift of the demand curve to the right	shift of the demand curve to the left
C	shift of the supply curve to the left	shift of the supply curve to the right
D	shift of the supply curve to the right	shift of the demand curve to the right

7 Which statement describes a market in disequilibrium?

- A Excess demand results from a government maximum price below the equilibrium price.
- B The point where the demand and supply curves cross.
- C Price changes cause further changes in both demand and supply.
- D The quantity demanded by consumers equals the quantity supplied by producers.

8 In response to an increase in price from \$5 per kg to \$6 per kg, a farmer increased supply from 400 kg to 500 kg per week.

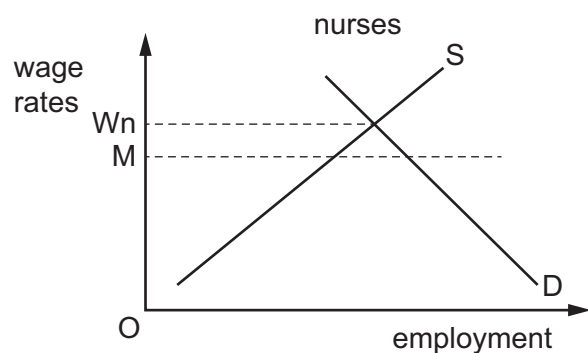
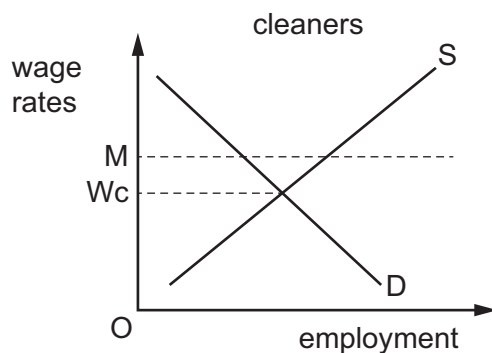
What is the price elasticity of supply?

- A 0.8
- B 0.9
- C 1.2
- D 1.25

9 Which government measure is most likely to cause a fall both in price and in quantity traded?

- A indirect tax
- B maximum price
- C minimum price
- D subsidy

10 The diagrams show the wage rates of cleaners (OWc) and nurses (OWn).



What is the result if a national minimum wage of OM is introduced?

	wage rates of cleaners	wage rates of nurses
A	fall	rise
B	no change	fall
C	rise	fall
D	rise	no change

11 What would cause a decrease in spending by households in a country?

- A a reduction in disposable income
- B a reduction in the rate of sales tax
- C lower interest rates
- D lower savings

12 Which combination shows the advantages of a small firm over a larger firm?

	better communication	greater independence	lower average cost
A	no	no	yes
B	no	yes	no
C	yes	yes	no
D	yes	yes	yes

13 What is a variable cost for a firm?

- A** the cost of raw materials
- B** the interest payment on existing loans
- C** the rent on the factory
- D** the insurance on the factory buildings

14 The table shows the daily average revenue and units of output sold for a firm producing bicycles over a five day period.

day	average revenue (\$)	units of output sold
1	200	2
2	160	4
3	120	8
4	80	14
5	40	16

What can be concluded from the table?

- A** The firm's highest total revenue occurs at 2 units of output sold.
- B** The firm's highest total revenue occurs at 14 units of output sold.
- C** The firm's prices are always greater than total revenue.
- D** The firm's total revenue always increases as output rises.

15 Which function of money acts as a measure of value?

- A a medium of exchange
- B a standard of deferred payment
- C a store of wealth
- D a unit of account

16 What are the features of a highly competitive market when compared with a monopoly market?

	price	profit
A	higher	higher
B	higher	lower
C	lower	higher
D	lower	lower

17 What is **not** a role of central government in a mixed economy?

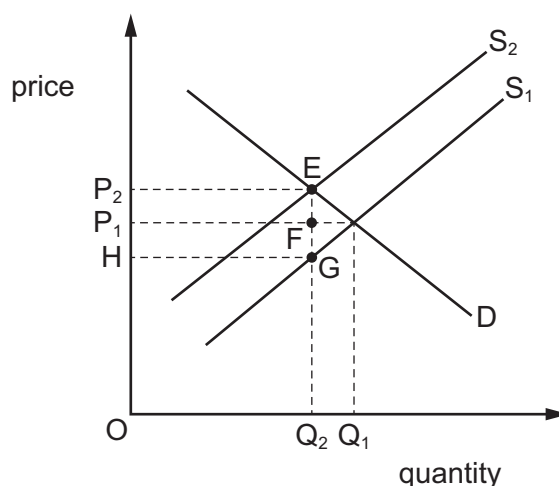
- A providing demerit goods
- B providing merit goods
- C providing public goods
- D stabilising the economy

18 A government wishes to prevent deflation.

Which combination of policies would be the most effective in achieving this aim?

	interest rate	government spending
A	increase	increase
B	increase	reduce
C	reduce	increase
D	reduce	reduce

19 The diagram shows the impact of a tax introduced on a product.



Which area represents the amount of tax paid by the consumer?

- A** HP_1FG **B** HP_2EG **C** OP_2EQ_2 **D** P_1P_2EF

20 Which statement about supply-side policy is correct?

- A** It aims to increase the productive potential of the economy.
B It aims to increase total demand in the economy.
C It involves changes in the equilibrium foreign exchange rate.
D It involves changes in the rate of interest.

21 Which change is most likely to cause faster economic growth in the short run?

- A** an increase in net emigration
B an increase in the birth rate
C an increase in the death rate
D an increase in the retirement age

22 How is the pattern of employment likely to change when a country becomes more developed?

- A** from rural employment to urban employment
B from skilled employment to primary employment
C from technical employment to manual employment
D from tertiary employment to secondary employment

23 Which item is **least** likely to be included in the Consumer Prices Index (CPI)?

- A** domestic cooking oil
- B** homemade clothes
- C** milk
- D** personal mobile phones

24 The table shows statistics for four countries **A**, **B**, **C** and **D**.

According to the data provided, which country has the lowest standard of living?

	average years of schooling	life expectancy (years)	GDP per head (\$)
A	6	45	200
B	7	47	200
C	9	60	220
D	12	59	1500

25 Economic development in country X has progressed at a greater rate than in country Y.

What is the most likely explanation of this difference in economic development between country X and country Y?

- A** Country X has a higher level of spending on education than country Y.
- B** Country X has a higher level of unemployment than country Y.
- C** Country Y has a higher level of investment spending than country X.
- D** Country Y has a higher level of spending on healthcare than country X.

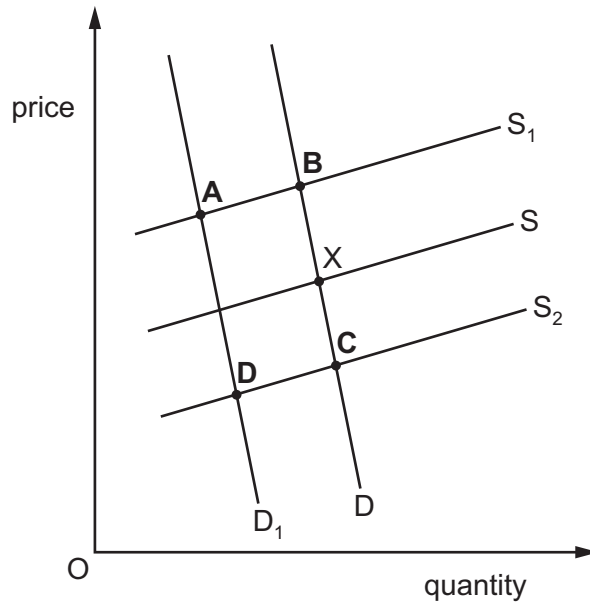
26 A rise in which factor would cause an increase in the population growth rate of a country?

- A** birth rate
- B** death rate
- C** infant mortality rate
- D** net emigration

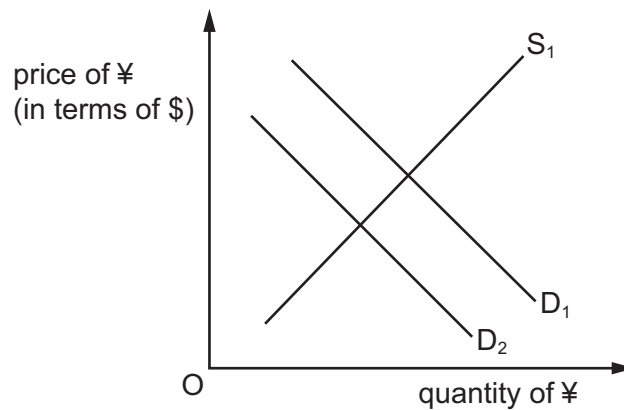
27 The diagram shows the market for an imported good with equilibrium at point X.

The country imposes a tariff on this good.

Is the new equilibrium at point **A**, **B**, **C** or **D**?



28 The diagram shows the market for the Chinese yuan (¥) priced in US dollars (\$).



What could have caused the change in demand for the yuan from D_1 to D_2 ?

- A** a decrease in foreign direct investment in China
- B** a decrease in the level of tariffs levied by China on imports
- C** an increase in the buying of yuan by central banks
- D** an increase in the Chinese rate of interest

- 29** The table shows the average exchange rate of the UK pound (£) to the US dollar (\$), that is the amount of \$ that can be bought with £1.

year	exchange rate UK£/US\$
1	1.64
2	1.52
3	1.35
4	1.25

What is a likely effect of this change on the UK economy?

- A** decreased cost-push inflation
 - B** decreased current account deficit
 - C** increased quantity of imports
 - D** increased trade deficit
- 30** The table shows components of Japan's current account balance in trillion yen (¥) for 2 years.

year	balance of goods ¥ trillion	balance of services ¥ trillion	balance of primary income ¥ trillion	balance of secondary income ¥ trillion
1	-1.61	-1.76	14.04	-1.11
2	-5.23	-2.33	13.55	-1.02

Which balance improved between year 1 and year 2?

- A** balance of goods
- B** balance of primary income
- C** balance of secondary income
- D** balance of services

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Cambridge IGCSE™ (9–1)

ECONOMICS**0987/12**

Paper 1 Multiple Choice

May/June 2024**MARK SCHEME**Maximum Mark: 30

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9	B	1
10	D	1
11	A	1
12	C	1
13	A	1
14	B	1
15	D	1
16	D	1
17	A	1
18	C	1
19	D	1
20	A	1
21	D	1
22	A	1
23	B	1
24	A	1
25	A	1
26	A	1
27	B	1
28	A	1

Question	Answer	Marks
29	B	1
30	C	1



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice

October/November 2024

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
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- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

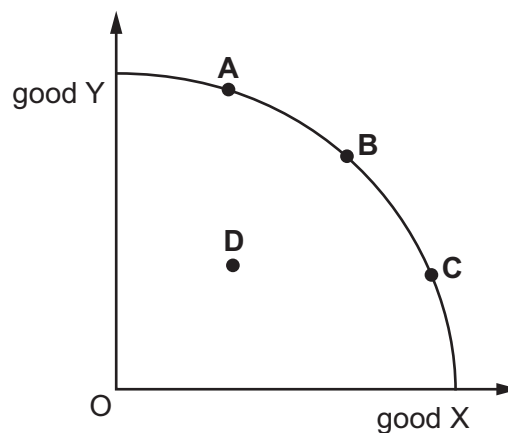
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- Each correct answer will score one mark.
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This document has **12** pages. Any blank pages are indicated.



- 1 Which economic question is **least** likely to arise as a result of scarcity?
- A For whom will we produce?
 - B How will we produce?
 - C What will we produce?
 - D When will we produce?
- 2 What is opportunity cost?
- A the allocation of resources in an economy
 - B the cost to the individual when they consume a good
 - C the lack of goods and services available to satisfy unlimited wants
 - D the next best alternative forgone when making an economic decision
- 3 The diagram shows a production possibility curve (PPC) for an economy that produces two goods, X and Y.

Which point shows the greatest opportunity cost of producing one more unit of good X?

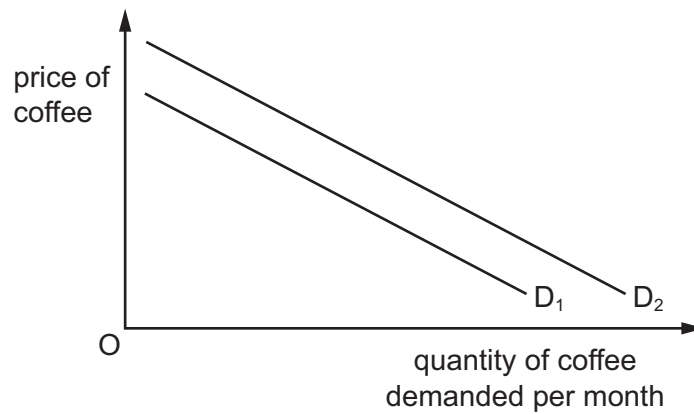


- 4 A period of bad weather leads to a failure of the rice crop.

What is the effect on the market for rice?

- A a shortage of rice and a fall in its price
- B a shortage of rice and a rise in its price
- C a surplus of rice and a fall in its price
- D a surplus of rice and a rise in its price

- 5 The diagram shows a change in demand for coffee.



What would cause the demand for coffee to change from D_1 to D_2 ?

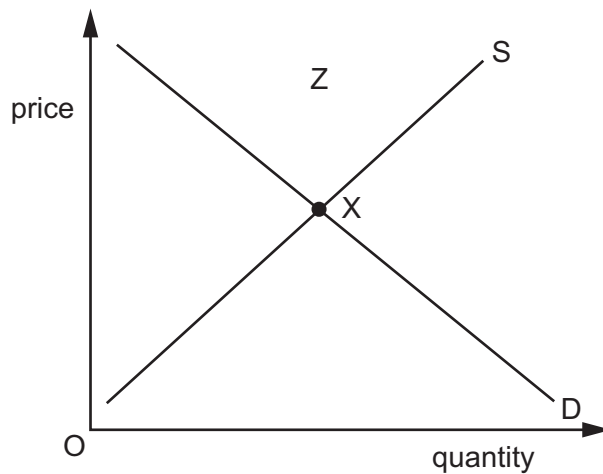
- A a good coffee harvest
 - B a rise in the price of substitute drinks
 - C a rise in the wages of coffee workers
 - D a successful advertising campaign for tea
- 6 The table shows the supply for a product at different prices.

price (\$)	supply (units)
10	120
12	160
14	200
16	240
18	280

If the price changes from \$12 to \$14, what will be the change in supply?

- A Supply will contract by 40 units and there will be a movement down along the supply curve.
- B Supply will contract by 200 units and there will be an inward shift of the supply curve.
- C Supply will extend by 40 units and there will be a movement up along the supply curve.
- D Supply will extend by 200 units and there will be an outward shift of the supply curve.

- 7 Which changes would move the equilibrium in the diagram from point X to point Z?



- A** a decrease in demand with a decrease in supply
B a decrease in demand with an increase in supply
C an increase in demand with a decrease in supply
D an increase in demand with an increase in supply
- 8 When the price of shirts rises from \$8 to \$10, the demand for shirts falls from 1000 to 500.
 What is the value of the price elasticity of demand for shirts?
- A** greater than 1
B unitary
C less than 1
D zero
- 9 A government intends to build a new international airport in an area of outstanding natural beauty.
 What would be an external cost of this decision?
- A** the cost of importing construction materials
B the enjoyment lost by those unable to use the countryside
C the increase in profits for local businesses
D the wages paid to the construction workers

10 What is an important role of a central bank?

- A** attempts to achieve price stability
- B** issues credit cards
- C** provides loans to producers
- D** provides savings accounts for consumers

11 How would a change in the demand for labour affect the labour market in an occupation?

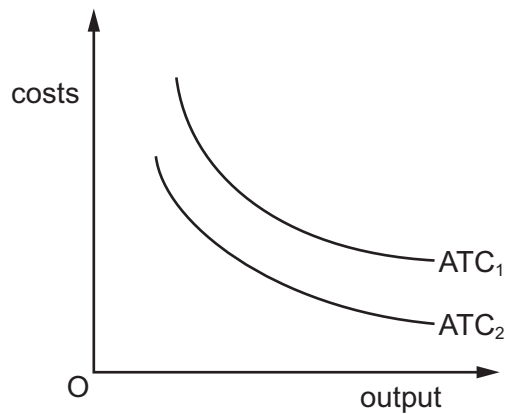
	change in demand for labour	change in the equilibrium wage	change in quantity of labour supplied
A	decrease	decrease	extend
B	decrease	increase	contract
C	increase	decrease	contract
D	increase	increase	extend

12 A fast-food multinational bought a food-ordering website, in order to allow the multinational's customers to download menus and make advance payments.

Which term best describes this merger?

- A** backward vertical
- B** conglomerate
- C** forward vertical
- D** horizontal

- 13 The diagram shows the average total cost (ATC) for a firm, in the long run.



What would cause the shift from ATC_1 to ATC_2 ?

- A difficulties in controlling the firm
 - B external economies of scale
 - C managerial economies of scale
 - D technical economies of scale
- 14 What is most likely to encourage capital-intensive production methods in a low-income economy?
- A expensive capital equipment costs
 - B grants from foreign aid programmes
 - C supplies of local low-cost labour
 - D a shortage of highly trained supervisors
- 15 A firm's average revenue is \$20. It sells 1000 units.

What are the firm's total revenue and the price of the product?

	total revenue (\$)	price (\$)
A	20	20
B	1 000	50
C	20 000	20
D	20 000	50

16 A competitive industry becomes a monopoly.

What is the most likely advantage for consumers?

- A** consumer choice may increase
- B** economies of scale may reduce prices
- C** more goods may be produced
- D** prices may be set by market forces

17 What will cause real GDP to rise in a country?

- A** nominal GDP rising at a faster rate than employment
- B** nominal GDP rising faster than inflation
- C** nominal GDP rising faster than the population
- D** nominal GDP rising

18 What is the money supply?

- A** the total quantity of foreign currency available within the economy
- B** the total quantity of money available within the economy
- C** the total quantity of money issued by the central bank
- D** the total quantity of money within commercial banks

19 Which macroeconomic policy is most likely to achieve economic growth and price stability at the same time?

- A** fiscal policy
- B** import barriers
- C** monetary policy
- D** supply-side policy

20 What is the definition of economic growth?

- A** It is an increase in the general level of prices over time.
- B** It is an increase in the level of a nation's output over time.
- C** It is an increase in the level of total demand over time.
- D** It is an increase in wages, interest, profits and rent over time.

21 What causes cyclical unemployment in a recession?

- A** a permanent decrease in the demand for labour
- B** a permanent decrease in the supply of labour
- C** a temporary decrease in the demand for labour
- D** a temporary decrease in the supply of labour

22 The table shows government expenditure and revenue in selected years.

year	government expenditure \$bn	tax revenue \$bn
1	500	500
2	600	400
3	700	300

What might explain the changes in the government's budget over the period?

- A** a fall in the dependency ratio
- B** a fall in the exchange rate
- C** an increase in cyclical unemployment
- D** an increase in real GDP

23 The table shows changes in economic policies for four countries, **A**, **B**, **C** and **D**.

Which country is most likely to be following a policy of preventing deflation?

	money supply	government spending	taxation
A	decreasing	decreasing	decreasing
B	decreasing	decreasing	increasing
C	increasing	increasing	decreasing
D	increasing	increasing	increasing

24 Workers in Switzerland earn more on average than workers in Mexico.

What is a likely cause of this?

- A** A greater percentage of workers in Switzerland work part-time than in Mexico.
- B** The average worker in Switzerland is more productive than the average worker in Mexico.
- C** The average worker in Switzerland pays more income tax than the average worker in Mexico.
- D** The unemployment rate is higher in Switzerland than in Mexico.

25 The table contains details on birth rate, death rate and net migration for several countries in a year.

	birth rate	death rate	net migration
Australia	13	7	850 000
Brazil	14	6	30 000
Nigeria	39	12	–300 000
US	12	8	4 500 000

What can be concluded from the table?

- A** Only one country, Nigeria, had a decreasing population.
- B** The country with the lowest birth rate had the lowest death rate.
- C** The country with the lowest death rate had the highest birth rate.
- D** The country with the lowest natural rate of increase in population was the US.

26 Which combination best describes the characteristics of a high-income economy?

	GDP per head (US\$)	Human Development Index value	percentage of the labour force in the tertiary sector
A	high	high	high
B	high	high	low
C	low	low	high
D	low	low	low

27 What might encourage international specialisation between countries?

- A** free trade
- B** inefficiencies in production
- C** labour immobility
- D** tariffs

28 A government wishes to stop the dumping of a specific imported good at a very low price.

Which method of protection would be most effective?

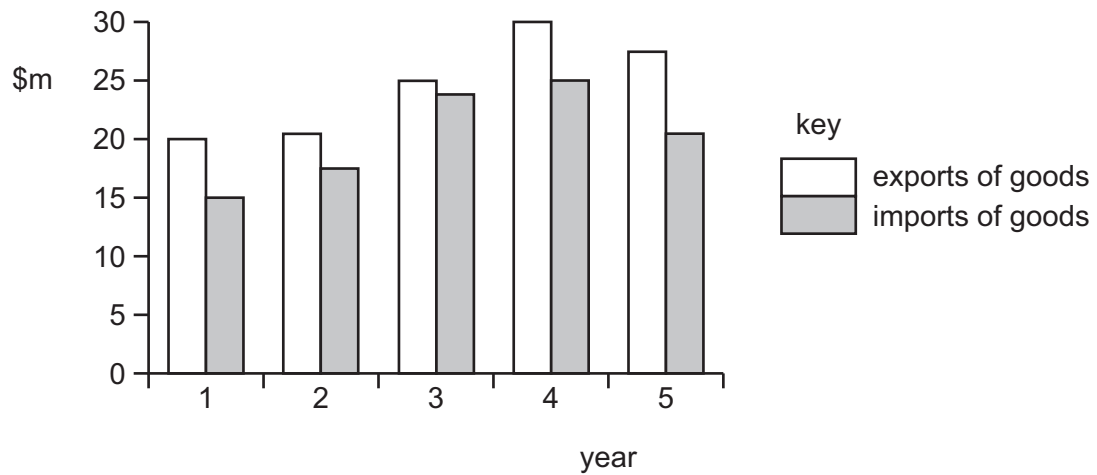
- A** apply an embargo to this good
- B** devalue the currency
- C** increase interest rates
- D** provide subsidies to home producers of this good

29 The price of the US dollar in terms of other currencies is set by the forces of demand and supply.

To what does this statement refer?

- A** an alternative method of trade protection
- B** the determination of the exchange rate in a fixed exchange rate system
- C** the determination of the exchange rate in a floating exchange rate system
- D** the increasing globalisation of international trade

30 The diagram shows the value of a country's exports and imports of goods over five years.



Between which two years did the country have an increase in the value of imports and an improvement in its balance of trade in goods?

- A** 1 and 2 **B** 2 and 3 **C** 3 and 4 **D** 4 and 5

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Cambridge IGCSE™ (9–1)

ECONOMICS**0987/12**

Paper 1 Multiple Choice

October/November 2024**MARK SCHEME**Maximum Mark: 30

Published

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This document consists of **3** printed pages.

Question	Answer	Marks
1	D	1
2	D	1
3	C	1
4	B	1
5	B	1
6	C	1
7	C	1
8	A	1
9	B	1
10	A	1
11	D	1
12	C	1
13	B	1
14	B	1
15	C	1
16	B	1
17	B	1
18	B	1
19	D	1
20	B	1
21	C	1
22	C	1
23	C	1
24	B	1
25	D	1
26	A	1
27	A	1
28	A	1

Question	Answer	Marks
29	C	1
30	C	1



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/11

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May/June 2025

45 minutes

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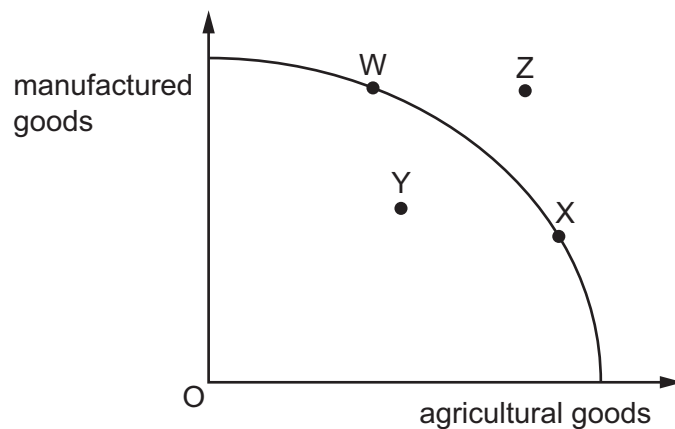
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- 1 What is likely to increase the occupational mobility of labour?
- A increasing entry requirements to professions
 - B increasing retraining of workers
 - C introducing job specialisation
 - D introducing subsidised transport
- 2 Sonia owns a takeaway food delivery service. She decides to expand the firm, buying more vans and hiring additional drivers.

Which factors of production were changed?

- A capital and labour
 - B capital and land
 - C enterprise and capital
 - D labour and land
- 3 The diagram shows a production possibility curve (PPC). The economy is using all of its available resources.



A government decides to encourage more production of manufactured goods instead of agricultural goods.

Which movement shows this policy change?

- A W to X
- B W to Y
- C X to W
- D Z to X

- 4** In 2020, to prevent the spread of a pandemic, many governments temporarily closed restaurants and cafés.

What would be a macroeconomic impact of such a policy?

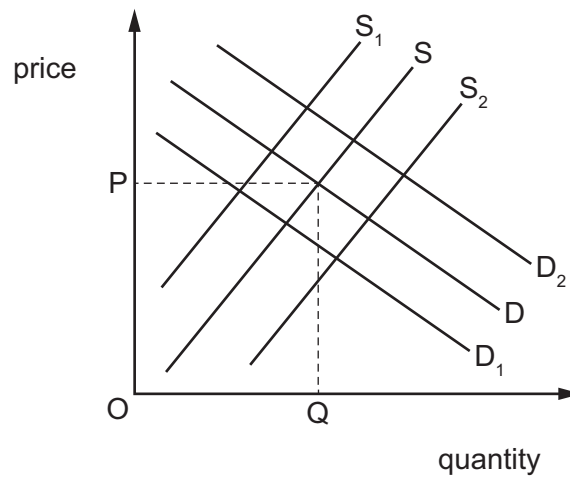
- A** Demand for food to be consumed at home would rise.
- B** Gross Domestic Product (GDP) would fall.
- C** The profits from restaurants and cafés would fall.
- D** Staff working in restaurants and cafés would lose income.

- 5** Good weather results in an increase in the demand for and supply of peaches.

How will this affect the price and quantity traded in the market for peaches?

	price of peaches	quantity of peaches traded
A	fall	fall
B	rise	rise
C	rise	uncertain
D	uncertain	rise

- 6 The diagram shows demand and supply curves for a product at its equilibrium price P .



How would the introduction of a subsidy be shown?

- A Demand would shift to D_1 .
 - B Demand would shift to D_2 .
 - C Supply would shift to S_1 .
 - D Supply would shift to S_2 .
- 7 The table shows the quantity demanded at different prices.

price \$	quantity demanded
6	3
5	4
4	5
3	7
2	9

For which fall in price is the demand price-inelastic?

- A from \$6 to \$5
- B from \$5 to \$4
- C from \$4 to \$3
- D from \$3 to \$2

- 8 The price elasticity of supply (PES) of coffee is calculated as +0.2 for the current year and +2.0 in the long run.

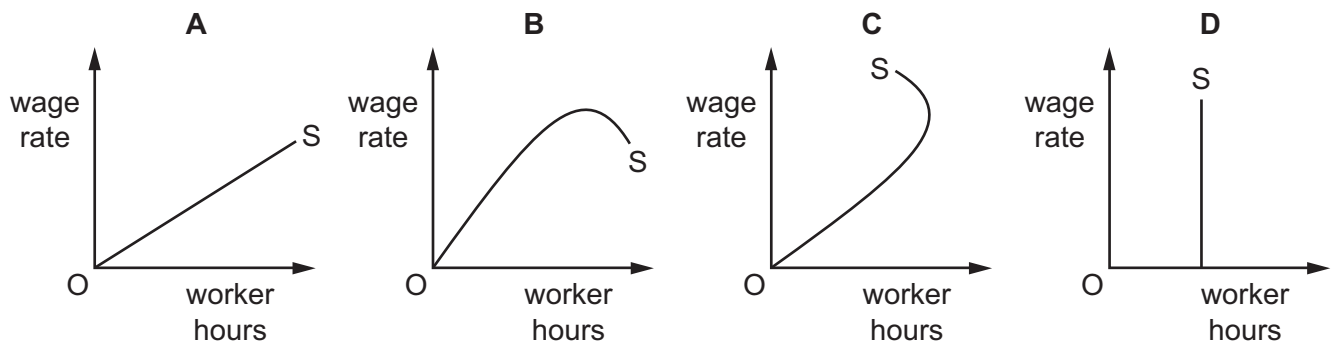
Why is the PES of coffee higher in the long run?

- A Coffee plants take several years to grow.
 - B Consumers will not buy coffee at higher prices.
 - C There are many substitutes for coffee.
 - D There are no stocks of coffee.
- 9 What would a person believe who wished to encourage the use of the market system?
- A people should have equal living standards
 - B people should have freedom of action
 - C profit maximisation is wrong
 - D the government should correct people's bad behaviour
- 10 What is **not** a form of money?
- A a banknote
 - B a cheque
 - C a coin
 - D a credit card
- 11 If interest rates fall, what will be the most likely effect on saving and borrowing?

	saving	borrowing
A	decrease	decrease
B	decrease	increase
C	increase	decrease
D	increase	increase

- 12 A bus driver initially works longer hours if the wage rate increases. As his earnings increase, there reaches a point when he prefers more leisure than extra work.

Which supply curve, S, represents this situation?



- 13 What is a function of a trade union?

- A to negotiate workers' contracts
- B to promote workers to more responsible jobs
- C to recruit workers for the firm
- D to supervise the workers in the firm

- 14 There has been an improvement in the transport infrastructure in India that reduces the costs of farming.

What is this an example of?

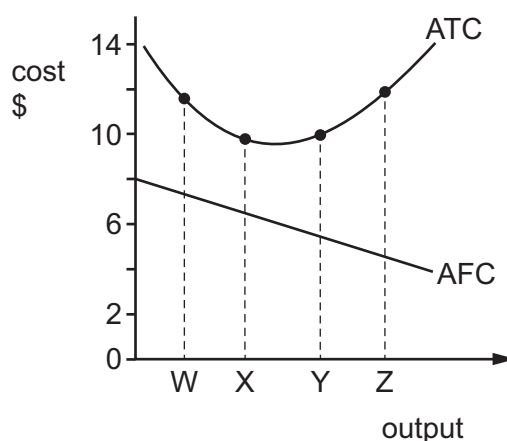
- A external diseconomies of scale
- B external economies of scale
- C internal diseconomies of scale
- D internal economies of scale

- 15 A firm chooses to become more capital-intensive.

What is **least** likely to have increased?

- A interest rates
- B minimum wages
- C the power of trade unions
- D the productivity of capital

- 16 The diagram shows the average total costs (ATC) and average fixed costs (AFC) for a firm.



Which statement is correct?

- A At output X, average variable costs are lower than average fixed costs.
 - B At output Y, total variable costs are greater than total fixed costs.
 - C Between outputs W and Z, total fixed costs are falling.
 - D Between outputs W and Y, average variable costs have not changed.
- 17 What is a macroeconomic aim of a government?
- A high external costs
 - B high sales tax
 - C low unemployment
 - D low wages
- 18 What is a principle of taxation?
- A equality between social cost and social benefit
 - B fairness between taxpayers
 - C profit maximisation by firms
 - D tax revenue maximisation

- 19** Monetary policy often involves a change in which variables?
- A** government expenditure or taxes
 - B** interest rates or the money supply
 - C** labour market or trade union laws
 - D** tariffs or quotas
- 20** Which supply-side policy measure is most likely to enable a government to achieve its aim of full employment?
- A** decreasing government spending on school buildings
 - B** decreasing the number of teachers in schools
 - C** increasing taxation on private school fees
 - D** increasing the provision of enterprise skills in schools
- 21** Which policy decision is most likely to cause economic growth?
- A** an increase in corporation tax rates
 - B** an increase in interest rates
 - C** an increase in the amount workers can earn before paying income tax
 - D** an increase in the government's regulations for starting a new business
- 22** A government uses the labour force survey method to calculate unemployment.

What is required under this method for a person to be classified as unemployed?

	eligible for unemployment benefits	immediately available for work	actively seeking work
A	no	no	yes
B	no	yes	yes
C	yes	yes	no
D	yes	no	no

23 What is most likely to rise when the level of employment falls in a high-income economy?

- A** consumer confidence
- B** government expenditure on state benefits
- C** government revenue from income tax
- D** the rate of growth of real output

24 A Consumer Prices Index (CPI) consists of four items. The table shows the percentage price change for each item over a period of a year and the weight of each item.

Which price change will affect the level of the CPI most?

	item	% price change over 1 year	weight
A	food	+5	0.30
B	housing	+6	0.20
C	recreation	+3	0.40
D	transport	+4	0.10

25 The table shows the Human Development Index (HDI) value for a country in two years.

year	HDI value
1	0.467
2	0.609

What would **not** explain the change in the HDI value?

- A** an increase in gender equality
- B** an increase in income per head
- C** an increase in life expectancy
- D** an increase in years of schooling

26 Which combination of statistics is used to calculate the natural population growth of a country?

	1 st statistic	2 nd statistic
A	birth rate	net immigration
B	death rate	birth rate
C	emigration	death rate
D	immigration	emigration

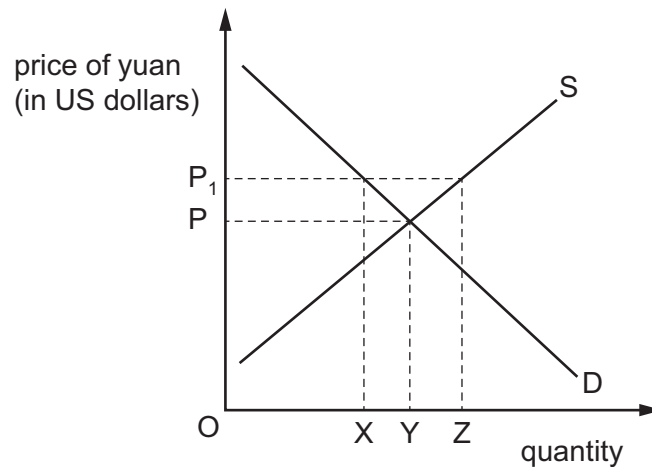
27 What will increase the level of specialisation in an economy?

- A** A computer manufacturer takes over an advertising company.
- B** A retail store issues its own credit card.
- C** A travel agent provides transport to the airport.
- D** A vehicle assembler reduces its range of vehicles.

28 What might an economist consider to be meant by the term *dumping*?

- A** foreign firms exporting waste products
- B** foreign firms producing goods at a lower cost than domestic firms
- C** foreign firms selling goods that are out of fashion
- D** foreign firms exporting products at a price below the cost of production

- 29 In the diagram, D is the demand curve for the Chinese yuan and S is the supply curve of the Chinese yuan.



The Chinese central bank wishes to set the price of the yuan at P_1 .

Which action would it have to take?

- A buy XY yuan
 - B buy XZ yuan
 - C sell XY yuan
 - D sell XZ yuan
- 30 The table shows the values of the items in a country's current account in two years.

item	year 1 (\$m)	year 2 (\$m)
balance of goods and services	-30	0
net primary income	-30	-20
net secondary income	?	?
balance of current account	-50	+10

How did the value of net secondary income change between year 1 and year 2?

- A decreased by \$10m
- B decreased by \$20m
- C increased by \$20m
- D increased by \$30m

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6	D	1
7	D	1
8	A	1
9	B	1
10	Question Discounted	0
11	B	1
12	C	1
13	A	1
14	B	1
15	A	1
16	A	1
17	C	1
18	B	1
19	B	1
20	D	1
21	C	1
22	B	1
23	B	1
24	A	1
25	A	1
26	B	1
27	D	1
28	D	1

Question	Answer	Marks
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30	C	1



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Which factor of production could have caused the university to make this decision?

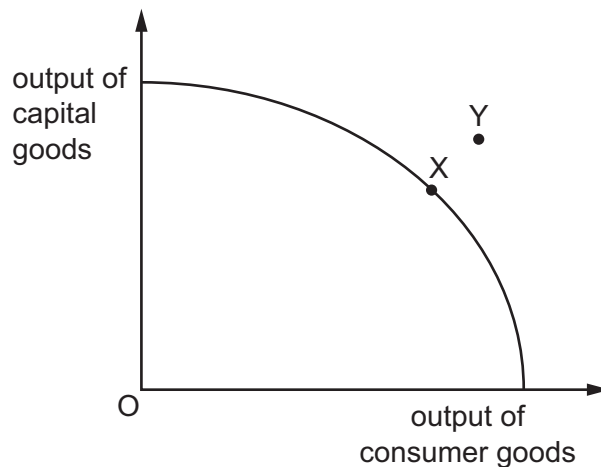
- A infinite quantity of capital
- B scarcity of labour
- C surplus of land
- D unlimited supply of enterprise

- 2 Sanjay, a coal miner, became unemployed when the only local mine closed. He lives in a village near family and friends and would like to stay in the same village.

What is the cause of Sanjay's occupational immobility?

- A a desire to live near family and friends
- B no relevant skills
- C the cost of travelling for work
- D unaffordable housing

- 3 The diagram shows the production possibility curve (PPC) for an economy that is at point X.



Which change in the economy's labour market will allow it to reach point Y?

- A employed workers become more productive
- B unemployed workers find new jobs
- C workers emigrate for higher wages
- D workers retire at younger ages

4 What are both macroeconomic decisions?

	decision 1	decision 2
A	a school recruits more teachers	a firm sets the prices for its products
B	a central bank reduces money supply	a government spends more on defence
C	a government increases tax rates	a farmer decides which crops to grow
D	a household cuts its energy use	a worker accepts an offer of overtime

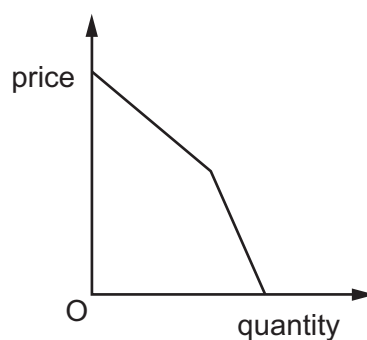
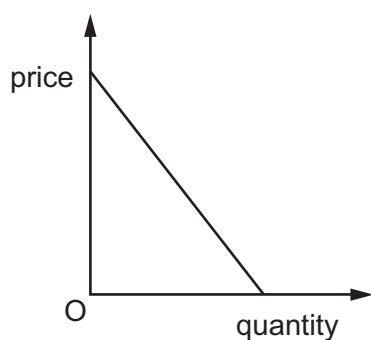
5 The table shows the quantity of coffee demanded per day and the quantity supplied per day.

price (\$) per kilo	demand (kilos)	supply (kilos)
12	16	26
11	18	23
10	20	20
9	22	17
8	24	14
7	26	11

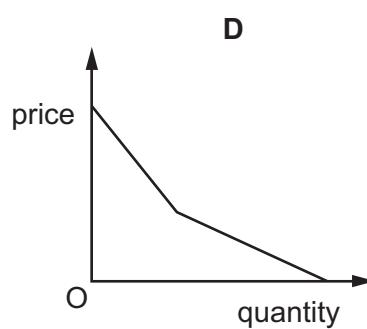
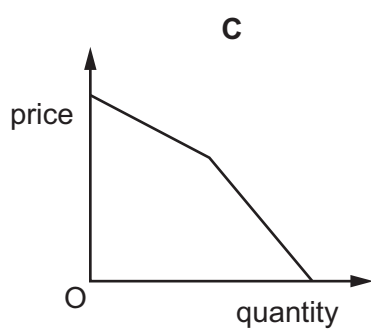
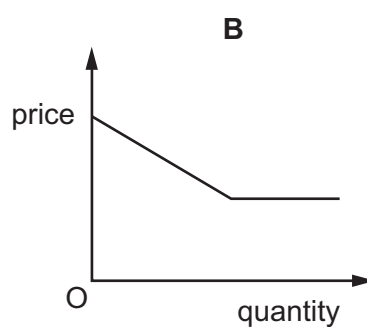
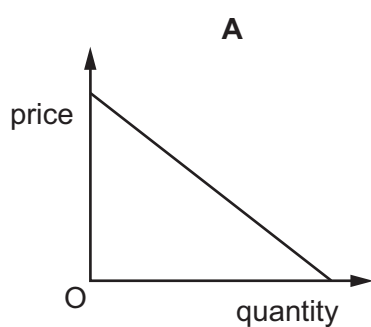
At the equilibrium price, what will be the total expenditure on coffee?

- A** \$10 **B** \$20 **C** \$200 **D** \$400

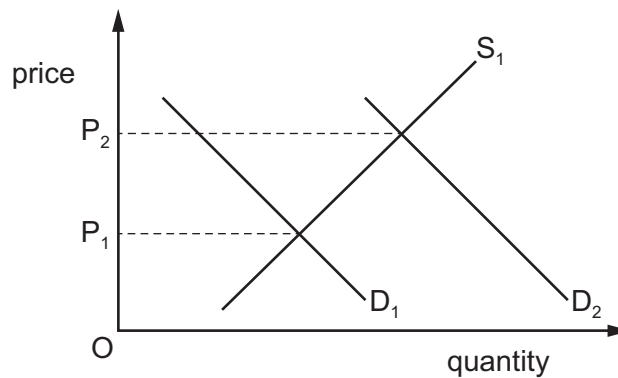
- 6 The diagrams show the demand curves for the only two buyers in a market.



What will be the shape of the market demand curve for the good?



- 7 The diagram shows the market for ice cream and the effects of very hot weather.



If prices had remained at P_1 even during the hot weather, what was likely to have happened in the market for ice cream?

- A equilibrium
 - B excess supply
 - C rising profits
 - D shortage
- 8 The supply of which good is likely to be most price elastic?

	the good is easily stored	time taken to produce the good
A	no	one day
B	no	one year
C	yes	one day
D	yes	one year

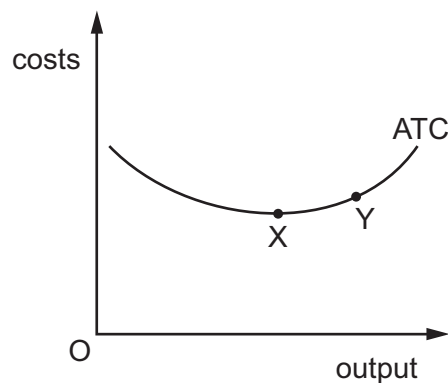
- 9 What is a characteristic of a demerit good?
- A it is more beneficial to the consumer than they realise
 - B it is overconsumed in the free market
 - C it is underproduced in the free market
 - D it provides external benefits

- 10 The table shows the average wage in four countries, **A**, **B**, **C** and **D**.

In which country is there the greatest relative wage discrimination against female employees?

	male \$	female \$
A	100	80
B	120	60
C	140	100
D	300	200

- 11 The diagram shows the average total cost curve (ATC) for a firm after a merger.



Why is the movement from X to Y likely to result from this merger?

- A** Consumer demand is rising.
 - B** Marketing economies of scale occur at higher levels of output.
 - C** The firm faces problems of co-ordination between departments.
 - D** The firm is negotiating discounts through bulk buying.
- 12 A restaurant employs two chefs who make all of the meals that are served to customers.

What is most likely to increase the productivity of the chefs?

- A** a decrease in the number of customers in the restaurant
- B** a decrease in the chefs' pay
- C** an increase in the quality of the food
- D** an increase in training for the chefs

13 What are fixed costs?

- A** costs that are divided by the amount produced
- B** costs that are present when output is zero
- C** costs that change according to the level of output
- D** costs that decrease when output increases

14 The table shows the daily output and costs of four firms making chairs.

Which firm has the highest average cost of production?

	output (units)	fixed costs (\$)	variable costs (\$)
A	6	100	140
B	9	30	150
C	12	200	160
D	15	120	330

15 The only information known about a firm is the price it charges for its product and the quantity it sells.

What else can be concluded from this?

- A** its average cost and profit
- B** its average cost and total revenue
- C** its average revenue and profit
- D** its average revenue and total revenue

16 If a very competitive market becomes a monopoly, what will be likely to increase and what will be likely to decrease?

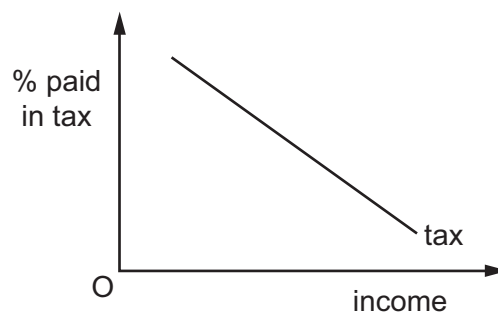
	increase	decrease
A	barriers to entry	economies of scale
B	consumer choice	prices
C	long-run profits	competition
D	output	market share

- 17 Many central banks around the world decreased interest rates during a recession caused by a pandemic.

What was the most likely macroeconomic aim of this policy?

- A economic growth
- B increase in the current account surplus
- C low inflation
- D redistribution of income

- 18 The diagram shows the percentage of income taken by a tax at different levels of income.



Which term is used to describe the tax?

- A indirect
 - B progressive
 - C proportional
 - D regressive
- 19 What is **not** a likely consequence of a rise in the budget deficit in a year?
- A a rise in government borrowing
 - B a rise in the level of exports
 - C a rise in the national debt
 - D a rise in the rate of inflation

- 20** When a government aims to encourage economic growth, it may adopt supply-side policies.

Which policy is a supply-side policy?

- A** increasing the money supply
- B** lowering interest rates
- C** reducing indirect taxation
- D** retraining unemployed workers

- 21** An economy that is fully employed is forecast to have an increase in total demand.

What is most likely to increase?

- A** the rate of absolute poverty
- B** the government budget deficit
- C** the level of unemployment
- D** the rate of inflation

- 22** A government conducted a labour force survey. It only included people of working age in the survey. The results are shown in the table.

	number of people
of working age	10 000 000
employed	7 000 000
unemployed	1 000 000
not seeking work	2 000 000

Which percentage of working-age people are in the labour force?

- A** 30%
- B** 70%
- C** 80%
- D** 90%

- 23** A school leaver is unable to find a job immediately after completing their education.

Which type of unemployment is this?

- A** cyclical
- B** frictional
- C** regional
- D** structural

24 Which changes are likely to lead to the biggest increase in inflation in country X?

	demand for goods and services in country X	supply of goods and services in country X
A	5% decrease	5% decrease
B	5% decrease	5% increase
C	5% increase	5% decrease
D	5% increase	5% increase

25 In rural areas in developing countries, farmers grow food for their own consumption.

Why might this mean that the GDP is a weak measure of the standard of living in those countries?

- A** The food grown is not exported.
- B** The GDP does not include agricultural production.
- C** The GDP only refers to the public sector.
- D** The value of the food is unknown.

26 Japan's population has an increasing proportion of elderly people.

What is the likely impact of this on the Japanese economy?

- A** increased government budget deficit
- B** increased rate of economic growth
- C** increased rate of emigration
- D** increased use of labour-intensive methods of production

27 An Argentine product initially sells in the US for \$50 when the exchange rate between the two countries is 5 pesos to 1 dollar (\$).

The exchange rate changes to 10 pesos to 1 dollar and the price of the product remains unchanged in Argentina.

What will be the new price of the product in the US?

- A** \$5
- B** \$25
- C** \$100
- D** \$500

28 Mining by multinational companies (MNCs) has both costs and benefits for the host nation.

Which activity is **least** likely to offer a benefit to the host nation?

- A** developing courses for training in mining
- B** investing in infrastructure to export minerals
- C** repatriating profits and dividends
- D** using new technology

29 The table shows the retail price at which the same book can be bought in four countries.

country	price in local currency	local currency
Australia	\$14.99	Australian dollars
Canada	\$11.99	Canadian dollars
New Zealand	\$20.95	New Zealand dollars
United Kingdom	£6.99	GB pound

What additional information is required to make a meaningful comparison of the price of the book between the countries?

- A** direct tax rates
- B** exchange rates
- C** inflation rates
- D** level of import tariffs

30 What is a consequence of a surplus on the current account of the balance of payments?

- A** a decrease in GDP
- B** a decrease in unemployment
- C** a depreciation of the foreign exchange rate
- D** deflation

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Cambridge IGCSE™ (9–1)

ECONOMICS**0987/12**

Paper 1 Multiple Choice

May/June 2025

MARK SCHEME

Maximum Mark: 30

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the May/June 2025 series for most Cambridge IGCSE, Cambridge International A and AS Level components, and some Cambridge O Level components.

This document consists of **3** printed pages.

Question	Answer	Marks
1	B	1
2	B	1
3	A	1
4	B	1
5	C	1
6	C	1
7	D	1
8	C	1
9	B	1
10	B	1
11	C	1
12	D	1
13	B	1
14	A	1
15	D	1
16	C	1
17	A	1
18	D	1
19	B	1
20	D	1
21	D	1
22	C	1
23	B	1
24	C	1
25	D	1
26	A	1
27	B	1
28	C	1

Question	Answer	Marks
29	B	1
30	B	1



Cambridge IGCSE™ (9–1)

ECONOMICS

0987/12

Paper 1 Multiple Choice

October/November 2025

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.



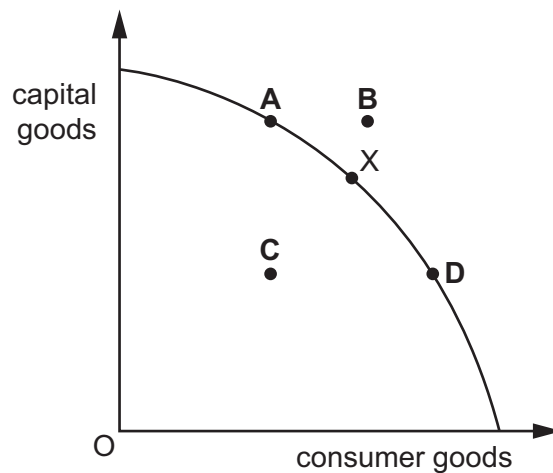
- 1 A government wants to build a new hospital.

What is most likely to prevent the government from doing this?

- A People in the country cannot afford healthcare.
 - B People in the country would go abroad for healthcare.
 - C The government cannot agree how big the hospital should be.
 - D The government does not have enough money.
- 2 Which term describes the loss of potential benefit to a consumer when making a choice between alternatives?
- A opportunity cost
 - B scarcity
 - C shortage
 - D the economic problem
- 3 A country is producing at point X on its production possibility curve (PPC) which shows how it can allocate its production between capital goods and consumer goods.

A period of recession then causes some of its factories to close.

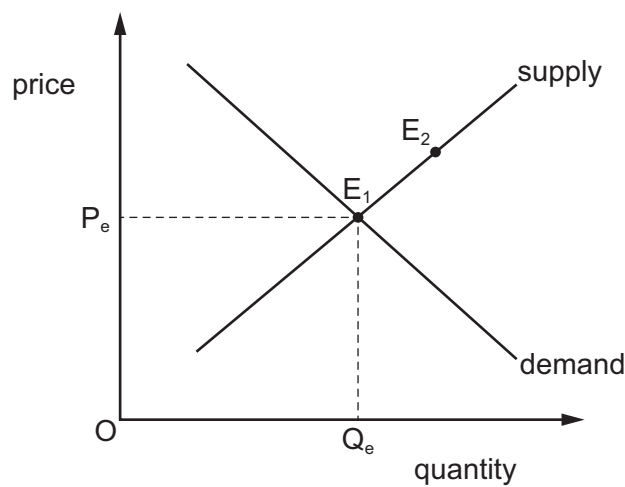
Which point could represent the country's new position?



- 4 Which combination gives correct examples of macroeconomics and microeconomics?

	macroeconomics	microeconomics
A	study of demand for a product	study of price of a product
B	study of behaviour of firms	study of individual behaviour
C	study of the economy as a whole	study of specific markets
D	study of the international economy	study of the national economy

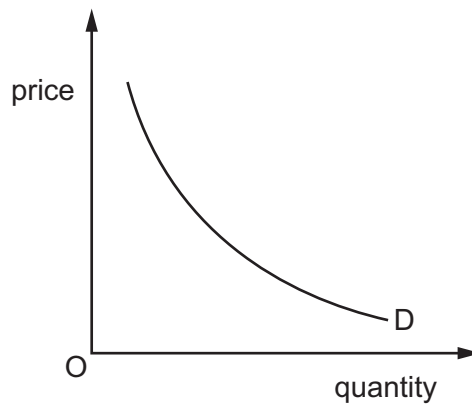
- 5 The diagram shows the supply and demand curves for a good. The initial market equilibrium is given at point E_1 . There is a change in the market that leads to a new equilibrium at E_2 .



What is the cause of the change in the market equilibrium?

- A** a decrease in the price of a substitute good
- B** a decrease in raw material prices
- C** an increase in the price of a substitute good
- D** an increase in raw material prices

- 6 The diagram shows the demand curve for a good.



What can be concluded about a single downward-sloping demand curve?

- A consumers increase demand when their incomes rise
 - B consumers plan to buy less when prices rise
 - C firms produce less as prices rise
 - D firms sell more when prices rise
- 7 When the price of butter increased by 10%, the quantity supplied of butter increased by 20%.

What is the price elasticity of supply (PES) of butter?

- A -2.0
 - B -0.5
 - C +0.5
 - D +2.0
- 8 How are economic decisions determined in a market economic system?
- A by a mixture of market forces and government intervention
 - B by central planners of production and consumption
 - C by government regulation of the price mechanism
 - D by the forces of demand and supply

- 9 A bridge is built over a river which enables journey times to be reduced.

The table shows costs and benefits of building the bridge.

	\$000
private benefit	12
private cost	10
external benefit	8
external cost	5

Which calculation represents social benefit?

- A $\$12\,000 - \$10\,000 = \$2\,000$
- B $\$8\,000 - \$5\,000 = \$3\,000$
- C $\$12\,000 + \$5\,000 = \$17\,000$
- D $\$8\,000 + \$12\,000 = \$20\,000$
- 10 What is **not** a role of the central bank?
- A to act as the lender of last resort
- B to hold deposits from the general public
- C to issue notes and coins
- D to manage the gold reserves of the country
- 11 The table shows the proportion of disposable income spent on three different goods by four different households.

Which household is likely to have the lowest income?

	food %	transport %	holidays %
A	50	15	5
B	35	18	10
C	30	20	15
D	20	25	20

12 In which occupations do wages tend to be lowest?

- A** in those where the work is dangerous
- B** in those where there is an excess supply of labour
- C** in those where workers belong to trade unions
- D** in those where workers need long training

13 How might a trade union increase its bargaining power?

- A** by expanding the market for the product
- B** by increasing the cost of union membership for workers
- C** by restricting the entry of workers to the industry
- D** by supporting wage claims in other industries

14 To be able to produce a car tyre, rubber is required.

If a car tyre manufacturer merges with a supplier of rubber, which type of merger is this?

- A** conglomerate
- B** horizontal
- C** internal
- D** vertical

15 When it produces 100 units, a firm's total variable cost is \$300 and its total fixed cost is \$2700.

What is the average total cost?

- A** \$3 **B** \$24 **C** \$27 **D** \$30

16 What is likely to be found when there are many small firms in an industry?

- A** There are few barriers to entry.
- B** There is high expenditure on research and development.
- C** There is little competition.
- D** Very large capital costs are needed to establish a firm.

- 17 A government imposes tariffs on imported goods.

What is **not** a likely reason for this?

- A to boost domestic output
- B to influence the country's balance of payments
- C to protect domestic employment
- D to reduce the exports from the country

- 18 A government collects the following revenue in a year.

	\$m
taxes on goods	30
taxes on income	500
taxes on services	20
customs and excise duties	50

What is the amount of indirect tax revenue?

- A \$30m B \$70m C \$100m D \$500m

- 19 Which policy measures would be classified as fiscal policy?

- A changes in interest rates and money supply
- B changes in labour market policies to encourage more training
- C changes in tax rates and government spending
- D changes in the exchange rate

- 20 What is the most likely result of a fall in interest rates?

- A a fall in inflation
- B a fall in investment
- C a rise in consumer spending
- D a rise in saving

21 What does a successful supply-side policy increase in an economy?

- A** the level of unemployment
- B** the production possibilities
- C** the rate of inflation
- D** the rate of interest

22 In one particular year, South Sudan's population growth was 1.3% while its GDP growth was 2%.

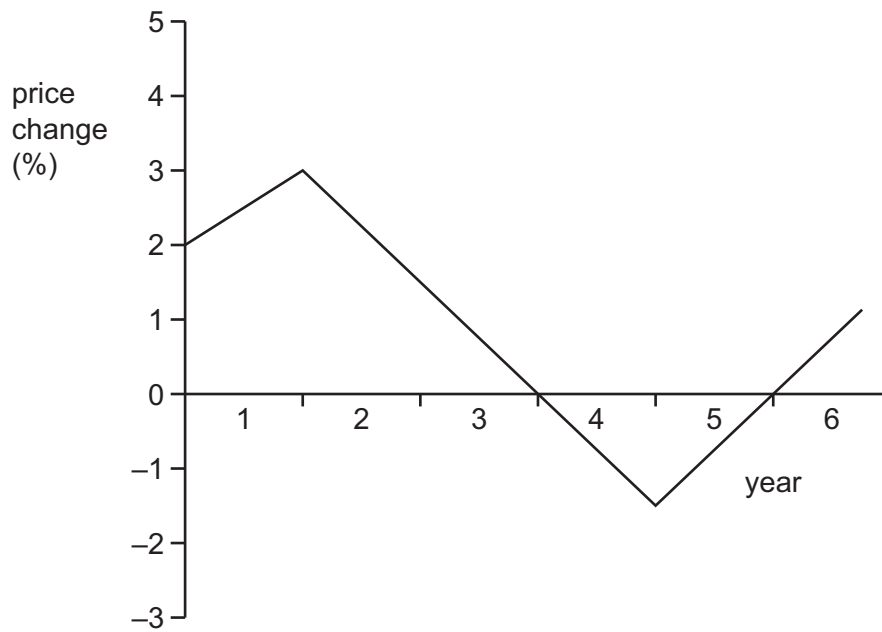
What is the most likely consequence of this?

- A** GDP per capita will decrease
- B** the rate of inflation will decrease
- C** the standard of living will increase
- D** unemployment will increase

23 What are the correct definitions of unemployment and employment relative to the number of people of working age?

	unemployment	employment
A	those who want a job but cannot get one at the current wage rate	those who are not in full-time education
B	those who want a job but cannot get one at the current wage rate	those who have a job at the current wage rate
C	those without a job	those who are not in full-time education
D	those without a job	those who have a job at the current wage rate

24 The graph shows changes in the average price level.



When did the country experience deflation?

- A** year 2 to year 5
- B** year 2 to year 3
- C** year 2 to year 4
- D** year 4 to year 5

25 In many high-income economies, increasing income inequality has led to greater levels of poverty.

Which combination of policies would aim to reduce income inequality?

	fiscal policy	supply-side policy
A	decrease corporation tax	create more competition
B	increase income tax	reduce the power of trade unions
C	increase inheritance tax	increase the national minimum wage
D	increase sales tax	privatise more public sector firms

- 26** A country has a falling birth rate and a rising death rate, while an increasing number of its working age adults (16–60 years) are seeking employment abroad.

How is this likely to affect the numbers in the different age groups in the country?

	under 16 years	16–60 years	over 60 years
A	fall	fall	fall
B	fall	rise	rise
C	rise	fall	rise
D	rise	rise	fall

- 27** What is an advantage of international specialisation?

- A** Choice is limited.
- B** Countries become over-dependent on each other.
- C** Resources are used more efficiently.
- D** Transport costs are decreased.

- 28** An economy raises its tariffs on imported goods.

What is the most likely result?

- A** a fall in the rate of inflation
- B** an increase in consumer choice
- C** an increase in domestic production
- D** the current account of the balance of payments moves into a deficit

- 29** Which combination of changes in export revenue and import expenditure is most likely to cause a country's exchange rate to depreciate?

	export revenue	import expenditure
A	decreases	decreases
B	decreases	increases
C	increases	decreases
D	increases	increases

30 A government wishes to reduce the deficit on the current account of its balance of payments.

Which policy should it adopt?

- A** increase subsidies on exports
- B** increase taxes on its exports
- C** remove an embargo on imports
- D** remove tariffs on its imports

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Cambridge IGCSE™ (9–1)

ECONOMICS**0987/12**

Paper 1 Multiple Choice

October/November 2025**MARK SCHEME**Maximum Mark: 30

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4	C	1
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7	D	1
8	D	1
9	D	1
10	B	1
11	A	1
12	B	1
13	C	1
14	D	1
15	D	1
16	A	1
17	D	1
18	C	1
19	C	1
20	C	1
21	B	1
22	C	1
23	B	1
24	D	1
25	C	1
26	A	1
27	C	1
28	C	1

Question	Answer	Marks
29	B	1
30	A	1